



European Software & IT Services

Do numbers even matter anymore?

Expect a solid reporting season but share prices to be largely driven by factors other than fundamentals

Going into Q2 reporting season, our checks and industry conversations point to a mixed picture with some companies such as SAP likely to see a fairly stable demand environment (despite the challenging geopolitical backdrop) while the picture is very diverse across Engineering Software and IT Services. In Engineering Software, we prefer higher-quality names with stronger recurring revenue profiles and lower cyclical exposure, while in IT Services outcomes are likely to diverge more meaningfully, with limited Middle East exposure leaving players such as Capgemini better shielded from recent geopolitical disruption despite ongoing weakness in discretionary spending. While headline risk from new AI model launches seems to have somewhat subsided (i.e. Software stocks react less) due to already very bearish investor positioning across hedge funds but also long onlies, we do not expect Q2 to be a turning point yet even for names with decent/better-than-feared quarters. The main driver of Software share prices remains positioning and the relative strength of AI Semis/Hardware, in our view, combined with medium-term uncertainty around the financial model for SITS players in an AI world. The latter is likely to change as we go into 2027 where we expect major players such as SAP and Dassault to provide more of a framework around how to model its AI business and financial opportunity towards the end of this decade (and beyond). Yet, for now it remains wait and see with new customer wins and AI contract proof points being what the market should focus on, in our view, in order to gauge success of the AI strategies of the companies within our coverage.

All eyes on more AI proof points from SAP

Following new AI solutions announcements at Sapphire 2026, we see additional customer proof points and details on commercial success as key from here (and more important than results). Our checks indicate good customer feedback on the new AI offering post Sapphire with the availability of large parts of SAP's AI roadmap to on-prem customers (if they sign a RISE Cloud migration deal) a catalyst for many Cloud migration latecomers to make the move. This should help Cloud growth towards next year and FY28, in our view. SAP will have to provide some incremental KPIs and a more detailed financial framework around the AI opportunity, which is expected to account for ~1/3 of Cloud revenues by 2030, at one point. We would expect this with Q4 results or Sapphire 2027 after the company has been able to sign AI deals based on their new offering for 6-12 months.

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Key Changes

Company	Target Price	Rating
AOFG.DE	110.00 to 100.00	-
DAST.PA	21.00 to 20.00	-

Source: Deutsche Bank



Combined with re-accelerating growth next year, this could be a catalyst for a rerating of the shares again while for now the market will closely monitor the uptake of the new AI offering and we expect SAP to give a comprehensive update on new deals signed every quarter. We believe SAP's management understands what is required to remain competitive and successful in an AI world and is taking the right decisions which should again reward patient investors in the longer-term.

Key takes on Q2 by subsector

Within **large-cap Software**, we expect a solid Q2 for SAP. We see current Cloud backlog (CCB) growth for Q2 at ~25%, in-line with company guidance for slightly decelerating CCB growth throughout FY26 and slightly towards the upper end of where we see market expectations (24-25% incl. M&A). Healthy bookings momentum should drive continued close to 30% growth for its Cloud ERP Suite, from ~30% y/y cc in Q1/26, accounting for headwinds from only slightly growing transactional revenues. We model Q2/26 Cloud revenue growth at ~23% y/y cc and overall P&L metrics to be broadly in-line while consensus FCF for Q2 appears too high (distorted by outliers). Most importantly, we expect SAP to reiterate its FY26 cc outlook for revenues, EBIT and FCF which should remove fears over a potential guidance cut related to the Middle East situation. Having said that, investment in product/AI as well as infrastructure rollouts (mostly for sovereign Cloud) could limit margin upside into H2 and next year as management alluded to at Sapphire in May already. For Sage, we believe the momentum will continue in FQ3/26 but tougher comps could be a slight offset. With strong momentum in ARR, we believe Sage will easily achieve its full year target of >9% top-line growth. We are modelling recurring revenue growth of 9.7% organically on continued momentum for Intacct especially outside the US and helped by Copilot monetization and well supported by Sage Business Cloud (H1/26 growth of 15% y/y) including Cloud native revenue growth (H1/26: 25% y/y). For Amadeus, Q2 is likely to mark the trough in volumes, with bookings and passengers boarded remaining under pressure following the Middle East disruption. However, resilient unit revenues, pricing and mix should help cushion the impact. The key focus is likely to be on guidance, where the recent escalation in the region has reduced our confidence in the company's ability to deliver within the lower end of its current outlook. While activity improved through June, we believe the balance of risk remains skewed towards a more cautious stance on FY26 expectations and therefore maintain our Hold recommendation.

We value the sector on a mix of P/E, EV/uFCF, EV/EBIT(DA), DCF and SOTP valuations, benchmarking multiples vs. peers' and/or expected growth rates. Key sector risks include macro, FX, regulation, new technologies, potentially value-destructive M&A and market-share shifts.

We remain selective in **Engineering Software**. Near-term macro risk is rising, and we do not think guidances fully capture the potential second-order effects from the prolonged Iran conflict on customer decision-making and deal timelines, which will likely only become visible throughout the year. Direct exposure to the Middle East is limited across players in our coverage, but given the broader uncertainty, we prefer higher-quality names with a higher share of recurring revenue and less exposure to potentially affected, cyclical end-markets. At the same time, AI-native challengers making inroads and targeting specific use-cases across the engineering stack remain a headline risk, with new partnership announcements likely to keep pressure on sentiment. Within Buy-rated names, we expect a guidance update from Nemetschek to incorporate the recently closed HCSS acquisition, confirming 14-15% cc organic growth and add a high-single-digit contribution from HCSS. On margins, we expect Nemetschek to confirm the 32-33% underlying EBITDA margin but see M&A related one-off costs to weight on the reported number. Q2 itself should be decent for Nemetschek, driven by still strong growth in Build segment and decent growth in Design despite tough comps, while we remain cautious on Media. We also note that EBITDA will face some one-offs in



Q2 and Q3 related to recent M&A activities. For PTC, we expect a relatively in-line FQ3 but continued relative outperformance against major peer Dassault. For Dassault, we expect a broadly in-line Q2, with deal activity holding up despite a fluid macro backdrop. However, we expect Dassault to guide cautiously for Q3 while confirming full-year guidance, putting more weight on Q4 seasonality and execution to reach the upper end of full-year guidance. If tougher macro conditions persist, we would also not rule out some macro impact in H2. Hexagon should see a slight deceleration y/y org growth in Q2 to ~6% vs Q1 and with adverse FX and mix effects in the quarter, margins could slightly disappoint, in our view. With underlying growth likely moderating somewhat after a strong Q1 and robotics still a side show, we remain on the sidelines for now and rate Hexagon Hold.

IT Services continues to face a muted demand backdrop, with discretionary spending yet to recover meaningfully and recent geopolitical tensions adding further uncertainty to customer decision-making and deal timing. At the same time, sentiment remains weighed down by ongoing questions around how AI will reshape delivery models, pricing and the competitive landscape as hyperscalers and model providers continue to build out their deployment capabilities. Capgemini remains our preferred name within IT Services. Limited exposure to the Middle East should help insulate the company from recent geopolitical disruption, and we believe Q2 could prove particularly strong relative to peers. With our forecasts already ahead of the current guidance framework, supported by strong momentum in the UK and US as well as ongoing strength in BPO, we do not rule out a guidance raise this quarter. Reply remains one of our preferred names in the sector. Q1 reassured on both growth and margins, and we continue to see scope for improvement through the year, supported by ongoing strength in Italy and the US, improving trends in Germany and a continued recovery in France. We also expect investors to focus on the early traction of the recently launched Reply Model Factory and whether this translates into incremental demand opportunities. Within resellers, we continue to prefer Bechtle over Cancom and SoftwareOne. Following the recent guidance increase and constructive CMD, however, we also expect another solid quarter from SoftwareOne. Having benefited from several large renewals in Q1, Q2 should provide a cleaner test of underlying demand and the operational trajectory of the combined SoftwareOne-Crayon platform. Focus is likely to center on North America, channel trends, margins and free cash flow execution.

Within **SMID-cap** names in our coverage, we expect sequential improvement in Q2 for ATOSS Software, albeit somewhat helped by more favorable comps, while the EBIT margin should be broadly flat sequentially. That said, with the stock stuck in the "disadvantaged by AI" basket, we expect the focus to be on KPIs to assess any potential AI impact (NRR, GRR, ARR growth,...). For Mensch und Maschine, we expect Q2 growth to remain below the mid-term target range, despite Digitization still benefiting from lower comps as H1/25 was impacted by headwinds related to the change in the Autodesk partner model, with a lower share of multi-year renewals in the Autodesk reselling business weighing on growth. Still, we expect the Software segment to remain robust in Q2 but not enough to make a difference on group level. AutoStore should deliver another strong quarter, supported by healthy activity levels across key end-markets and continued strength in North America. While favorable comparables remain supportive, investor focus is likely to center on whether the recent Middle East disruption had any meaningful impact on momentum through Q2. For Netcompany, we expect another solid quarter, supported by continued UK momentum. Investor focus is likely to remain on margin progression, with the key question being when the benefits of ongoing investments



start to become visible in reported profitability. For Temenos, we expect another solid quarter, supported by continued demand for modernization, cloud and efficiency-related investments. Recent product updates reinforced management's strategy around composable banking and embedded AI, while industry commentary suggests large banks continue to invest in next-generation core banking infrastructure despite a more uncertain macro backdrop. We see the company as well positioned to benefit from these trends and expect attention to focus on pipeline conversion, cloud momentum and confidence in the FY26 outlook. For Teamviewer, we anticipate a sequential improvement driven by solid growth in Enterprise, but impacted by continued SMB underperformance.



Company previews

Enterprise Software – SAP remains our top pick

Amadeus (Hold) - weaker volumes, resilient pricing, focus on guidance

We expect Amadeus to report Q2 revenue growth of 3.1% cc y/y to E1,665m vs cons at E1,656m, reflecting a materially weaker travel backdrop, particularly in Air Distribution, partly offset by resilient unit revenues and continued cost control. The key issue for the quarter is not only the Q2 volume weakness, but whether trends in June and early July are sufficient to support the FY outlook.

External traffic data point to a clear deterioration through Q2. IATA reported global RPK growth of -3.4% y/y in April and -2.2% y/y in May, following +2.1% y/y in March. The decline was mainly driven by Middle East disruption, with Middle Eastern carrier traffic down 46.6% and 28.4% y/y in April and May, respectively. While June passenger data are not yet published, flight tracking suggests Gulf carrier operations recovered to around 90% of normal levels by mid-June, implying a sequential improvement from a very depressed base. In early June, IATA cut its 2026 passenger traffic growth forecast to 2.1% from 4.9% previously, now substantially below the ~3% level Amadeus had previously indicated could still support the lower end of guidance. While pricing, mix, disruption-related revenues and cost actions provide important offsets, the further escalation in the region has reduced our confidence in the company's ability to deliver within the lower end of its guidance range. We therefore model FY26 revenue growth of 6.5% cc y/y, reflecting a more conservative recovery trajectory than implied by the current outlook. Based on this, we see an increased likelihood that management adopts a more cautious stance on FY26 expectations.

In Air Distribution, we expect bookings to remain under pressure. Q1 benefited from two strong months before a sharp March deterioration, whereas Q2 likely reflects weak activity throughout. While cancellations improved versus March, forward bookings remained subdued and May showed no meaningful rebound. We therefore expect bookings of 111.9m vs cons at 113.9m, down 6% y/y, with revenue per booking of E6.93, up 4.5% cc y/y, resulting in Air Distribution revenue of E773m (vs cons at E772m), down 1.4% cc y/y. In Air IT, we expect PB growth to slow materially versus Q1. PB growth weakened further in April and May showed only modest improvement. June is the key swing factor for whether PB growth is positive or negative for the quarter. We expect PB decline of 0.9% y/y, with revenue per PB of E1.08, up 7.3% cc y/y, resulting in Air IT revenue of E616.5m vs cons at E609.8m, up 6.3% cc y/y. Pricing should remain supportive, although the disruption-related uplift seen in Q1 should moderate. In HOS, we expect revenue of E276.1m vs cons at E276.2m, up 9.8% cc y/y. Growth should slow versus Q1 despite continued inorganic support. While less exposed than Air Distribution and Air IT, the segment is not immune, particularly in transactional areas such as hotel distribution, payments and media. M&A should provide some support, but not enough to offset weaker organic trends. On costs, we expect fixed-cost growth to remain well contained at ~3.6% y/y, supporting Q2 EBITDA of E644m vs cons at E654m and a margin of 38.7%.

Overall, we see Q2 as a trough for volumes, with Air Distribution bookings clearly negative and Air IT PB growth materially below Q1. Resilient unit revenues should cushion the impact, but the focus is on guidance. While some recovery has



emerged into June, we do not think this is sufficient to fully de-risk the outlook. As a result, we see an increased likelihood of a more conservative stance on guidance, with the balance of risk skewed to the downside.

ATOSS Software (Buy) – Q2 likely solid, but little to change the narrative

ATOSS is due to report its Q2/26 results on 24 July. With the evolving agentic AI paradigm weighing on sentiment and limited near-term evidence of its long-term impact, shares remain stuck in the “disadvantaged by AI” bucket, alongside many other Application Software / SaaS names experiencing a narrative-driven de-rating. This is despite the [overall solid Q1/26 print](#), with fundamentals continuing to contradict the “AI disruption” narrative, as NRR (112%) and GRR remained stable, while Cloud ARR growth of 27% was still robust. The only negative in the Q1/26 print that raised investor questions (based on our recent discussions) was the flat sequential increase in Cloud & Subscription order backlog in absolute terms, despite the completed GTM transformation and S&M hiring in FY25. The company attributed this to a weaker macro environment, though some investors remain cautious as to whether this could represent an early indication of AI-related headwinds, based on our discussions. We therefore expect the market to focus on these KPIs and leading indicators to assess any potential AI impact, with some nervousness likely should ATOSS disappoint here, even if primarily macro-driven.

That said, we anticipate a decent Q2, helped by comps looking more favorable following a weaker Q2 last year. We model revenues growing ~13% to ~E52m, implying a slight acceleration versus Q1 as sales hires from 2025 continue to ramp up, partly offset by a somewhat weaker macro and the industry-wide trend of budget reprioritization. Growth should be driven primarily by Software (Q2e +15%), particularly Cloud (Q2e +26%), supported by Q1 Cloud ARR of ~E110m and Cloud order backlog of ~E114m. We expect Q2 EBIT margins of ~35%, broadly flat sequentially (with Q1 benefiting from a smaller one-off) but remaining above ATOSS’s updated FY26 guidance (≥34%).

All considered, we believe shares trading at ~17x FY27E uFCF look attractive for a company with ATOSS’ growth profile, continuously expanding margins, and healthy cash conversion. We acknowledge multiples reflect long-term AI uncertainty, likely limiting near-term outperformance absent meaningful estimate revisions, with a decent Q2 likely providing little to shift the near-term AI narrative. That said, we see a significant portion of downside risk as already priced in, and view concerns around the pace of potential AI disruption as overstated, with the market potentially underappreciating the ability of incumbent software vendors to adapt. We maintain our Buy but lower our target price to E100 based on updated peer multiples.

AutoStore (Hold) – 2026 had a good start to the year...

During its Q1 results which built on the positive momentum of Q425, AutoStore talked about a positive start to 2026 with improving activity levels and increased confidence in long-term automation. In the current geopolitical landscape, this increasingly reflects a growing emphasis on resilient supply chains. While market volatility persists, momentum remained strong across several segments, including retail, 3PL, and industrial with increased demand for high throughput solutions. Growth in North America was particularly strong combined with a deeper level of customer engagement vs. in the past. This is particularly pleasing given the region was a focus of investment (with more direct support for customers) given the size of the opportunity.



...we expect this to have continued into Q2

The group still does not provide outright guidance. For Q2'26, we are expecting revenues of \$161.8m (+21% yoy), adj. EBITDA of \$69m (margin of 42.5%) and reported net profit of \$34.3m. Note our profit forecasts are slightly below consensus expectations of revenue of \$163m for revenue, \$73m for adj. EBITDA and \$40m for net profit (though more in line with consensus for FY26). Note that Q1'26 looked to have been a particularly good quarter and also had weak comparators so whilst we would seasonally expect Q2 to be stronger than Q1, we forecast Q2 to be slightly weaker than Q1. North America will continue to be focus for us, having grown strongly in Q1 and given its importance with a higher proportion of high throughput deals in that geography. The balance sheet continues to strengthen (0.5x ND/EBITDA, including lease liabilities at Q1'26) so with ongoing cash generation, the group's capital allocation options also grow.

DB View

Warehouse automation remains a structural growth story. It is also still relatively early in the global opportunity, with the majority of warehouses still with no or little automation. We hope to see the group maintain the positive start it had to the year despite the Iran conflict and the continuing uncertain macro backdrop. For now though, the uncertain macro will still likely cap any significant re-rating, with the shares broadly at the same level post Q1 (but up 29% YTD). As such we remain at Hold with an unchanged TP of NOK 14.

Dassault Systemes (Hold) – Q2 likely broadly in line, but H2-weighted FY26 still carries execution risk

Dassault reports Q2/26 on 23 July, where we expect an in-line quarter, with revenue likely to land around the midpoint of guidance for 2-5% cc growth (DB ~4%). Based on our checks, while the macro backdrop remains fluid and there is still deal-timing sensitivity towards quarter-end, there has so far been no meaningful impact on deal conversions that would lead Dassault to miss on the quarter. That said, if current macro conditions persisted, we would not rule out some macro headwinds in the second half. We expect Medidata to remain in decline in Q2, while Centric growth should normalize from an exceptional Q1, stepping down sequentially but still supporting the expected mid-teens H1 trajectory. Mainstream Innovation should therefore maintain robust growth, underpinned by SolidWorks, while Industrial Innovation should remain stable at mid-single-digit growth, helped by normalizing comps rather than any material underlying softening in demand. While Medidata bookings continue to trend positively, supporting the better H2-vs-H1 thesis, we still expect negative growth in Life Sciences in Q2, with large contracts signed in prior quarters still ramping and not yet moving the needle in terms of revenue growth. On the backdrop of macro uncertainties, we expect Dassault to guide relatively cautiously for Q3 while confirming full-year guidance, putting greater weight on stronger Q4 seasonality and execution to reach at least the upper end of the full year guidance range. The bottom line is we expect Dassault to deliver against relatively modest expectations for Q2, but Q2 itself is unlikely to be a major catalyst for the stock, with investor focus remaining on H2 execution and the CMD in November. While the valuation has taken a substantial beating this year, we believe further proof points around the Medidata H2 acceleration (and sustained growth beyond) are needed to drive a sustained re-rating. Until then and with some macro risks looming we remain on the sidelines and lower our target price to E20, valuing Dassault on a 50/50 blend of FY26 P/E and EV/uFCF of ~15x and ~16x, respectively, at a discount to peers to reflect lower revenue and earnings growth. Hold.



Hexagon (Hold) – Robotics remains a missed opportunity

Hexagon is set to publish its Q2/26 results on 29 July following completion of the Octave spin-off and recent CMD (see analysis [here](#)). For Q2/26, we forecast total revenue of E955m, with 6.1% organic growth in-line with cons at 6.1%. We expect Infrastructure & Geospatial (previously Geosystems) to post 2.0% y/y organic growth with weakness in China likely to persist which could be partially offset by strength in North American while the Middle East situation might continue to weigh on the EMEA region. We expect the Autonomous Solutions division to see 14.0% y/y organic growth as we see strong activity in the Aerospace & Defense sector to continue but with likely some growth moderation against tough comps into H2. For Manufacturing Intelligence, we expect 7.0% y/y organic growth in Q2/26 where we expect the order wins in FY25 to reflect in FY26 revenue while China Auto softness could become more of a headwind into H2, in our view. We do not yet model a contribution from the Robotics divisions in group financials as we await a strategic decision on the direction of this business and more progress on customer wins following an underwhelming update at the CMD that left too many outcomes open in a fast developing market where investors would have appreciated a clear "doubling down" on robotics. In our view, Hexagon should commit to becoming a leading European robotics OEM with investments on the continent and globally in capacity over being a component supplier or partner of other OEMs robots. We view the product (Aeon) as good enough to be successful in this market and believe a strategic commitment by management on robotics would be a strong positive for the share price. Hexagon has given a TAM estimate of \$34b by 2035 based on an external report during the CMD. This includes majority TAM of \$31b for industrial which we see as Aeon's main target market and a remaining \$3b for Home which we believe can be substantially larger but also more competitive and less of a focus for Aeon.

Based on latest DB research (link [here](#)), we expect the potential installed base for industrial/manufacturing humanoid robots to be 7.6m units by 2050. The company has earlier announced a successful pilot with Schaeffler followed by agreement to deploy 1,000 Aeon robots. It would be interesting to note updates around other projects with BMW, Pilatus, and Fill as well as further pilots or commercial deals.

On profitability, we forecast EBITAC margin (ex robotics) of ~23% and EBIT margin of 26.5% which is ~270 bps lower y/y due to significant FX headwinds and weaker volumes. For FY26, we expect organic revenue growth of ~5.7% y/y with Autonomous Solutions growth somewhat normalizing against tougher comps. However, we expect significant FX headwinds to result in a y/y decline in reported revenue. In terms of profitability, we expect EBITAC margins to reach ~24.0 % and EBIT margins of ~27% which is flat y/y as we expect FX headwinds to offset the benefits from the ongoing cost rationalization program. We keep our estimates mostly unchanged after we updated the model for the [Octave spin-off](#). However, we update the model for FX changes resulting in a 1% / 2% change in FY26/FY27 EPS. We also include the Waygate acquisition in our SOTP valuation.

With underlying growth likely moderating somewhat after a strong Q1 and robotics still a side show, we remain on the sidelines for now and rate Hexagon Hold. We value the company using a SOTP and apply a FY27e EV/EBIT multiple of ~18x to Hexagon and -18x for the Waygate acquisition which broadly in-line with European Industrial peers. Hexagon's stake in Cadence is valued at market prices but we understand that the company is reducing this stake currently in the market. Proforma FY27 net debt is adjusted for the Waygate acquisition.



Figure 1: Hexagon SOTP valuation

	Valuation metric	Value FY27e (€m)	Multiple	Value (€m)	Value/share (€)	DB comment
Hexagon	EV/EBIT	1,162	18	20,854	7.7	Broadly in-line with European Industrial peers
Waygate Technologies	EV/EBIT	65	18	1,167	0.4	Broadly in-line with European Industrial peers
Cadence holding	Value			1,052	0.4	Value of Hexagon's ~1% holding in Cadence
PF Net Debt Adj. for Waygate Acquisition	Value			-2,154	-0.8	Reflecting FY27e net debt
Equity Value				20,919	7.7	
TP (SEK)					85	

Source : Deutsche Bank estimates

Mensch und Maschine (Buy) – lower 3-year renewal cohort continues to weigh on growth

Mensch und Maschine is due to report Q2 results on 21 July, which we expect to be another quarter of muted growth. This is despite still favorable comps in Digitization, as Q2 last year was impacted by headwinds related to the Autodesk partner model transition. However, the Autodesk reselling business remains impacted by a smaller cohort of 3-year contract renewals, weighing on growth. On reseller margins, discussions with partners suggest some volatility due to Autodesk's revised partner incentives structure, which increasingly prioritizes new business and selected products over renewals. Given that new business represents a smaller share of MuM's Autodesk reselling, we believe the company is not yet able to fully offset this dynamic, which also represents a drag on growth. That said, we expect a slight sequential acceleration in Digitization, supported by a stronger services contribution. Growth in the Software segment should continue to outpace Digitization, albeit not sufficiently to reach the mid-point of the guidance range of 6–10%. We hence continue to expect FY26 gross profit growth to land below the mid-term target range, at ~5-6%. On profitability, we expect EBIT and EPS to continue to grow disproportionately strong in Q2 on the back of last year's cost-saving measures. However, we note that the exceptionally strong growth in Q1 was supported by a one-off gain related to the disposal of a stake in a SOFiSTiK subsidiary. We hence continue to see FY26 EBIT/EPS growth trending towards the lower end of the 11-19% mid-term ambition, broadly in line with recent management commentary.

Nemetschek (Buy) - Expecting a guidance update with Q2 to include HCSS

Nemetschek is due to report Q2 results on 30 July. Focus will be on the expected guidance update to include HCSS, as well as further commentary around the acquisition, including implications of Thoma Bravo's minority stake in the B&C segment. On guidance, we expect Nemetschek to maintain its current organic growth outlook of 14–15% cc, with HCSS adding a high-single-digit percentage contribution to FY26 growth (DBe ~9%, although we note some uncertainty around the size of potential revenue haircuts at HCSS). We also expect an update to EBITDA guidance (32-33% pre-HCSS), where we now see Nemetschek coming in at the lower end (DBe ~32%) or potentially even below, due to one-off costs related to the acquisition.

Apart from the guidance update, we expect a decent Q2, again driven primarily by the Build segment, where we model ~24% y/y growth in Q2, driven especially by Bluebeam. In Design, we expect ~8% growth, despite tougher comps from the strong Q2 last year, helped by ongoing demand for multi-year subscription contracts (which allow upfront revenue recognition). In the smaller Manage segment, we model ~4% growth, broadly flat growth sequentially, though this remains dependent on the timing of closing of larger deal in the pipeline. We remain cautious on Media, for which we model only ~2% growth, despite softer comps. On margins, we note that Q2 is usually the softest quarter in terms of profitability and



we hence model a Q2 EBITDA margin of ~31% (equating to EBITDA of ~€103m), also considering some one-off costs related to Nemetschek's recent M&A activity.

While Q2 and Q3 will likely be slightly messy and impacted by one-offs related to the HCSS acquisition (incl. revenue haircuts at HCSS, one-off costs at the EBITDA level, and the impact of Thoma Bravo's minority stake in B&C on minorities at Nemetschek Group level), we see long-term value in the HCSS acquisition. In addition, we remain positive on the growth opportunity in Bluebeam, both from user growth, with Bluebeam's internationalization still in the early innings, and from ARPU growth through upselling to Bluebeam Max (see our recent in-depth notes on these topics [here](#) and [here](#)). Buy.

Ocado (Buy) – Expected to be on track, investor focus also on recently announced leadership transition

DB forecasts in line with guidance

As a reminder, for FY26, the group is guiding for c. €500m of Tech Solutions revenue and c. 30% adj. EBITDA margin. Logistics is expected to deliver c. €30-35m of adj. EBITDA on the back of mid-to high-single-digit revenue growth. Note the Tech Solutions guidance reflects c. 10 new modules expected in FY26, offsetting the 12 modules from the Kroger and Sobeys closures in early 2026. The group then expects a further 10-15 modules in FY27. Overall, 6 CFCs are expected to go live over the next 2-3 years. Focus on the cost base remains strong with total cash costs across Technology and Support in FY27 to reduce by around €150m relative to FY25. The group has reiterated that it expects to turn cash flow positive during H2'26 - but that for underlying cash outflow to still be c.€(200)m for the year as a whole. It expects to be full-year cash flow positive in FY27. Our forecasts are essentially in line with these forecasts. Note that FY26 revenue and adj. EBITDA figures will be impacted by the accounting treatment of the Kroger Letter of Credit and Kroger and Sobeys CFC closure fees. The impact on FY26 revenue and adj. EBITDA is c. €350m. Whilst not treated as exceptional items, we highlight our revenue, adj. EBITDA and adj. FD EPS figures including and excluding these items given its distorting impact.

As such, for H1, pre these accounting Letter of Credit and closure fees, we are looking for revenue of €658m and adj. EBITDA of €77.8m. Including these items, we are looking for revenue of €973m and adj. EBITDA of €393m. Note that the recently announced Asda partnership is not expected to have any material impact in FY26. With Asda having over €3bn of online sales and assuming an Ocado take rate of c. 1% for these technologies, we assumed an annualised revenue contribution of c. €25-30m. We would expect this to have a very high drop through to EBITDA (around 70-80%). We assumed a partial contribution in FY27 (c. €7m to adj. EBITDA) and a full run-rate in FY28 (c.€20m to adj. EBITDA).

Leadership transition

Ocado also recently provided further clarity on the next phase of its long-term leadership transition. The Board and CEO Tim Steiner have been engaged in a succession planning process designed to support Ocado's long-term success. The process is expected to conclude around the start of the 2028 financial year. During FY27 and up to the completion of the succession process, Tim will continue in his role as CEO, while working closely with the Board to identify and prepare the next generation of leadership. Following the appointment of a successor, Tim will transition into a Founder role, reflecting his unique perspective and longstanding commitment to Ocado. In this capacity, he will continue to provide strategic guidance, deep market expertise and support to the Board, management team and



customers through 2029.

PTC (Buy) – continuing to make progress on AI solutions

PTC is set to publish its Q3/26 results on 29 July and despite the wider Software sector derating due to AI disruption fears, we remain constructive on the name. PTC is making good progress with its AI initiatives, including the launch of new AI capabilities in its existing products as well as a large number of POCs with customers. PTC recently introduced a number of product innovations during its PTC NEXT Chicago event, including new AI-powered solutions like PTC Orbit and Jetstream, an AI platform, and numerous enhancements across its CAD, PLM, ALM, and SLM portfolios, to accelerate the Intelligent Product Lifecycle for manufacturers. PTC Orbit, an AI-powered cloud-native asset intelligence solution unifies disparate asset data from various enterprise systems to provide a complete as-maintained view, enabling manufacturers to improve product reliability, service readiness, and aftermarket revenue through AI-driven insights and actionable intelligence. We would expect some disclosures related to financial implications from AI related investments in the coming quarters.

For Q3/26, we expect an in-line quarter as the strong momentum from deal wins in recent quarters could be somewhat offset by headwinds in more macro-/geopolitics-sensitive end-markets. We forecast ARR of ~\$2.4b (+8.4% y/y cc) at the mid-point of PTC's guided ARR growth range of 8-9% y/y cc and revenue of \$607m slightly below the consensus at \$612m. The company has guided Q3/26 revenue in the range of \$580-640m. On profitability, we expect operating margins of 42.3%, vs consensus at 41.5%. For FY26, PTC guides for revenue of \$2,580-2,820m and we model revenue of \$2,719m at the midpoint of the guidance, broadly in-line with cons. at \$2,728m. We expect slight upward revisions in FY26 ARR guidance following recent deals with Mazda and TRD USA. In terms of cash flow generation, PTC guided for FY26 FCF of ~\$850m. We model FY26 FCF of \$852m which is in-line with cons at \$850m.

With a decent 7% FCF yield and strong double digit FCF growth in FY27 and following years, PTC trades at only 14x CY27 EV/uFCF which is a discount to the Engineering Software peer average of ~20x. We feel PTC looks attractive at this stage and progress on AI solutions should warrant a higher multiple reflecting improving execution and strong recurring revenues. We value the company on ~19x CY27E EV/uFCF, in-line with key peers in Engineering Software.

Sage (Hold) – expecting continued healthy momentum in FQ3 but comps get tougher

Sage will release its FQ3/26 trading update on 29th July, and we expect the business to maintain the healthy momentum from H1. During H1/26, the company delivered org. total revenue growth at ~10% y/y and ARR growing slightly above seasonal q/q growth and the company also raised FY26 organic total revenue guidance to "above 9%" from "at least 9%" previously. Given that sequential acceleration in ARR in Q1 and Q2 and a still relatively healthy end market, we believe the momentum will continue in FQ3/26 but tougher comps could be a slight offset.

Having said that, this is already well reflected in consensus. For FQ3/26, we see total revenues of GBP 678m, slightly below Bloomberg consensus of GBP684m, and overall organic growth of ~9.5%. With strong momentum in ARR, we believe Sage will easily achieve its full year target of >9% top-line growth. We are modelling recurring revenue growth of 9.7% organically on continued momentum for Intacct especially outside the US and helped by Copilot monetization and well supported



by Sage Business Cloud (H1/26 growth of 15% y/y) including Cloud native revenue growth (H1/26: 25% y/y). For FY26, we are modelling overall top line growth of 9.6% organically or GBP2,759m, roughly in-line with the consensus at GBP2,762m and company guidance.

We believe that the company is maintaining its strategic framework that has delivered growth across all regions and most likely there is a scope for closer to 10% growth now, backed by healthy demand across regions, however the margin momentum is likely to remain constrained (DBe: 24.6%, up by ~70bps y/y vs target 50-100bps annual improvement range) on the back of prioritization of investments in product and R&D this year. We keep our estimates unchanged and retain our target price at GBp 900 - Hold.

SAP (Buy) – Q2 should be better than feared by some

SAP is due to report Q2 results on 23rd July (after US close). Following some cautious previews from other brokers, we believe results are likely to be better than feared. Our checks indicate that the demand environment for SAP has remained stable in Q2 against fears by management over a softening ahead due to geopolitical uncertainties voiced at Q1 results. We expect ~25% CCB growth (with ~80bps M&A contribution) vs slightly lower market expectations between 24-25% and hence do not expect a change to revenue guidance. We also expect SAP to reiterate the outlook for EBIT and FCF. Having said that, investment in product/AI as well as infrastructure rollouts (mostly for sovereign Cloud) could limit margin upside into H2 and next year as management alluded to at Sapphire in May already. We further believe Q2 FCF consensus is too high but attribute this largely to some outlier estimates while SAP is fully on track to comfortably meet FY26 FCF guidance of €10b.

All eyes on more AI proof points, KPIs to come later

Following new AI solutions announcements at Sapphire 2026, we see additional customer proof points and details on commercial success as key from here (and more important than results). Our checks indicate good customer feedback on the new AI offering post Sapphire with the availability of large parts of SAP's AI roadmap to on-prem customers (if the sign a RISE Cloud migration deal) a catalyst for many Cloud migration latecomers to make the move. This should help Cloud growth towards next year and FY28, in our view. SAP will have to provide some incremental KPIs and a more detailed financial framework around the AI opportunity, which is expected to account for ~1/3 of Cloud revenues by 2030, at one point. We would expect this with Q4 results or Sapphire 2027 after the company has been able to sign AI deals based on their new offering for 6-12 months. Combined with reaccelerating growth next year, this could be a catalyst for a rerating of the shares again while for now the market will closely monitor the uptake of the new AI offering and we expect SAP to give a comprehensive update on new deals signed every quarter.

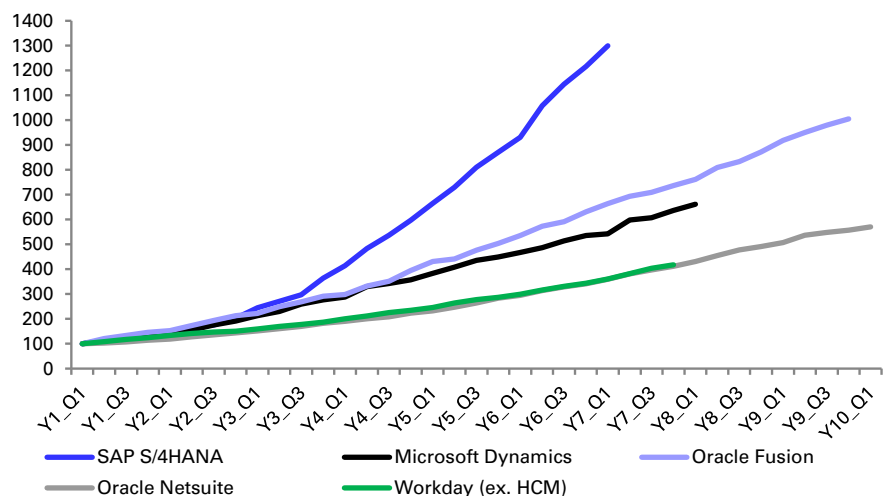
For Q2, we model revenue growth of ~11% y/y cc with ~23% cc Cloud growth. We see a moderate sequential improvement in Cloud gross margins to 73.5% and operating margin expansion of ~60bps y/y to 29% on the back of a healthy overall deal-pipeline and cost saving initiatives around AI implementation. FCF in the quarter should be supported by working capital dynamics and come in well above ~€2.7b, strongly supporting the €10b FY26 target.



SAP's Cloud ERP momentum remains impressive vs. peers

Although SAP has changed the disclosure of its Cloud revenue growth breakdown with Q1/24 (which we view as sensible, given increased sales of solution bundles rather than individual applications), below, we provide an update on our analysis of S/4HANA Cloud growth vs. Cloud ERP at peers, assuming a continued increase in the share of S/4HANA Cloud within Cloud ERP Suite, in-line with trends over the last few quarters. This points to S/4HANA Cloud growth in the ~30% range in Q4/25 as well, which remains impressive vs. peers' Cloud ERP growth of ~20% (Figure 7). In Figure 6, we compare the Cloud ERP ramp-up and growth trajectory post the launch of SAP's S/4HANA Cloud ERP with major industry peers (using Deutsche Bank estimates and Bloomberg Intelligence data if Cloud ERP is not reported) on an indexed basis, starting with the first quarter for each company in which quarterly Cloud ERP revenues surpassed \$100m.

Figure 2: SAPS/4 HANA Cloud growth in historical context
(100 = first quarter with revenues >\$100m; calendarised; DBe)

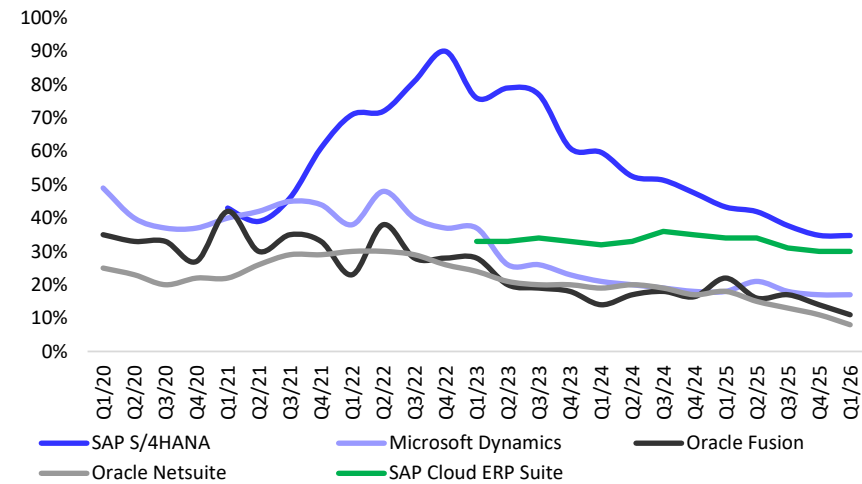


Source : Company data, Deutsche Bank estimates, Bloomberg Finance LP, Deutsche Bank estimates for SAP S/4HANA since Q1/24

This chart shows that SAP has been off to a very strong start, and it continues to see an impressive pace of Cloud ERP business expansion. While this is clearly helped by its large installed on-premise customer base and the fact that the Cloud ERP market is now much more mature, we still find this picture to be quite encouraging. We continue to hear feedback from bears on the stock that S/4HANA Cloud growth needs to moderate toward current peer growth levels (i.e., low-twenties to high-teens percentage, as shown below). Yet, based on our industry and customer conversations, we believe that this will stay in the high 20% range in 2026 and likely still meaningfully above 20% for the coming years, as customers have embarked (and continue to do so) on multi-year transformation deals with SAP that continue to grow in scope (and hence revenue) over time.



Figure 3: SAP's S/4 HANA Cloud is outgrowing peers in Cloud ERP



Source : Company data (all numbers in cc growth), Deutsche Bank estimates for SAP S/4HANA since Q1/24



Expectations for Q2/26 in detail

We see current Cloud backlog (CCB) growth for Q2 at ~25%, in-line with company guidance for slightly decelerating CCB growth throughout FY26. Healthy bookings momentum should drive continued close to 30% growth for its Cloud ERP Suite, from ~30% y/y cc in Q1/26, accounting for headwinds from only slightly growing transactional revenues. We model Q2/26 Cloud revenue growth at ~23% y/y cc (vs ~27% in Q1), reaching E6,242m, slightly below consensus at E6,251m, helped by accelerated adoption of Business Data Cloud and AI solutions. We expect roughly stable gross margin for Q2/26 at 73.5% (down 10bps y/y), with a lower contribution from high margin Licensing business. We model non-IFRS operating margin at 29% (vs. ~30% in Q1/26) with some benefits from implementation of AI strategies to improve operational efficiency.

We expect total Q2/26 revenue of ~E9.85b (~11% y/y cc), roughly in-line with cons. at ~E9.85b (Visible Alpha, as published by SAP), driven by continued growth in Cloud, but with headwinds in the more macro-sensitive transactional business and lower License revenue. We see Cloud and Software revenue at ~E8.8b (vs. cons. of ~E8.8b), with ~12% y/y cc growth. Within Cloud and Software, we expect Cloud revenue momentum to remain slightly weaker at ~23% y/y cc (vs. ~27% in Q1/26) and reach ~E6.2b, slightly below cons at ~E6.3b, while seeing continued good momentum into Q3/26 and Q4/26. This should be driven by a health Cloud backlog thanks to ongoing ERP Cloud conversions at customers, new wins backed by AI driven competitive product portfolios and improving underlying growth in Cloud outside of ERP. We expect a slight continued moderation of CCB momentum in FY26e but believe this could stabilize by year end and into FY27 given revenue recognition timing of deals signed in Q4/25 and help from reaccelerating migrations due to SAP's change around making AI features available for legacy on-prem customers once signing a Cloud migration deal. Within the Cloud and Software segment, we expect Licensing revenues to remain weak with a decline of -28% y/y cc, with revenue reaching E136m slightly above consensus at E133m. We expect Support revenue growth to moderately decelerate by ~6% y/y cc, reaching ~E2.41 b (vs. cons. at ~E2.43b). For the Services segment, we see a modest improvement of 2%, reaching revenue of E1,061m in Q2/26.

Cloud and Software gross margins should come in at ~79%, slightly down by ~74bps y/y, primarily due to lower contribution from Licensing. We believe that Cloud gross margins should remain stable at 75.2% (vs. 75.2% in Q1/26) or flat y/y. We estimate the Services segment's gross margin to be 25.1% (up ~22bps y/y) for Q2/26, leading to an overall gross margin of ~73.5% (down 10bps y/y). On the operating margin side (including SBC), we expect a 60bps y/y improvement to 29% (vs. 30% in Q1/26), driving non-IFRS operating profit toward ~E2.86b, roughly in-line with consensus (at E2.88b), with softer Licensing in the quarter as well as ongoing cost headwinds from efficiency measures (not booked as extraordinary restructuring charges).

For 2026, we model revenue of ~E40.2b (~11% y/y cc), in-line with cons. at ~E40.2b, driven by continued growth in Cloud. Cloud is expected to grow at ~23% y/y cc, in-line with the lower end of SAP's target range of 23-25% y/y cc. We expect non-IFRS operating profit to expand by ~140bps y/y, reaching ~E11.95b (or a margin of 29.7%), in-line with cons. at ~E11.9 b (or 29.7%) that implies non-IFRS operating profit of ~E12.1b at cc (vs. guidance of E11.9b to E12.3b). We believe that margin expansion will be largely attributed to incremental savings from the extended transformation program, coupled with efficiency gains from AI implementation but somewhat offset by rising token and AI infrastructure/



hardware costs (e.g. for sovereign Cloud projects).

For FY27, we are modeling re-accelerating top-line growth of ~12% y/y cc with sales reaching E45.2b above cons at ~E44.8b, well supported by continued momentum in Cloud growth at 23.4% y/y cc touching ~E31.8b, slightly above consensus of E31.3b. On the margin front, we are conservatively expecting non-IFRS operating margin to only moderately expand to 30%, below consensus estimates of 30.5%, and we also see FCF of E11.2b slightly below consensus at ~E11.4b. Higher AI (product R&D, token and hardware) spending are key for SAP to sustain long-term growth and with management already pointing to less operating leverage next year (e.g. at Sapphire), we remain somewhat conservative on our margin estimates while FCF should again be well supported by structural improvements in working capital.

Reiterating target price at E200 – Buy

We are slightly increasing our FY26-28e EPS estimates by up to 3% to account for FX and lowered geopolitical risks, but we are keeping our target price unchanged at E200 based on ~20x FY27e EV/uFCF, a slight premium to a broad global Software peer group, considering SAP's above peer growth and rapidly evolving AI strategy. Reiterating BUY.

TeamViewer (Hold) – FY26 remains backend-loaded

TeamViewer is due to report its Q2/26 results on 28 July. While Q1 was largely in line with the anticipated soft start to the year, we expect the Enterprise segment to recover in Q2, as the one-off churn events in the DEX business should be largely digested. SMB, on the other hand, should continue to underperform amidst tougher comps due to price increases and commercial blockers, in line with management's comments around elevated SMB churn and stabilization only in H2/26. As such, while there is some visibility for an improvement in H2 versus H1, the FY26 guidance for 0-3% cc growth remains back-end loaded, and the lingering risk of a potential macro headwinds and its impact on discretionary software spend persists, especially given TeamViewer's still significant SMB exposure. That said, the company's increased Enterprise exposure, with the continued commercial ramp-up of TeamViewer ONE and the launch of full AEM capabilities this summer, positions it more favorably than in previous downturns, in our view. On profitability, we expect higher marketing spend to weigh on margins, dragging the EBITDA margin to ~32.5%, while FCF should normalize. We leave our estimates largely unchanged and remain on the sidelines, awaiting further proof points of the H2 acceleration. We leave our target price unchanged at E6.50.

Temenos (Hold) - Q2 to test pipeline conversion and FY26 confidence

Temenos held its Product Strategy Update on May 21, where the key message was that the company is moving from vision to execution around two strategic pillars: composable banking and embedded AI. Management highlighted that banks can increasingly modernize incrementally through individual modules rather than undertaking full core replacements, with retail deposits and retail lending already launched and additional products to follow. The company also showcased how AI is being embedded across implementation, upgrades and day-to-day operations to reduce deployment complexity, improve productivity and lower total cost of ownership. Importantly, management emphasized that AI is not changing customers' willingness to buy core banking software. Instead, banks are looking to vendors such as Temenos to use AI to deliver implementations faster, improve operational efficiency and automate workflows while maintaining auditability and regulatory compliance. The company also pointed to growing traction with large



Tier 1 institutions, continued market share gains and a healthy modernization pipeline.

In addition, Temenos announced a new U.S. regional bank customer early July. While encouraging, we would view this as a small-to-medium-sized deal and therefore unlikely to be material to near-term revenue growth. More strategically important, in our view, is continued evidence that modernization spending remains intact among larger institutions. Recent industry commentary around Pismo's involvement in Wells Fargo's core modernization program reinforces that large banks continue to invest in next-generation banking infrastructure despite a more uncertain macro backdrop.

Temenos is expected to report Q2/26 results on 22 July. We expect the company to continue benefiting from resilient demand for modernization, cloud and efficiency-related investments, despite a still mixed banking spending environment. While we do not foresee a broad-based reacceleration in bank technology budgets, we also do not see conditions weakening sufficiently to materially impact mission-critical core modernization projects. Recent product updates around composable banking and embedded AI reinforce our view that Temenos remains well positioned to capture these spending priorities. Against this backdrop, we expect Q2/26 subscription and SaaS revenue of USD 132m (vs consensus at USD 132m), maintenance revenue of USD 135m (vs consensus at USD 133m), and EBIT of USD 112m (vs consensus at USD 111m), implying margins of 37.2% (vs consensus at 37.3%).

IT Services – Relative preference for Capgemini and Reply unchanged

Bechtle (Buy) – Recent Management Meetings Support Confidence in FY26 Delivery

Bechtle is the market leader in a sector that should continue to show mid- to high-single-digit %age growth rates medium-term. Clearly, the FY25 performance was unsatisfying but during the last two decades, the company has only reported two years with negative revenue growth (during the GFC in 2009 and the Corona pandemic in 2020), it was never loss-making on the EBT level, and can report sales/EBT CAGRs of 12% and 18%, respectively. Q1/26 EBT rose 12% yoy, revenue increased by 8% yoy and business volume rose 13% yoy (+11% yoy organically), benefiting from increasing business activity with both major customer groups, i.e. business and public-sector clients. Order backlog reached a new record high of EUR 3.34bn, which implies 28% yoy growth (+4% qoq). Bechtle is due to report its Q2/26 results on 12 August. Recent management meetings left us incrementally more constructive on Bechtle, with management – and notably the new CFO – reinforcing confidence that FY26 guidance is achievable. Bechtle highlighted resilient volume trends, stable gross margins and evidence of ongoing market share gains, while exposure to both public-sector and SME customers continue to support growth. Management also downplayed the risk of any meaningful H2 payback from recent order pull-forward, suggesting current momentum is underpinned by genuine demand rather than timing effects. In our view, the combination of improving trading visibility, disciplined investment and a more focused strategic agenda strengthens the case for Bechtle as a high-quality compounder with further upside if execution remains on track. In the medium term, Bechtle targets a FY30 EBT margin of 5% (compared to 3.8% in FY25 based on business volume) and a business volume exceeding EUR 10bn (from EUR 8.6bn in



FY25, implying a 3% CAGR). This trajectory implies an EBT CAGR of 9%. We reiterate our Buy recommendation and keep our target price of EUR 45.

CANCOM (Buy) – Q2/26E with a record gross margin

CANCOM is Germany's seventh-largest independent IT Service company, reporting its Q2/26 results on 11 August. Q1/26 revenue were down 1% yoy but gross profit was up 3% yoy and with a gross margin of 42.9% (+169bps yoy), CANCOM reached a new record for a quarter. EBITDA rose 28% yoy, while EBITA even increased 69% yoy. Growth was driven by CANCOM's home market Germany (sales +6%/EBITDA +74% yoy), while the International business was weaker (sales -1% / EBITDA -5% yoy). Despite increasing costs for infrastructure and storage components, customer demand held steady in Q1/26 and according to CANCOM, the strong order book indicates that this trend will continue past the quarter. CANCOM envisages FY26E revenue/EBITDA/EBITA to increase 5%/17%/35% at the midpoint, with profitability supported by a flatter opex base following last year's restructuring measures. We expect customer demand for infrastructure solutions, digitalization, AI transformation, and data sovereignty to positively influence the 2026 financial year. However, this will most likely be juxtaposed with anticipated significant price increases and uncertainties surrounding the availability of IT components. Nevertheless, for FY26E we anticipate further benefits from ongoing public-sector momentum, the German stimulus package (although only later in the year), and recently implemented efficiency measures. In our view this could lead to FY26E revenue and EBITDA increasing by 6% and 22% (both yoy). CANCOM trades at a large 66% discount to the median FY27E peer group EV/EBITDA. We use two equally-weighted valuation approaches: our standard three-stage DCF model and an IT service peer group comparison. We reiterate our Buy rating and keep our price target of EUR 34.



Capgemini (Buy) – Resilience Rather Than Acceleration

Capgemini is set to report Q2 and H1 2026 results on 30 July. We expect the company to deliver 3.8% organic growth vs cons at 3.4% (10.3% at constant currency) in Q2, translating into revenues of E6,058m, supported by a broadly stable demand environment. For H1, we expect margin to remain broadly flat at 12.4% vs cons at 12.5%, reflecting continued bench pressure and the limited contribution from Fit for Growth savings at this stage, with benefits expected to be more H2-weighted as restructuring actions progress and WNS consolidation starts to support the margin trajectory. We forecast free cash flow of -E78m, consistent with the company's typical seasonality, and maintain our FY26 free cash flow estimate of E1.812bn vs con at E1.897b, in line with management's guidance.

While Accenture's recent results disappointed investors, we see limited read-across for Capgemini, as the weakness appeared largely company- and region-specific. For Capgemini, we expect the US and UK to remain areas of relative strength, supported by a favorable business mix as well as the contribution from WNS. According to the ISG Index, BPO recorded its strongest first-half growth since 2022, with ACV increasing 47% YoY and back-office services nearly doubling, which should continue to support growth in these regions. We expect this momentum to persist over the coming quarters, particularly as enterprises increasingly prioritize process transformation, automation and AI-enabled operations.

That said, France remains the key area of weakness in our view. Business sentiment continues to be subdued, reflecting ongoing macroeconomic uncertainty and a challenging political backdrop ahead of next year's elections.

From a vertical perspective, Public Sector and Financial Services appear relatively resilient, while trends in Manufacturing remain mixed. Automotive continues to face pressure, particularly in Germany. However, after nearly two years of contraction, the sector may be approaching a trough. We would interpret any improvement primarily as stabilization at depressed levels rather than the start of a meaningful recovery.

Elsewhere, Aerospace & Defence remains comparatively healthy, while Life Sciences appears to be showing signs of improvement, supported in part by emerging AI-related opportunities in areas such as drug discovery and development.

Finally, we expect management to provide further details on the Fit for Growth program and its potential margin implications when reporting H1 results. More broadly, we do not rule out the possibility of a guidance upgrade at H1. Current guidance suggests growth moderation into Q4 while demand trends appear more resilient than anticipated and, in our view, could continue to support growth through H2. Combined with the contribution from WNS, this could leave room for management to adopt a more constructive stance on the remainder of the year. We are positioning ourselves slightly ahead of guidance at 8.8% cc y/y growth, reflecting the strong momentum in UK and US.



Netcompany (Hold) – Solid Growth, Margin Investment Still the Key Debate

For Q2/26, we expect Netcompany to deliver a solid result, with trends broadly consistent with Q1. Growth should remain strongest outside Denmark, with the UK continuing to be the key positive contributor. Denmark is likely to remain more muted, particularly in the public sector, where announced activity was limited during the quarter. We forecast Q2 revenue of DKK2,308m vs cons at DKK2,312m, implying 7.2% organic growth, ahead of FY guidance but slightly below the Q1 run rate, supported by easier comparatives and continued UK momentum. On license revenue, we expect a visible Q2 contribution. The relevant license contribution is expected to be recognized across Q2-Q4, potentially on a broadly even phasing.

On margins, we forecast Q2 adjusted EBITDA of DKK325m vs cons at DKK334m, implying an adjusted EBITDA margin of 14.1%. We expect margin progression to remain constrained by ongoing product investment, with AI efficiency benefits still limited in the reported numbers at this stage and more likely to become visible in H2. The key margin debate remains whether the current investment level is now the run rate. We also expect the margin drag from client-facing FTEs allocated to product development to remain broadly similar to Q1.

We expect investor focus to remain on four areas: organic revenue growth versus guidance, adjusted EBITDA and margin delivery, the license revenue contribution, and progress on Netcompany Banking Services synergies. Cash conversion and the development of WIP/receivables will also matter, particularly after the Q1 working capital build.

Reply (Buy) – an improving picture continues to emerge

Reply's LFL growth in Q1'26 of 6.6% and adj. EBITDA margin of 17.4% was reassuring/ better than expectations and supportive of its guidance of improving growth through FY26. For Q2, we are looking for revenue of €641m, equivalent to organic ccy growth of 5.1% which compares against the 6.6% delivered in Q1. Note that the comparator figure in Q2 is slightly stronger than it was in Q1. We expect broadly a similar shape to Q1; we expect Region 1 (includes Italy and US) to remain solid, delivering high single digit CCY growth, Region 2 (Germany) to be marginally up and for Region 3 (incl. France and the UK) to be delivering mid-single digit revenue growth. From an adj. EBITDA perspective, we are looking for €113m of adj. EBITDA, equivalent to a margin of 17.6% (vs. 17.4% in Q1). In Germany, the group invested in new initiatives and launches which are expected to help drive incremental improvement through the year and we expect some of this impact still in Q2. France, which had a more difficult 2025 started to recover in Q1 and was said to be almost break-even; we expect it to have continued its improving trajectory. Our Q2 forecasts are slightly below consensus (consensus €652m revenue) but in line with adj. EBITDA (consensus: €113.5m).

During Q1, the group also launched the Reply Model Factory, a response to the role AI is playing in the demand it is seeing. It is an industrial production line for data preparation, training, evaluation, deployment and continuous improvement, with controlled interfaces, embedded quality gates and built-in alignment with the EU AI Act. The "Reply Model Factory" will allow organizations to securely use their unique data to train models on their specific terminology and operational constraints, thereby enabling them to move beyond generic intelligence. We would look to get an update on this.



The shares have recovered c.18% from a low of €77 on the 24th March, but remain down c.20% YTD having been impacted by the broader debate on the impact of generative and agentic AI on IT services business models. Now trading at 6.3x CY26 EV/EBITDA, Reply is valued towards the mid-point of the peer set (range: 3.0x – 10x) which we believe is slightly unfair given its track record of execution in the business and potential for improving growth through the next 12 months and beyond. In our view, organisations will need to lean on IT services providers for expertise and advice to formulate and execute their own AI strategies. Whilst the AI debate is likely to rumble on for some time, we believe Reply is well placed to benefit from that demand.

SoftwareOne (Hold) – Beyond renewals, focus turns to execution

SoftwareOne is expected to report Q2/26 results on 26 August. Following the recently raised FY26 guidance and constructive messaging at its June Capital Markets Day (see our [CMD note](#)), we expect another solid quarter from the company. Management used the CMD to reinforce confidence in the growth outlook, synergy opportunity and cash generation potential of the combined SoftwareOne-Crayon platform.

We forecast revenue of CHF 428m (+9.8% cc y/y) vs cons at CHF 393m and adj. EBITDA of CHF 118m vs cons at CHF 105m, implying an adj. EBITDA margin of 27.5%. We further forecast free cash flow of CHF 52m in H1.

Following a Q1 that benefited from a number of large renewal transactions, we see Q2 as a cleaner test of the underlying demand environment and operational trajectory of the combined business. Recent industry datapoints remain supportive, pointing to healthy enterprise software procurement activity, ongoing cloud transformation initiatives and increasing focus on vendor consolidation and software optimization. In our view, these trends remain supportive of SoftwareOne's positioning and provide a constructive backdrop for the quarter.

Key focus areas should be channel trends, North America, margins and FCF. Following the guidance increase, we believe investors will increasingly look for evidence that synergies are translating into profitability and cash delivery.

Overall, we expect another positive quarter from SoftwareOne. While Q1 was aided by renewal activity, we believe Q2 should provide a cleaner view of underlying performance across the business. Continued execution across channel, North America, margins and free cash flow should further support confidence in the group's medium-term targets.



Figure 4: Key estimate changes

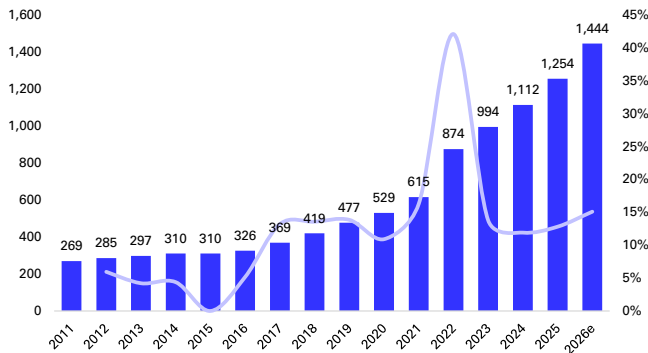
	2026E		2027E		% change in est.	
	Old	New	Old	New	2026E	2027E
Amadeus (EUR)						
Revenues	6,904	6,852	7,507	7,496	(0.7%)	(0.1%)
adj EPS	3.42	3.44	3.79	3.85	0.8%	1.8%
ATOSS (EUR)						
Revenues	213	212	241	241	(0.4%)	(0.3%)
adj EPS	3.31	3.29	3.83	3.81	(0.5%)	(0.4%)
Cappgemini (EUR)						
Revenues	24,056	24,195	25,654	26,049	0.6%	1.5%
adj EPS	12.53	12.61	13.69	13.91	0.6%	1.5%
Dassault Systemes (EUR)						
Revenues	6,295	6,303	6,622	6,630	0.1%	0.1%
adj EPS	1.31	1.31	1.38	1.39	0.0%	0.6%
Hexagon (EUR)						
Revenues	3,907	3,948	4,083	4,157	1.1%	1.8%
adj EPS	0.27	0.28	0.31	0.32	1.2%	2.0%
Nemetschek (EUR)						
Revenues	1,459	1,459	1,801	1,801	0.0%	0.0%
adj EPS	2.51	2.50	3.07	3.08	(0.2%)	0.3%
Netcompany (DKK)						
Revenues	9,319	9,446	10,056	10,194	1.4%	1.4%
adj EPS	19.35	20.39	22.84	23.30	5.4%	2.0%
SAP (EUR)						
Revenues	39,999	40,203	44,787	45,188	0.5%	0.9%
adj EPS	7.16	7.19	8.16	8.37	0.4%	2.6%
SoftwareONE (CHF)						
Revenues	1,627	1,635	1,769	1,785	0.5%	0.9%
adj EPS	0.64	0.64	0.82	0.83	0.5%	1.0%
TeamViewer (EUR)						
Revenues	765	762	792	788	(0.4%)	(0.4%)
adj EPS	1.09	1.08	1.11	1.12	(0.4%)	0.7%

Source : Deutsche Bank estimates



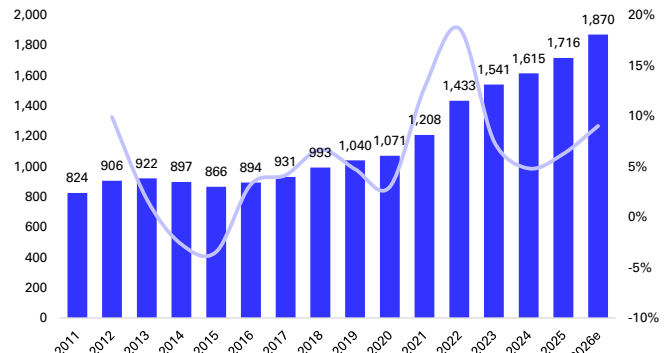
The SITS sector in charts

Figure 5: Global Software spending forecast (in bn USD)



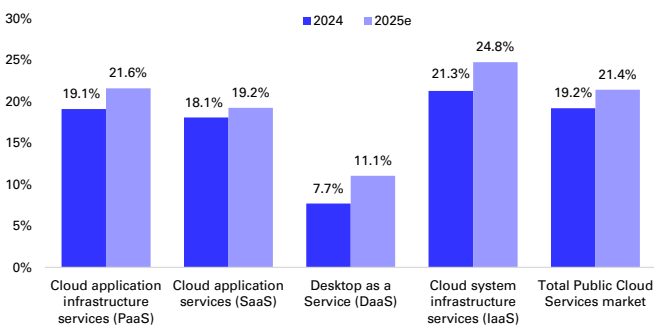
Source : Gartner, Deutsche Bank

Figure 6: Global IT services spending forecast (in bn USD)



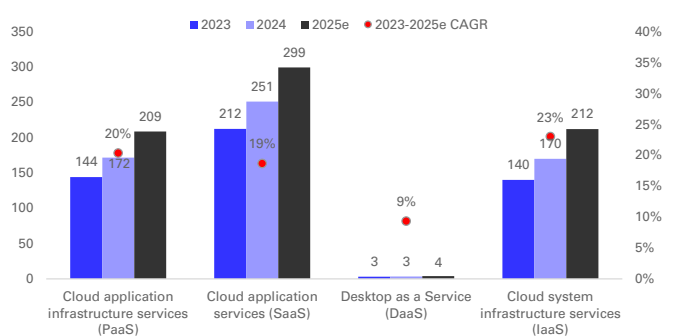
Source : Gartner, Deutsche Bank

Figure 7: Public cloud services growth worldwide, by segment



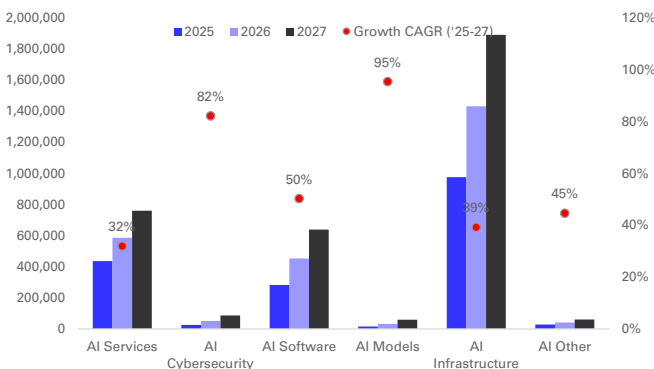
Source : Gartner, Deutsche Bank

Figure 8: Global cloud applications market size (in bn USD)



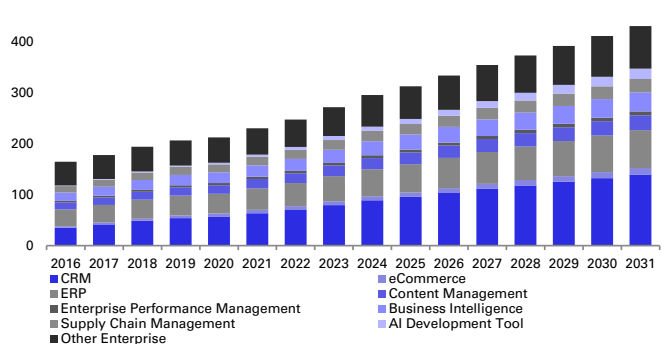
Source : Gartner, Deutsche Bank

Figure 9: Worldwide AI Spending by Market (in bn USD)



Source : Gartner, Deutsche Bank

Figure 10: Enterprise software market by segment (in bn USD)

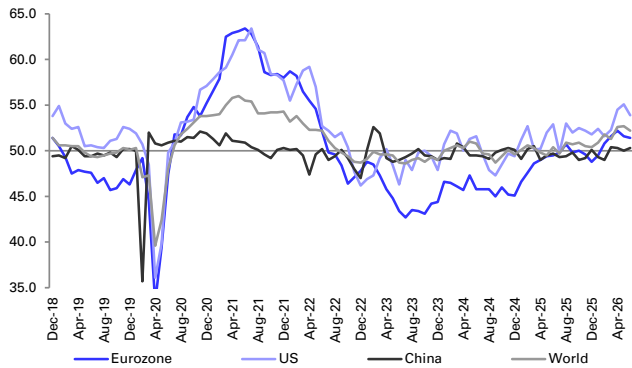


Source : Statista, Deutsche Bank



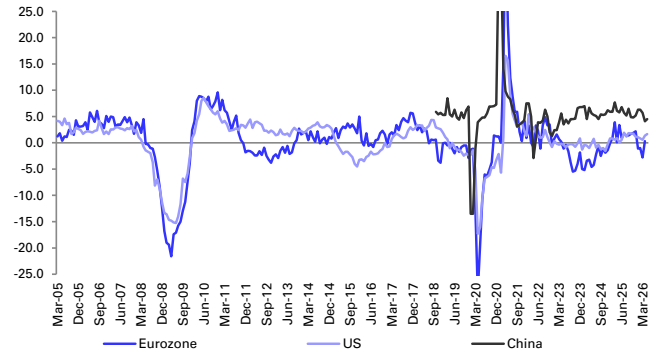
Key end-market data and KPIs for SITS

Figure 11: Latest Manufacturing PMIs pointing down again



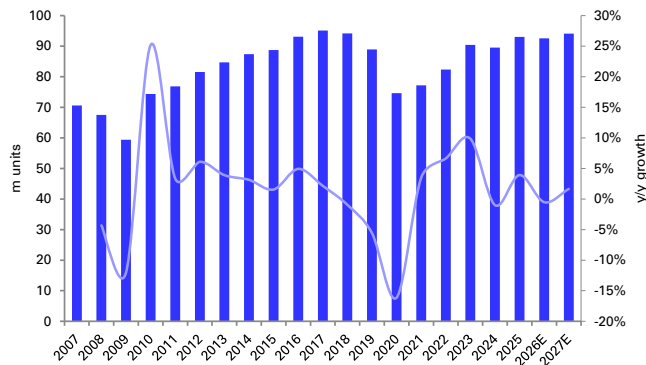
Source : Deutsche Bank, Bloomberg Finance LP, National Bureau of Statistics

Figure 12: Industrial Production - Europe improving



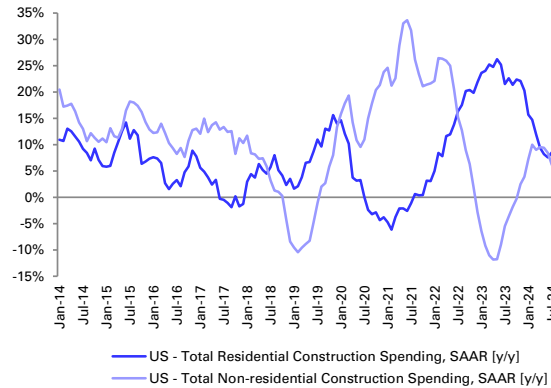
Source : Deutsche Bank, Bloomberg Finance LP, National Bureau of Statistics

Figure 13: Global light vehicle production (m units) – fattish trends in 2026



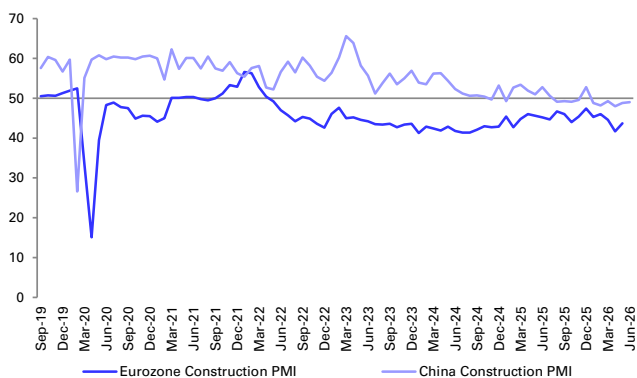
Source : Deutsche Bank, IHS

Figure 14: Growth in US non-resi construction spend recovering; resi spend still declining



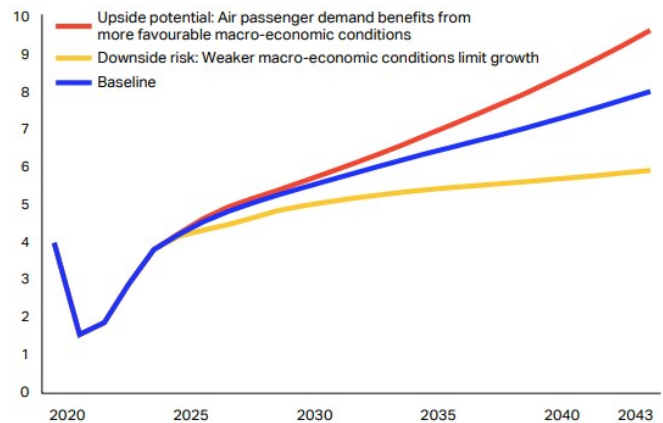
Source : Deutsche Bank, Bloomberg Finance LP

Figure 15: Construction PMIs bottoming



Source : Deutsche Bank, Bloomberg Finance LP

Figure 16: Global air passenger journeys (bn)



Source : Deutsche Bank, IATA



Reporting season

Figure 17: Q2/26 reporting season – Key dates

Monday	Tuesday	Wednesday	Thursday	Friday
13 July 2026 Cyberark Q1-26* HCL Tech Q1-27	14 July 2026	15 July 2026	16 July 2026 Ocado S1-26 F-Secure Q2-25 Wipro Q1-27	17 July 2026
20 July 2026	21 July 2026 MuM Q2-26	22 July 2026 Temenos Q2-26 IBM Q2-26 Servicenow Q2-26 Tieto Q2-26	23 July 2026 Dassault Systeme S1-26 SAP Q2-26 Indra Sistemas S1-26 Infosys Q1-27 RingCentral Q2-26 SS&C Technologies Q2-26	24 July 2026 ATOSS Q2-26
27 July 2026	28 July 2026 TeamViewer Q2-26 Cadence Q2-26* Keyence Q1-27	29 July 2026 Hexagon Q2-26 PTC Q3-26 Sage Q3-26 Sales CGI Q3-26 Cognizant Q2-26 Microsoft Q4-26 Sopra S1-26 Fortinet Q2-26*	30 July 2026 Capgemini S1-26 Nemetschek Q2-26 Reply S1-26 Check Point Q2-26 DXC Technology Q1-27 Microstrategy Q2-26	31 July 2026 Amadeus S1-26 Cognex Q2-26*
03 August 2026	04 August 2026	05 August 2026 Teradata Q2-26* Omron Q1-27	06 August 2026 EPAM Q2-26* Nikon Q1-27 Rockwell Q3-26* Trimble Q2-27*	07 August 2026 Norton Q1-27* Sabre Q2-26* Trend Micro S1-26*
10 August 2026	11 August 2026 CANCOM Q2-26	12 August 2026 Bechtel AG Q2-26	13 August 2026 AutoStore Q2-26 Netcompany Q2-26	14 August 2026
17 August 2026	18 August 2026 Palo Alto Q4-26*	19 August 2026	20 August 2026	21 August 2026 Intuit Q4-26* Workday Q2-27*
24 August 2026	25 August 2026	26 August 2026 SoftwareOne S1-26	27 August 2026 Veeva Q2-27*	28 August 2026 Autodesk Q2-27*
31 August 2026	01 September 2026	02 September 2026 Zscaler Q4-26*	03 September 2026 Salesforce Q2-27*	04 September 2026 Guidewire Q4-26*
07 September 2026	08 September 2026	09 September 2026 Synopsys Q3-26*	10 September 2026	11 September 2026

Source : Company data, Bloomberg Finance LP; bold denotes under coverage by EU Tech team. *denoted tentative dates by Bloomberg Finance LP



Key estimates vs. consensus

Figure 18: Deutsche Bank estimates vs. consensus – Software & IT Services

Amadeus (EURm)	Q226 DBE	Q226 Cons	Q326 DBE	Q326 Cons	2026 DBE	2026 Cons	2027 DBE	2027 Cons
Revenues	1,665	1,657	1,736	1,745	6,852	6,841	7,496	7,450
q/q	(1.0%)	(1.5%)	4.2%	5.3%				
y/y	2.3%	1.8%	6.1%	6.7%	5.1%	5.0%	9.4%	8.9%
adj EBITDA	644	655	680	698	2,604	2,632	2,871	2,889
adj EBITDA margin	38.7%	39.5%	39.2%	40.0%	38.0%	38.5%	38.3%	38.8%
adj EPS	0.87	0.87	0.92	0.93	3.44	3.42	3.85	3.85
ATOSS (EURm)	H126 DBE	H126 Cons	H226 DBE	H226 Cons	2026 DBE	2026 Cons	2027 DBE	2027 Cons
Revenues	103	103	109	110	212	214	241	244
h/h	6.0%	6.0%	6.2%	6.8%				
y/y	11.8%	11.9%	12.5%	13.2%	12.2%	13.1%	13.3%	13.8%
adj EBIT	36	36	39	39	75	74	87	85
adj EBIT margin	35.0%	35.1%	35.4%	35.5%	35.2%	34.4%	36.0%	35.0%
adj EPS	1.58	1.59	1.71	1.71	3.29	3.27	3.81	3.76
Autostore (USDm)	Q226 DBE	Q226 Cons	Q326 DBE	Q326 Cons	2026 DBE	2026 Cons	2027 DBE	2027 Cons
Revenues	162	164	158	163	681	660	765	730
q/q	(2.4%)	(0.8%)	(2.4%)	(0.9%)				
y/y	20.8%	22.8%	13.5%	17.3%	26.5%	22.5%	12.3%	10.7%
adj EBITDA	69	73	68	74	286	285	328	323
adj EBITDA margin	42.5%	44.3%	43.0%	45.2%	42.1%	43.2%	42.9%	44.3%
adj EPS (\$cents)	1.17	NA	1.15	NA	4.98	5.10	5.75	5.90
Bechtle (EURm)	Q226 DBE	Q226 Cons	Q326 DBE	Q326 Cons	2026 DBE	2026 Cons	2027 DBE	2027 Cons
Revenues	1,542	1,555	1,646	1,662	6,695	6,698	7,110	7,070
q/q	(1.9%)	(1.0%)	6.7%	6.8%				
y/y	3.7%	4.6%	3.6%	4.6%	4.5%	4.6%	6.2%	5.5%
adj EBIT	73	73	81	85	339	351	382	380
adj EBIT margin	4.7%	4.7%	4.9%	5.1%	5.1%	5.2%	5.4%	5.4%
adj EPS	0.39	0.39	0.44	0.45	1.85	1.92	2.09	2.07
Cancom (EURm)	Q226 DBE	Q226 Cons	Q326 DBE	Q326 Cons	2026 DBE	2026 Cons	2027 DBE	2027 Cons
Revenues	420	411	452	449	1,813	1,798	1,941	1,885
q/q	3.2%	0.9%	7.6%	9.3%				
y/y	6.8%	4.4%	6.7%	5.8%	5.7%	4.9%	7.1%	4.8%
adj EBIT	12	30	15	34	56	59	75	69
adj EBIT margin	2.8%	7.3%	3.3%	7.6%	3.1%	3.3%	3.9%	3.7%
adj EPS	0.30	0.96	0.38	0.38	1.29	1.28	1.75	1.53
Capgemini (EURm)	H126 DBE	H126 Cons	H226 DBE	H226 Cons	2026 DBE	2026 Cons	2027 DBE	2027 Cons
Revenues	12,001	12,002	12,194	12,142	24,195	24,003	26,049	25,051
h/h	5.7%	5.7%	1.6%	1.2%				
y/y	8.1%	8.1%	7.4%	6.9%	7.7%	6.8%	7.7%	4.4%
adj EBIT	1,489	1,504	1,827	1,788	3,316	3,278	3,613	3,480
adj EBIT margin	12.4%	12.5%	15.0%	14.7%	13.7%	13.7%	13.9%	13.9%
adj EPS	5.67	6.01	6.94	7.26	12.61	12.58	13.91	13.44
Dassault Systemes (EURm)	Q226 DBE	Q226 Cons	Q326 DBE	Q326 Cons	2026 DBE	2026 Cons	2027 DBE	2027 Cons
Revenues	1,551	1,540	1,502	1,520	6,303	6,334	6,630	6,677
q/q	2.8%	2.0%	-3.2%	-1.3%				
y/y	1.8%	1.1%	2.7%	4.0%	1.0%	1.5%	5.2%	5.4%
adj EBIT	463	457	493	468	2,024	2,053	2,148	2,098
adj EBIT margin	29.9%	29.7%	32.8%	31.1%	32.1%	32.4%	32.4%	32.7%
adj EPS	0.30	0.30	0.32	0.31	1.31	1.34	1.39	1.38
Hexagon (EURm)	Q226 DBE	Q226 Cons	Q326 DBE	Q326 Cons	2026 DBE	2026 Cons	2027 DBE	2027 Cons
Revenues	955	1,000	984	1,040	3,948	4,307	4,157	4,656
q/q	(1.0%)	3.8%	3.1%	4.0%				
y/y	(30.4%)	(27.0%)	(24.5%)	(20.2%)	-27.2%	-20.6%	5.3%	8.1%
y/y lfl	6.1%	6.2%	5.7%	6.3%	5.7%	6.2%	5.3%	6.0%
adj EBIT	253	259	268	274	1,069	1,304	1,162	1,264
adj EBIT margin	26.5%	25.9%	27.3%	26.4%	27.1%	30.3%	27.9%	27.2%
adj EPS	0.07	0.07	0.07	0.08	0.28	0.33	0.32	0.35
Mensch und Maschine (EURm)	Q226 DBE	Q226 Cons	Q326 DBE	Q326 Cons	2026 DBE	2026 Cons	2027 DBE	2027 Cons
Gross profit	46	46	45	45	192	191	206	205
q/q	(11.3%)	(11.4%)	-0.7%	-1.6%				
y/y	4.3%	4.1%	7.3%	6.1%	5.3%	5.0%	7.5%	7.2%
adj EBIT	12	12	11	11	54	56	60	63
adj EBIT margin	19.8%	19.2%	18.2%	17.3%	21.1%	21.7%	21.9%	22.7%
adj EPS	0.43	0.44	0.43	0.41	2.11	2.18	2.41	2.48
Nemetschek (EURm)	Q226 DBE	Q226 Cons	Q326 DBE	Q326 Cons	2026 DBE	2026 Cons	2027 DBE	2027 Cons
Revenues	330	327	390	349	1,459	1,360	1,801	1,567
q/q	5.5%	4.3%	18.1%	6.9%				
y/y	13.9%	12.6%	33.0%	19.1%	22.5%	14.2%	23.5%	15.2%
adj EBIT	83	86	101	101	379	372	511	461
adj EBIT margin	25.0%	26.5%	25.8%	28.8%	26.0%	27.4%	28.4%	29.4%
adj EPS	0.60	0.59	0.62	0.65	2.50	2.50	3.08	2.97

Source : Deutsche Bank estimates, company data, Infront, Visible Alpha, Vara, Bloomberg Finance LP consensus (as of 10th July 2026); 1) Hexagon DB estimates are excluding Waygate Technologies acquisition 2) Nemetschek DB estimates are including the recent HCSS merger



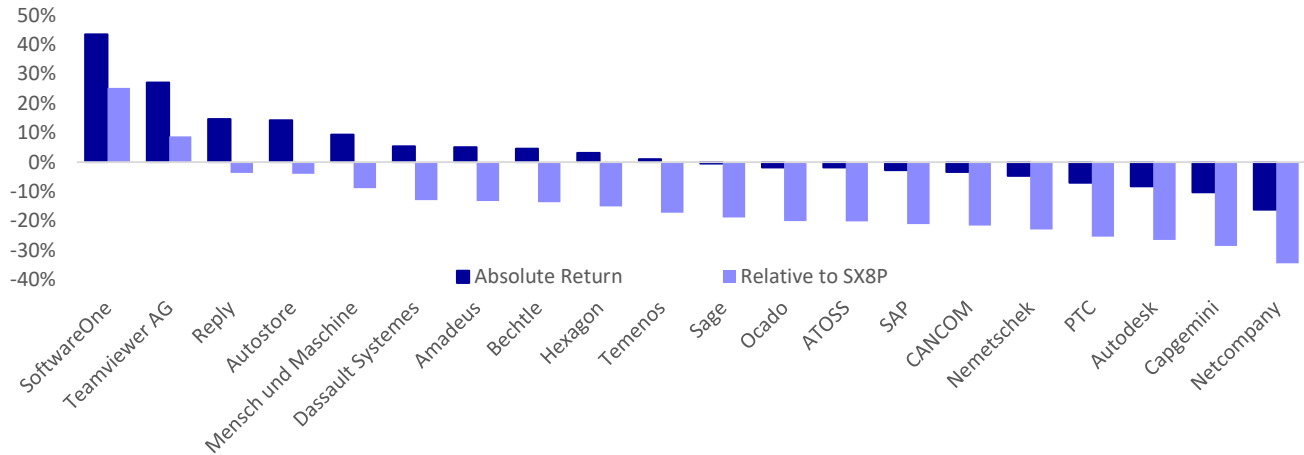
Figure 19: Deutsche Bank estimates vs. consensus – Software & IT Services (continued)

Netcompany (DKKm)	Q226 DBE	Q226 Cons	Q326 DBE	Q326 Cons	2026 DBE	2026 Cons	2027 DBE	2027 Cons
Revenues	2,308	2,313	2,329	2,337	9,446	9,478	10,194	10,208
q/q	-4.4%	1.0%	0.9%	1.1%				
y/y	34.6%	34.9%	7.4%	7.8%	19.7%	20.1%	7.9%	7.7%
adj EBITDA	325	334	414	440	1,648	1,635	1,862	1,911
adj EBITDA margin	14.1%	14.4%	17.8%	18.8%	17.4%	17.2%	18.3%	18.7%
adj EPS	3.66	3.06	5.20	5.15	20.39	19.27	23.30	24.57
PTC (USDm)	Q326 DBE	Q326 Cons	Q426 DBE	Q426 Cons	F2026 DBE	F2026 Cons	F2027 DBE	F2027 Cons
Revenues	607	612	652	657	2,719	2,728	2,897	2,909
q/q	-21.6%	-20.9%	7.3%	7.4%				
y/y	-5.7%	-4.9%	-27.1%	-26.5%	-0.8%	-0.4%	6.6%	6.6%
adj EBIT	257	255	288	294	1,265	1,269	1,346	1,337
adj EBIT margin	42.3%	41.7%	44.2%	44.8%	46.5%	46.5%	46.5%	46.0%
adj EPS	1.60	1.58	1.69	1.85	7.92	8.06	8.73	8.67
Reply (EURm)	Q226 DBE	Q226 Cons	Q326 DBE	Q326 Cons	2026 DBE	2026 Cons	2027 DBE	2027 Cons
Revenues	641	652	635	639	2,636	2,653	2,777	2,839
q/q	(0.5%)	1.1%	-1.0%	-2.0%				
y/y	4.5%	6.3%	6.1%	6.8%	6.1%	6.8%	5.4%	7.0%
Adj EBITDA	113	114	116	116	471	478	495	511
Adj EBITDA margin	17.6%	17.4%	18.2%	18.1%	17.9%	18.0%	17.8%	18.0%
adj EPS	NA	NA	NA	NA	7.97	7.42	8.35	7.95
Sage (GBPm)	H226 DBE	H226 Cons	H127 DBE	H127 Cons	F2026 DBE	F2026 Cons	F2027 DBE	F2027 Cons
Revenues	1,396	1,407	1,497	1,490	2,759	2,762	3,041	3,015
h/h	2.4%	3.2%	7.3%	6.8%				
y/y	9.8%	10.7%	9.8%	9.3%	9.8%	9.9%	10.2%	9.2%
adj EBIT	352	353	368	367	678	679	772	759
adj EBIT margin	25.2%	25.1%	24.6%	24.6%	24.6%	24.5%	25.4%	25.1%
adj EPS (GBP)	27.07	26.78	27.88	27.80	50.40	49.99	58.81	57.49
SAP (EURm)	Q226 DBE	Q226 Cons	Q326 DBE	Q326 Cons	2026 DBE	2026 Cons	2027 DBE	2027 Cons
Revenues	9,845	9,849	10,256	10,072	40,203	40,153	45,188	44,797
q/q	3.0%	3.1%	4.2%	2.3%				
y/y	9.1%	9.1%	13.0%	11.0%	9.2%	9.1%	12.4%	11.6%
adj EBIT	2,858	2,883	3,153	2,985	11,953	11,932	13,578	13,719
adj EBIT margin	29.0%	29.4%	30.7%	29.6%	29.7%	29.7%	30.0%	30.5%
adj basic EPS	1.72	1.74	1.90	1.80	7.22	7.18	8.41	8.43
adj diluted EPS	1.71	NA	1.90	NA	7.19	NA	8.37	NA
SoftwareOne (CHFm)	H126 DBE	H126 Cons	H226 DBE	H226 Cons	2026 DBE	2026 Cons	2027 DBE	2027 Cons
Revenues	816	NA	819	NA	1,635	1,610	1,785	1,665
h/h	7.8%	NA	0.4%	NA				
y/y	67.7%	NA	8.2%	NA	31.5%	29.5%	9.2%	3.4%
adj EBIT	136	NA	101	NA	237	243	312	299
adj EBIT margin	16.6%	NA	12.3%	NA	14.5%	15.1%	17.5%	18.0%
adj EPS	0.38	NA	0.26	NA	0.64	0.64	0.83	0.81
TeamViewer AG (EURm)	Q226 DBE	Q226 Cons	Q326 DBE	Q326 Cons	2026 DBE	2026 Cons	2027 DBE	2027 Cons
Revenues	188	188	191	191	762	760	788	784
q/q	2.6%	2.4%	1.7%	2.0%				
y/y	1.2%	1.0%	0.9%	1.0%	2.0%	1.8%	3.5%	3.1%
adj EBITDA	79	78	80	83	328	329	335	339
adj EBITDA margin	42.3%	NA	42.0%	NA	43.1%	43.4%	42.5%	43.3%
adj EPS	0.26	0.23	0.27	0.26	1.08	1.02	1.12	1.12
Temenos (USDm)	Q226 DBE	Q226 Cons	Q326 DBE	Q326 Cons	2026 DBE	2026 Cons	2027 DBE	2027 Cons
Revenues	301	296	272	279	1,161	1,166	1,251	1,251
q/q	18.9%	17.0%	(9.7%)	(5.7%)				
y/y	5.3%	3.7%	5.0%	7.9%	6.5%	6.9%	7.7%	7.3%
adj EBIT	112	109	92	97	407	377	446	403
adj EBIT margin	37.2%	37.3%	33.9%	35.1%	35.1%	35.4%	35.6%	35.8%
adj EPS	1.27	1.27	1.03	1.09	4.53	4.45	4.89	4.93

Source : Deutsche Bank estimates, company data, Infront, Visible Alpha, Vara, Bloomberg Finance LP consensus (as of 10th July 2026)



Figure 20: Software and IT Services stock returns* (L3M)



Source : Bloomberg Finance LP, *Closing prices as of 10th July 2026

Figure 21: Software sector valuation table - Calendarised (SBC adjusted)

Company Name	Reporting Ccy	Listing Ccy	Current Price	DB Target Price	DB Rec	Mkt CAP US\$ bn	P/E		EV/EBITDA		EV/uFCF		Growth (CAGR '25-'27)		
							2026	2027	2026	2027	2026	2027	Sales	EPS	FCF
Adobe	USD	USD	224	260	Hold	89.3	9.0	7.8	6.9	6.0	8.1	7.1	10.4%	16.4%	8.0%
Amadeus	EUR	EUR	51	58	Hold	25.1	14.7	13.2	9.2	8.1	16.6	14.6	7.3%	9.7%	8.4%
Autodesk	USD	USD	208	330	Buy	43.8	16.8	14.5	13.3	11.3	15.6	13.3	11.8%	18.4%	16.0%
ATOSS	EUR	EUR	72	100	Buy	1.3	21.7	18.8	12.7	10.9	20.0	17.1	12.7%	12.0%	14.1%
Cadence Design	USD	USD	384	375	Buy	105.0	48.1	39.8	36.3	30.8	54.0	38.7	15.3%	16.2%	26.9%
Dassault Systemes	EUR	EUR	18	20	Hold	27.7	13.9	13.1	9.7	8.7	14.2	13.5	3.1%	3.0%	6.9%
Hexagon	EUR	SEK	81	85	Hold	22.6	26.5	23.2	13.9	12.7	25.3	23.0	-12.5%	-11.3%	-11.8%
Intuit	USD	USD	275	530	Buy	76.0	10.9	9.5	8.0	6.6	9.6	8.8	12.2%	15.7%	11.6%
Microsoft	USD	USD	385	550	Buy	2,874.8	19.6	17.7	12.2	10.1	236.4	110.6	17.0%	14.2%	-19.3%
Mensch und Maschine	EUR	EUR	37	46	Buy	0.7	17.4	15.2	9.2	8.4	18.6	14.6	7.4%	12.5%	151.4%
Nemetschek	EUR	EUR	57	75	Buy	7.4	22.4	18.3	18.4	13.7	22.0	20.2	23.0%	19.6%	3.0%
Oracle	USD	USD	141	300	Buy	409.8	17.9	14.8	11.1	8.3	nm	nm	33.1%	16.9%	nm
PTC	USD	USD	125	180	Buy	14.6	15.4	13.9	11.3	10.3	16.3	13.8	4.0%	6.2%	10.0%
Sabre	USD	USD	2	NA	NA	0.7	nm	10.9	7.4	6.9	15.9	10.7	4.1%	nm	nm
Sage	GBP	GBP	829	900	Hold	11.0	14.6	12.7	10.5	8.9	15.4	12.6	10.0%	16.1%	17.8%
Salesforce	USD	USD	163	255	Buy	136.2	11.7	10.6	13.3	8.3	15.8	9.3	9.7%	11.9%	8.0%
SAP	EUR	EUR	138	200	Buy	181.3	17.3	14.8	10.6	9.2	15.4	13.7	10.8%	16.2%	17.6%
ServiceNow	USD	USD	108	135	Buy	112.7	26.5	21.7	15.8	13.1	19.0	14.9	20.2%	19.4%	21.7%
SoftwareOne	CHF	CHF	8	8.5	Hold	2.3	13.3	10.3	5.5	4.4	8.6	6.0	19.8%	30.6%	29.9%
Synopsys	USD	USD	446	590	Buy	82.9	29.2	24.6	16.4	14.8	33.1	24.8	21.3%	17.0%	43.6%
TeamViewer	EUR	EUR	5	6.5	Hold	1.0	5.0	4.9	4.7	3.9	4.9	4.1	2.7%	-1.7%	7.4%
Temenos	USD	CHF	69	77	Hold	5.8	18.9	17.5	12.7	11.2	18.0	14.3	7.1%	6.4%	19.8%
Workday	USD	USD	139	180	Buy	37.3	13.1	11.0	10.7	8.8	12.5	10.1	11.2%	18.0%	16.0%
Median							17.0	14.5	11.1	8.9	16.1	13.7	10.8%	15.9%	14.1%
Average							17.6	14.9	11.7	9.8	26.7	18.1	10.9%	12.3%	18.5%

Other Software & Technology

Company Name	Reporting Ccy	Listing Ccy	Current Price	DB Target Price	DB Rec	Mkt CAP US\$ bn	P/E		EV/EBITDA		Dividend Yield		Growth (CAGR '25-'27)		
							2026	2027	2026	2027	2026	2027	Sales	EPS	FCF
Ocado	GBP	GBP	177	310	Buy	2.1	25.5	nm	3.9	6.6	0.0%	0.0%	3.8%	nm	nm
AutoStore	USD	NOK	11.4	14.0	Hold	4.0	23.9	20.7	14.1	11.8	0.0%	0.0%	19.2%	30.3%	105.7%
Median							24.7	20.7	9.0	9.2	0.0%	0.0%	11.5%	30.3%	105.7%
Average							24.7	20.7	9.0	9.2	0.0%	0.0%	11.5%	30.3%	105.7%

Source : Deutsche Bank estimates & Bloomberg Finance LP; Bloomberg consensus is used for valuation metrics; Current prices are as of 10th July 2026



Figure 22: Software sector valuation table - Calendarised (SBC expensed)

Company Name	Reporting Ccy	Listing Ccy	Current Price	DB Target Price	DB Rec	Mkt CAP US\$ bn	P/E		EV/EBITDA		EV/Adj. uFCF		Growth (CAGR '25-'27)		
							2026	2027	2026	2027	2026	2027	Sales	EPS	FCF
Adobe	USD	USD	224	260	Hold	89.3	11.0	9.4	8.3	7.3	9.8	8.6	10.4%	17.5%	8.0%
Amadeus	EUR	EUR	51	58	Hold	25.1	14.7	13.2	9.2	8.1	16.6	14.6	7.3%	9.7%	8.4%
Autodesk	USD	USD	208	330	Buy	43.8	21.9	18.7	18.4	15.6	20.2	17.1	11.8%	20.4%	16.0%
ATOSS	EUR	EUR	72	100	Buy	1.3	21.7	18.8	12.7	10.9	20.0	17.1	12.7%	12.0%	14.1%
Cadence Design	USD	USD	384	375	Buy	105.0	61.3	49.1	45.0	37.5	71.1	47.6	15.3%	16.6%	26.9%
Dassault Systemes	EUR	EUR	18	20	Hold	27.7	14.7	13.9	10.2	9.1	15.2	14.4	3.1%	6.8%	6.9%
Hexagon	EUR	SEK	81	85	Hold	22.6	29.5	25.7	14.9	13.5	27.9	25.3	-12.5%	-13.1%	-11.8%
Intuit	USD	USD	275	530	Buy	76.0	14.2	12.2	10.3	8.5	12.1	11.4	12.2%	18.0%	11.6%
Microsoft	USD	USD	385	550	Buy	2,874.8	21.1	17.7	13.0	10.6	nm	nm	17.0%	19.1%	-19.3%
Mensch und Maschine	EUR	EUR	37	46	Buy	0.7	17.4	15.2	9.2	8.4	18.6	14.6	7.4%	12.5%	151.4%
Nemetschek	EUR	EUR	57	75	Buy	7.4	22.4	18.3	18.4	13.7	22.0	20.2	23.0%	19.6%	3.0%
Oracle	USD	USD	141	300	Buy	409.8	19.9	16.2	11.9	8.7	nm	nm	33.1%	18.2%	nm
PTC	USD	USD	125	180	Buy	14.6	19.3	17.2	13.8	12.6	20.6	17.1	4.0%	5.4%	10.0%
Sabre	USD	USD	2	NA	NA	0.7	nm	24.3	8.1	7.5	18.4	11.8	4.1%	nm	nm
Sage	GBP	GBP	829	900	Hold	11.0	15.8	13.7	11.2	9.5	16.6	13.4	10.0%	16.7%	17.8%
Salesforce	USD	USD	163	255	Buy	136.2	15.5	14.4	16.9	11.0	19.7	11.8	9.7%	9.8%	8.0%
SAP	EUR	EUR	138	200	Buy	181.3	19.1	16.4	11.6	10.1	16.9	15.1	10.8%	17.2%	17.6%
ServiceNow	USD	USD	108	135	Buy	112.7	43.1	34.1	24.5	20.1	27.4	21.0	20.2%	24.4%	21.7%
SoftwareOne	CHF	CHF	8	8.5	Hold	2.3	13.3	10.3	5.5	4.4	8.6	6.0	19.8%	30.6%	29.9%
Synopsys	USD	USD	446	590	Buy	82.9	41.0	33.7	20.1	18.2	47.5	33.4	21.3%	20.4%	43.6%
TeamViewer	EUR	EUR	5	6.5	Hold	1.0	5.2	5.0	4.8	4.0	5.0	4.1	2.7%	-0.7%	7.4%
Temenos	USD	CHF	69	77	Hold	5.8	21.9	20.3	14.2	12.5	20.4	16.0	7.1%	6.5%	19.8%
Workday	USD	USD	139	180	Buy	37.3	25.0	18.2	19.8	14.4	22.0	16.0	11.2%	32.7%	16.0%
Median							19.6	17.2	12.7	10.6	19.7	15.1	10.8%	16.9%	14.1%
Average							22.2	18.9	14.4	12.0	21.7	17.0	11.4%	14.6%	19.4%

Source : Deutsche Bank estimates & Bloomberg Finance LP; Bloomberg consensus is used for valuation metrics; Current prices are as of 10th July 2026

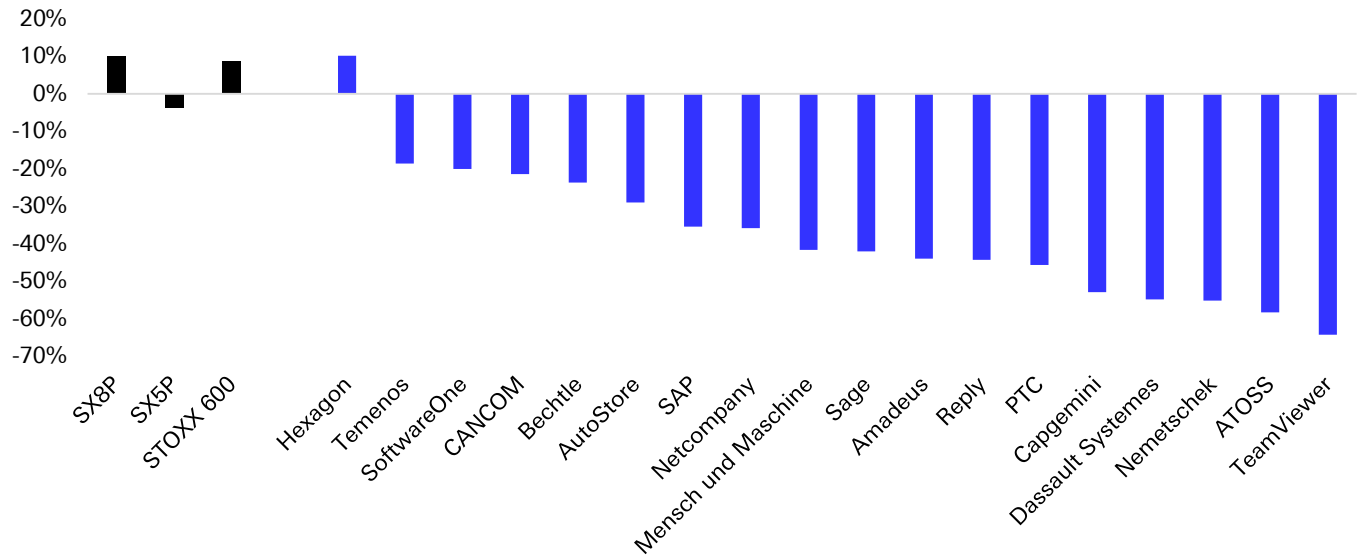
Figure 23: IT Services sector valuation table - Calendarised

Company Name	Reporting Ccy	Listing Ccy	Current Price	DB Target Price	DB Rec	Mkt CAP US\$ bn	P/E		EV/EBITDA		EV/uFCF		Growth (CAGR '25-'27)		
							2026	2027	2026	2027	2026	2027	Sales	EPS	FCF
Accenture	USD	USD	135	136	Hold	84.1	8.0	7.5	5.2	4.9	7.8	7.6	4.8%	6.6%	1.2%
Bechtle	EUR	EUR	30	45	Buy	4.4	16.5	14.7	7.2	6.5	11.2	28.8	5.4%	7.1%	NM
CANCOM	EUR	EUR	23	34	Buy	0.8	18.0	13.3	4.1	2.7	6.8	2.8	5.8%	38.2%	-2.1%
Capgemini	EUR	EUR	89	125	Buy	17.6	7.1	6.4	4.8	4.3	10.0	8.8	7.7%	5.5%	2.0%
CGI	CAD	CAD	95	NA	NA	14.8	10.1	9.3	6.9	6.3	10.6	9.5	3.1%	8.5%	3.9%
Cognizant	USD	USD	43	55	Buy	20.4	7.2	6.6	4.1	3.4	7.3	5.8	5.7%	8.2%	2.9%
DXC	USD	USD	9	NA	NA	1.5	3.4	3.1	1.8	1.7	4.2	4.4	-2.8%	-5.6%	-22.6%
EPAM	USD	USD	84	85	Hold	4.6	6.4	5.9	3.7	2.5	4.7	3.2	5.3%	11.0%	2.8%
Globant	USD	USD	30	33	Hold	1.3	4.9	4.6	3.7	2.8	4.3	3.4	2.9%	3.8%	5.4%
HCL Technologies	INR	INR	1164	NA	NA	33.1	16.5	15.1	9.7	8.9	14.8	13.8	7.7%	10.9%	0.8%
IBM	USD	USD	288	NA	NA	269.4	20.4	18.9	14.4	13.3	18.2	16.4	5.1%	7.3%	18.9%
Infosys	INR	INR	1068	NA	NA	45.2	13.8	13.0	8.2	7.5	12.4	11.9	7.5%	7.4%	-2.1%
Netcompany	DKK	DKK	306	350	Hold	2.1	15.0	13.1	9.9	8.2	20.6	13.3	13.7%	30.0%	67.7%
Reply	EUR	EUR	95	130	Buy	4.1	12.0	11.4	6.2	5.5	10.4	9.4	5.7%	6.7%	3.5%
Sopra-Steria	EUR	EUR	146	NA	NA	3.2	8.3	7.6	4.2	3.8	8.7	7.3	2.9%	5.8%	-12.0%
TCS	INR	INR	2069	NA	NA	78.5	13.8	12.9	9.6	9.2	14.4	13.6	6.4%	8.6%	5.9%
TietoEvry	EUR	EUR	18	NA	NA	2.4	11.2	10.2	7.8	7.5	12.3	12.4	-1.2%	11.3%	-10.4%
Wipro	INR	INR	175	NA	NA	19.3	12.7	12.1	7.8	7.3	12.3	11.9	5.3%	6.1%	-5.7%
Median							9.7	8.9	6.5	6.2	11.2	10.3	5.4%	7.3%	1.0%
Average							11.5	10.7	7.3	6.7	11.4	10.5	5.0%	7.9%	0.1%

Source : Deutsche Bank estimates & Bloomberg Finance LP; Bloomberg consensus is used for valuation metrics; Current prices are as of 10th July 2026

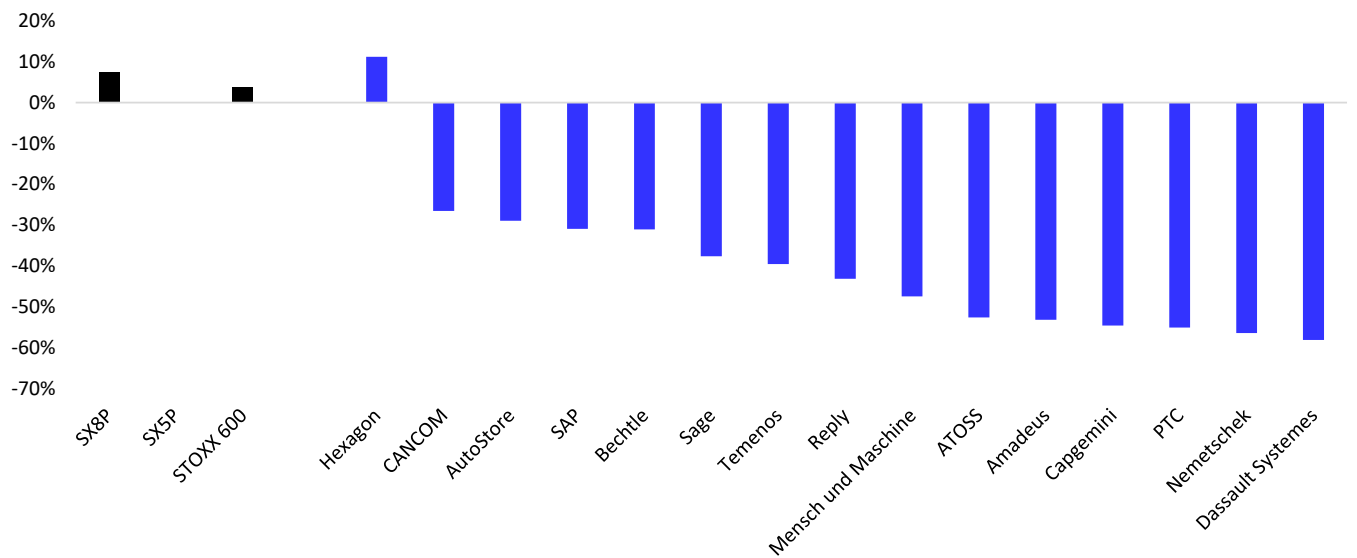


Figure 24: Current 1y fwd P/Es vs. 5y average*



Source : Bloomberg Finance LP; *Closing prices as of 10th July 2026

Figure 25: Current 1y fwd P/Es vs. 10y average*



Source : Bloomberg Finance LP; *Closing prices as of 10th July 2026



Amadeus (Hold, EUR 58 TP)

Figure 26: Group quarterly earnings estimates

FY end: Dec (EUR m)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Revenue	1,632	1,628	1,635	1,622	1,683	1,665	1,736	1,769
q/q growth	5.9%	-0.3%	0.5%	-0.8%	3.8%	-1.0%	4.2%	1.9%
y/y growth	9.1%	4.6%	5.6%	5.2%	3.1%	2.3%	6.1%	9.1%
Air Distribution	821	787	769	742	822	773	795	787
Air IT Solutions	551	585	606	604	593	617	654	674
Hospitality and Other Solutions	260	256	261	275	268	276	287	308
Cost of revenue	412	390	385	415	428	409	430	452
Gross Profit	1,220	1,238	1,251	1,206	1,255	1,256	1,305	1,316
Gross Margin %	74.8%	76.1%	76.5%	74.4%	74.6%	75.4%	75.2%	74.4%
Personnel and other operating expenses	592	591	598	628	593	612	625	698
Ordinary D&A	150	154	155	155	162	150	156	163
Total operating expenses	837	828	834	898	864	762	781	861
as % of sales	51.3%	50.9%	51.0%	55.4%	51.3%	45.8%	45.0%	48.7%
Operating earnings (EBIT) - Non GAAP	479	494	498	423	500	494	524	455
Operating margin %	29.3%	30.4%	30.4%	26.1%	29.7%	29.7%	30.2%	25.7%
Depreciation and amortization (Ordinary)	150	154	155	155	162	150	156	163
EBITDA (non-GAAP)	628	648	653	578	661	644	680	618
EBITDA Margin %	38.5%	39.8%	39.9%	35.6%	39.3%	38.7%	39.2%	34.9%
Net financial expense	9	4	14	9	17	18	18	17
Earnings before taxes (PBT) - adjusted	463	476	480	413	480	476	506	438
Income tax expenses (non-GAAP)	100	103	111	102	109	107	114	99
Tax rate (non-GAAP)	21.6%	21.6%	23.1%	24.6%	22.7%	22.5%	22.5%	22.5%
Net Income (adjusted)	364	375	370	311	372	370	393	340
Basic adjusted Earnings per share (EUR)	0.79	0.83	0.82	0.57	0.83	0.81	0.88	0.69
Diluted adjusted Earnings per share (EUR)	0.82	0.84	0.84	0.72	0.87	0.87	0.92	0.80

Source : Deutsche Bank estimates, company data



Figure 27: Group annual earnings estimates

FY end: Dec (EUR m)	2023	2024	2025	2026E	2027E	2028E
Revenue	5,441	6,142	6,517	6,852	7,496	8,190
y/y growth	21.3%	12.9%	6.1%	5.1%	9.4%	9.2%
Air Distribution	2,655	2,946	3,119	3,176	3,438	3,651
Air IT Solutions	1,904	2,205	2,346	2,537	2,771	3,084
Hospitality and Other Solutions	883	991	1,052	1,139	1,287	1,454
Cost of revenue	1,364	1,552	1,601	1,720	1,874	2,047
Gross Profit	4,077	4,590	4,916	5,132	5,622	6,142
Gross Margin %	74.9%	74.7%	75.4%	74.9%	75.0%	75.0%
Personnel and other operating expenses	2,014	2,256	2,409	2,528	2,751	2,997
Ordinary D&A	572	587	613	630	690	753
Total operating expenses	2,903	3,150	3,396	3,159	3,441	3,751
as % of sales	53.4%	51.3%	52.1%	46.1%	45.9%	45.8%
Operating earnings (EBIT) - Non GAAP	1,492	1,747	1,894	1,973	2,181	2,391
Operating margin %	27.4%	28.4%	29.1%	28.8%	29.1%	29.2%
Depreciation and amortization (Ordinary)	572	587	613	630	690	753
EBITDA (non-GAAP)	2,063	2,334	2,507	2,604	2,871	3,145
EBITDA Margin %	37.9%	38.0%	38.5%	38.0%	38.3%	38.4%
Net financial expense	52	89	36	70	59	44
Earnings before taxes (PBT) - adjusted	1,440	1,667	1,833	1,900	2,122	2,347
Income tax expenses (non-GAAP)	306	319	416	428	478	528
Tax rate (non-GAAP)	21.2%	19.2%	22.7%	22.5%	22.5%	22.5%
Net Income (adjusted)	1,124	1,347	1,420	1,473	1,647	1,822
Basic adjusted Earnings per share (EUR)	2.35	2.88	3.04	3.20	3.61	4.02
Diluted adjusted Earnings per share (EUR)	2.49	2.99	3.20	3.44	3.85	4.26

Source : Deutsche Bank estimates, company data



Outlook

Amadeus remains the strongest of the major GDS players, and dominant in the travel technology industry. However, the rise of NDC and direct contact poses a risk to the company's largest division. Other uncertainties, e.g., airline capacity constraints, geopolitical conflicts, etc, also put pressure on the stock. We believe Amadeus needs to continue investing in its technology to remain a top player. Currently, we do not regard the risk/reward profile justified. HOLD.

Valuation

We continue to value Amadeus at a discount to its peers, reflecting the current risks to bookings and overall travel volumes. Our valuation methodology employs a 50/50 blend of 15.3x '27e P/E and 16.6x '27e EV/uFCF.

Risk

Upside risks:

- A stronger-than-expected recovery in global travel industry
- Competitive share gains
- Stronger-than-expected cost base adjustments

Downside risks:

- A slower-than-expected recovery in global travel industry
- Business travel budget cuts may be more severe than we expect
- Pricing cuts on the company's GDS and IT Solutions.
- Further delays in payments division
- Losing more market share to direct connect or other NDC providers.



ATOSS (Buy, EUR 100 TP)

Figure 28: Group half-yearly earnings estimates

FY end: Dec (EUR m)	1H24	2H24	1H25	2H25	1H26E	2H26E
Revenue	84	87	92	97	103	109
<i>h/h growth</i>	7.5%	3.6%	6.1%	5.5%	6.0%	6.2%
<i>y/y growth</i>	14.4%	11.4%	9.9%	11.9%	11.8%	12.5%
Total cost of revenue	20	19	21	20	23	24
Gross profit	64	67	71	77	80	85
Gross margin %	76.5%	77.7%	77.5%	79.2%	77.5%	77.8%
Total operating expenses	34	34	40	39	43	46
<i>as % of sales</i>	40.9%	38.8%	43.8%	40.3%	42.2%	42.0%
EBIT	30	34	31	37	36	39
Operating margin %	35.4%	38.9%	33.6%	38.2%	35.0%	35.4%
EBITDA Margin %	32	36	33	40	37	42
EBITDA Margin %	38.0%	41.4%	36.2%	40.7%	36.0%	38.4%
Net finance expense	1	2	1	3	1	1
Earnings before taxes (PBT)	31	36	32	40	37	40
Income tax expenses	10	12	11	13	12	13
<i>Tax rate</i>	32%	33%	33%	33%	32%	32%
Net Income	21	24	22	27	25	27
EPS, basic (EUR)	1.34	1.52	1.37	1.68	1.58	1.71
EPS, diluted (EUR)	1.34	1.52	1.37	1.68	1.58	1.71

Source : Deutsche Bank estimates, company data



Figure 29: Group annual earnings estimates

FY end: Dec (EUR m)	2023	2024	2025	2026E	2027E	2028E
Revenue	151	171	189	212	241	273
<i>y/y growth</i>	32.7%	12.8%	10.9%	12.2%	13.3%	13.6%
Total cost of revenue	35	39	41	47	53	61
Gross profit	117	132	148	165	187	212
Gross margin %	77.1%	77.1%	78.4%	77.6%	77.9%	77.8%
Total operating expenses	64	68	80	89	100	112
<i>as % of sales</i>	42.2%	39.8%	42.0%	42.1%	41.5%	41.0%
EBIT	52	63	68	75	87	99
Operating margin %	34.3%	37.2%	36.0%	35.2%	36.0%	36.4%
EBITDA Margin %	56	68	73	79	90	104
EBITDA Margin %	36.9%	39.8%	38.5%	37.2%	37.6%	37.9%
Net finance expense	2	4	4	2	2	3
Earnings before taxes (PBT)	53	67	72	77	89	102
Income tax expenses	18	22	24	25	29	33
<i>Tax rate</i>	33%	32%	33%	32%	32%	32%
Net Income	36	45	48	52	61	70
EPS, basic (EUR)	2.25	2.86	3.04	3.29	3.81	4.37
EPS, diluted (EUR)	2.25	2.86	3.04	3.29	3.81	4.37

Source : Deutsche Bank estimates, company data



Outlook

ATOSS is a leader in the German-speaking workforce management (WFM) market, offering software for optimized personnel deployment, focusing on industries such as manufacturing, retail and healthcare. The company's advanced solutions help ensure that clients have the right number of employees, with the right skills available, at the right place, time and cost. ATOSS is a high-quality business, with visibility for consistent growth in the mid-teens, industry-leading profitability and healthy cash conversion, driven by the (largely) completed GTM transformation, accelerating European expansion, and an anticipated pick-up in cloud migration.

Valuation

We value ATOSS based on a 50/50 blend of a peer-based valuation and DCF, to reflect ATOSS's relatively predictable growth and stable cash flows over the long term. For relative valuation, we value ATOSS at a slight premium to the average FY26E EV/uFCF multiple of ATOSS' peer group (in line with the average historical premium). Stronger performance, clean financials and a healthy balance sheet together with higher cash returns and an overall better growth outlook over the long term should warrant a premium, in our view. For our DCF, we assume a WACC of ~9.4%, derived from a risk-free rate of ~2.5%, a risk premium of 6% and beta of ~1.2 (broadly in line with BBG historical beta). We also assume a cash tax rate of 32% and a terminal growth rate of ~2%.

Risk

Downside risks to our view include: 1) slower-than-expected European expansion; 2) a worsening macro environment impacting software spend (especially in DACH); 3) issues associated with the cloud migration (e.g., higher churn, slower progress, etc.); 4) potentially value-destructive M&A; 5) the prospect of further placing by major shareholders creating an overhang on the share price; 6) growing exposure to SMEs (higher churn, higher sensitivity to economic development, etc.); 7) adverse changes in regulation (labor laws, etc.); 8) failure to launch new products/technology; and 9) increased competition.



AutoStore (Hold, NOK 14 TP)

Figure 30: Group quarterly earnings estimates

FY end: Dec (USD m)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Revenue	86	134	139	180	166	162	158	196
y/y growth (%)	-37.8%	-13.2%	-3.6%	9.0%	93.0%	20.8%	13.5%	8.9%
Gross profit	64	92	102	133	121	115	112	138
Gross margin %	74.0%	68.9%	73.1%	73.7%	72.7%	70.8%	70.8%	70.6%
Total operating expenses	43	37	36	55	48	46	44	61
as % of sales	49.5%	27.6%	26.0%	30.4%	28.7%	28.3%	27.8%	31.2%
Adjusted EBITDA	21	64	65	78	73	69	68	77
Adj. EBITDA Margin %	24.5%	47.6%	47.1%	43.3%	44.0%	42.5%	43.0%	39.3%
Adjusted EBIT	12	54	54	65	61	56	55	64
Adj. EBIT Margin %	13.8%	40.1%	38.7%	36.4%	36.6%	34.7%	34.8%	32.6%
EBIT (stated)	8	28	49	56	53	48	47	56
EBIT margin (stated) %	9.1%	20.8%	35.0%	31.1%	32.0%	29.6%	29.6%	28.4%
Net financial income/(expenses)	11	14	7	3	3	4	3	3
Earnings before taxes (PBT) - adjusted	1	40	47	63	58	52	51	60
Income tax expenses - adjusted	0	8	10	15	11	12	12	14
Tax rate %	29%	21%	22%	23%	20%	22%	22%	22%
Net Income (adjusted)	0	32	36	48	46	41	40	47
Diluted reported EPS (cents)	-0.08	0.33	0.94	1.18	1.17	0.99	0.96	1.16
Basic adjusted EPS (cents)	0.01	0.92	1.05	1.40	1.34	1.17	1.15	1.34

Source : Deutsche Bank estimates, company data



Figure 31: Group annual earnings estimates

FY end: Dec (USD m)	2023	2024	2025	2026E	2027E	2028E
Revenue	646	601	539	681	765	850
y/y growth (%)	10.7%	-6.9%	-10.4%	26.5%	12.3%	11.1%
Gross profit	438	440	390	485	545	608
Gross margin %	67.9%	73.1%	72.4%	71.2%	71.3%	71.5%
Total operating expenses	130	157	170	198	217	235
as % of sales	20.1%	26.1%	31.6%	29.1%	28.4%	27.7%
Adjusted EBITDA	309	283	228	286	328	372
Adj. EBITDA Margin %	47.8%	47.0%	42.3%	42.1%	42.9%	43.8%
Adjusted EBIT	287	250	185	235	273	312
Adj. EBIT Margin %	44.4%	41.5%	34.4%	34.6%	35.7%	36.7%
EBIT (stated)	-14	223	140	203	237	276
EBIT margin (stated) %	-2.1%	37.0%	26.0%	29.8%	31.0%	32.5%
Net financial income/(expenses)	33	46	35	13	11	8
Earnings before taxes (PBT) - adjusted	254	203	151	222	262	305
Income tax expenses - adjusted	75	45	34	48	59	68
Tax rate %	30%	22%	22%	22%	22%	22%
Net Income (adjusted)	179	158	117	174	203	236
Diluted reported EPS (cents)	-0.95	3.98	2.37	4.26	4.95	5.80
Basic adjusted EPS (cents)	5.23	4.60	3.40	4.98	5.75	6.58

Source : Deutsche Bank estimates, company data



Outlook

AutoStore operates in the warehouse automation space which has a lot of structural drivers given businesses need to drive efficiency, save costs, improve accuracy and meeting increasing demands from customers. AutoStore has pioneered and is the market leader in robotic, cube-based AS/RS (automated storage and retrieval system), which has seen strong adoption due to its flexibility, performance and ROI. Performance in the last 12-18 months has been impacted by a weaker macro economic backdrop, exacerbated by tariff-related uncertainties earlier in the year. As such, revenues and earnings have been volatile in Q1/Q2 but this has gradually recovered in Q3 and was much improved in Q4. Medium-term, the group has a proven record of landing and expanding with customers and with 70-80% of warehouses globally still relying heavily on manual processes, there is a strong medium-term growth opportunity.

Valuation

Our target price is based on an 18x EV/EBITDA 1-yr forward multiple, broadly in line with the wider industrial automation peers. This is supported by a reverse DCF using a 9% WACC, LT EBIT margins of 38%, medium-term growth rate of 12% and terminal growth of 3%. There has been considerable volatility in the group's performance so extrapolating to longer term trends has its risks.

Risk

Risks include: 1) end customers propensity to buy multi-million dollar systems will be impacted by macroeconomic conditions ; 2) systems are predominantly a capex purchase and can result in a lumpy revenue profile; 3) some deals are now moving more to an as-a-service model - where revenue recognition is over a much longer period of time potentially creating revenue gaps near term; 4) there are competing warehouse automation technologies and there is no guarantee the group's type of system will continue to win share; 5) the group works with distribution partners to get their product to market - loss of a key partner could impact revenue materially; 6) the impact of President Trump's tariffs on the group (aluminum is the key material in the group's system) is still hard to measure - NA sales is c.25% of total; 7) any disruption in its supply chain/ production facilities (Poland and Thailand) could impact customers and revenues; 8) there is also currency risk with most revenues in EUR and USD and most costs in NOK, PLN and EUR. On the upside, the main risk is an improvement in the macro backdrop that is better and faster than we anticipate in our forecasts. There is also a possible improvement in its win-rate either through better sales execution, a more appealing model or a combination of both.



Bechtle (Buy, EUR 45 TP)

Figure 32: Group quarterly earnings estimates

FYE: December	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Sales	1,461	1,487	1,588	1,869	1,572	1,542	1,646	1,935
<i>qoq growth</i>	-19.6%	1.8%	6.8%	17.7%	-15.9%	-1.9%	6.7%	17.6%
<i>yoy growth</i>	-2.8%	0.8%	5.1%	2.9%	7.6%	3.7%	3.6%	3.5%
Cost of Goods Sold	-1,192	-1,213	-1,296	-1,513	-1,278	-1,256	-1,341	-1,564
Gross profit	269	274	292	357	294	286	305	371
Selling and marketing expenses	-114	-116	-121	-133	-120	-117	-125	-147
G&A cost	-107	-101	-99	-115	-119	-108	-110	-116
Other operating profit / (expenses)	9	12	11	18	11	12	12	12
o/w non recurring items	0	0	0	0	0	0	0	0
EBIT	57	68	83	126	65	73	81	120
Interest income	5	5	4	3	3	4	4	4
Interest expenses	-7	-6	-7	-7	-7	-7	-7	-7
EBT	55	67	80	122	62	70	78	117
Income taxes	-17	-19	-23	-36	-17	-20	-23	-34
Net income	39	48	58	85	45	49	56	83
Earnings per share (Euro, basic)	0.31	0.38	0.46	0.68	0.36	0.39	0.44	0.66
Earnings per share (Euro, diluted)	0.31	0.38	0.46	0.68	0.36	0.39	0.44	0.66
Margins								
Gross margin	18.4%	18.4%	18.4%	19.1%	18.7%	18.5%	18.5%	19.2%
EBIT margin	3.9%	4.6%	5.3%	6.8%	4.1%	4.7%	4.9%	6.2%
EBT margin	3.8%	4.5%	5.1%	6.5%	3.9%	4.5%	4.8%	6.1%
Net income-margin	2.7%	3.2%	3.6%	4.6%	2.9%	3.2%	3.4%	4.3%

Source : Deutsche Bank estimates, company data



Figure 33: Group annual earnings estimates

FYE: December	2023	2024	2025	2026E	2027E	2028E
Sales	6,423	6,306	6,406	6,695	7,110	7,545
<i>yoy growth</i>	7%	-2%	2%	5%	6%	6%
Cost of Goods Sold	-5,301	-5,167	-5,214	-5,439	-5,762	-6,100
Gross profit	1,122	1,138	1,192	1,256	1,348	1,445
Selling and marketing expenses	-437	-457	-484	-510	-540	-574
G&A cost	-357	-383	-423	-453	-469	-498
Other operating profit / (expenses)	54	52	50	47	44	44
o/w non recurring items	0	0	0	0	0	0
EBIT	382	351	335	339	382	418
Interest income	7	19	16	15	16	16
Interest expenses	-15	-25	-27	-28	-28	-28
EBT	374	345	324	327	370	406
Income taxes	-109	-100	-96	-94	-107	-118
Net income	266	245	229	233	263	288
Earnings per share (Euro, basic)	2.11	1.95	1.82	1.85	2.09	2.29
Earnings per share (Euro, diluted)	2.11	1.95	1.82	1.85	2.09	2.29
Margins						
Gross margin	17.5%	18.1%	18.6%	18.8%	19.0%	19.2%
EBIT margin	6.0%	5.6%	5.2%	5.1%	5.4%	5.5%
EBT margin	5.8%	5.5%	5.1%	4.9%	5.2%	5.4%
Net income-margin	4.1%	3.9%	3.6%	3.5%	3.7%	3.8%

Source : Deutsche Bank estimates, company data



Outlook

Bechtle projects a positive trajectory but also continuously highlights challenges such as rising manufacturer prices and potential supply constraints. The company indicated that it feels well positioned in this challenging environment, given its size and reliability as a preferred partner for its larger suppliers. Bechtle is also expected to significantly benefit from the German stimulus package later this year. Bechtle entered 2026 with good momentum and a record order backlog, contributing to an optimistic sentiment. Management has also confirmed that many SMEs have indeed postponed their orders for too long and now need to order, irrespective of pricing levels. Public sector activity has resumed after FY25 which was negatively affected by various headwinds in that customer segment. Robust public sector demand in Germany offers a solid base, but the impact of higher memory chip prices on sales and product mix creates uncertainty for EBT margin expansion. Bechtle guides for business volume to rise 5-10% yoy (DBE +8% yoy), while revenue (DBE +5% yoy) and EBT (DBE +5% yoy) are envisaged to increase 0-5% yoy. Bechtle expects profitability "to be influenced by investments in our internal IT and our M&A activities" and, according to our estimates, these investments could result in an approximate 3% absolute EBT or 15bps EBT margin headwind, implying that the "only stable" margin guidance is not solely a function of the still challenging business environment. Unfortunately, Bechtle remains unwilling to quantify the exact internal IT investment or its timing. Hence, our best estimate remains the "high-single-digit million-euro amount" mentioned at the FY25 analyst meeting, to be spent equally over the quarters of FY26. Despite the prevailing lack of transparency, management appears optimistic about achieving a reliable view on FY26 by mid-2026. Given the reduced visibility, the company's guidance will be reviewed more frequently this year. Discussions with major suppliers regarding the FY26 back-end margin appear to be finalized, with CFO Jehle indicating that more contracts are now based on value rather than volume thresholds, which is beneficial for Bechtle. Bechtle should significantly benefit from the German stimulus package. While we deem it highly likely that this will materialize, not least because public sector business accounts for approximately 40% of group revenue, we believe it will take until at least the end of FY26 for Bechtle to fully benefit. Bechtle targets a FY30 EBT margin of 5% (compared to 3.8% in FY25 based on business volume) and a business volume exceeding EUR 10bn (from EUR 8.6bn in FY25, implying a 3% CAGR). This leads to an implied EBT CAGR of 9%. Current investments, while weighing on the EBT margin, should ultimately contribute to achieving this target.

Valuation

We equally weight two valuation approaches. Our fundamental valuation, derived from a standard three-stage DCF model, uses a WACC of 6.7%, based on a risk-free interest rate of 3.0%, a risk premium of 6%, a beta of 1.16, and a 55% equity ratio. This yields a valuation of EUR 45.05. Our relative, multiples-based valuation is the average of Bechtle's 10-year P/E, EV/EBIT, EV/EBITDA, and EV/Sales applied to our FY27E estimates, yielding a per-share value of EUR 45.72. Equally weighted, our target price is EUR 45, rounded from EUR 45.38. We maintain our Buy rating.



Risk

Bechtle's business model is highly dependent on the IT spending behavior of corporates and government agencies, particularly in the German market. Consequently, any unexpected pullback in this spending would constitute the biggest risk to our investment case. More specifically for Bechtle, problems in the international roll-out of the group's e-commerce activities would pose the most significant downside risk.



CANCOM (Buy, EUR 34 TP)

Figure 34: Group quarterly earnings estimates

FY end: Dec (EUR m)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Revenue	411	393	424	487	407	420	452	533
q/q growth	-14.4%	-4.2%	7.8%	14.9%	-16.4%	3.2%	7.6%	17.9%
y/y growth	-6.8%	-0.4%	0.3%	1.5%	-0.9%	6.8%	6.7%	9.5%
Total cost of revenue	-244	-229	-260	-313	-236	-241	-264	-329
Gross profit	169	167	169	192	175	182	191	206
Gross margin %	41.2%	42.4%	39.8%	39.5%	42.9%	43.3%	42.2%	38.6%
Personnel Expenses	-120	-119	-115	-116	-120	-120	-120	-121
Other Operating Expenses	-28	-31	-26	-37	-28	-33	-39	-48
Total operating expenses	-148	-151	-141	-153	-148	-153	-159	-169
as % of sales	36.1%	38.3%	33.4%	31.4%	36.3%	36.4%	35.2%	31.6%
Operating earnings (EBIT)	5	0	11	22	11	12	15	18
Operating margin %	1.3%	0.0%	2.7%	4.6%	2.7%	2.8%	3.3%	3.4%
Depreciation and amortization (Ordinary)	-16	-16	-16	-17	-16	-17	-17	-19
EBITDA	21	16	27	39	27	29	32	37
EBITDA Margin %	5.1%	4.0%	6.4%	8.0%	6.6%	6.9%	7.1%	6.9%
Net financial income (expense), net	-1	-2	-1	2	-1	0	0	0
Earnings before taxes (PBT) - adjusted	4	-1	10	24	11	11	14	18
Income tax expenses	-1	1	-3	-6	-3	-3	-3	-8
Tax rate	28%	61%	26%	25%	28%	24%	24%	46%
Net Income (adjusted)	3.2	-0.5	7.6	18.4	7.8	8.7	10.9	9.8
Diluted adjusted Earnings per share (EUR)	0.10	-0.02	0.24	0.58	0.26	0.30	0.38	0.34

Source : Deutsche Bank estimates, company data



Figure 35: Group annual earnings estimates

FY end: Dec (EUR m)	2023	2024	2025	2026E	2027E	2028E
Revenue	1,523	1,738	1,715	1,813	1,941	2,043
<i>y/y growth</i>	<i>17.8%</i>	<i>14.1%</i>	<i>-1.3%</i>	<i>5.7%</i>	<i>7.1%</i>	<i>5.3%</i>
Total cost of revenue	-959	-1,058	-1,046	-1,070	-1,141	-1,199
Gross profit	582	694	697	753	811	855
Gross margin %	38.2%	39.9%	40.6%	41.6%	41.8%	41.8%
Personnel Expenses	-383	-468	-471	-481	-495	-510
Other Operating Expenses	-84	-111	-122	-148	-171	-186
Total operating expenses	-467	-579	-593	-628	-666	-696
as % of sales	30.6%	33.3%	34.6%	34.7%	34.3%	34.1%
Operating earnings (EBIT)	56	48	39	56	75	90
Operating margin %	3.7%	2.8%	2.3%	3.1%	3.9%	4.4%
Depreciation and amortization (Ordinary)	-60	-67	-65	-69	-69	-69
EBITDA	116	113	103	125	144	159
EBITDA Margin %	7.6%	6.5%	6.0%	6.9%	7.4%	7.8%
Net financial income (expense), net	0	1	-2	-1	-1	-1
Earnings before taxes (PBT) - adjusted	56	49	38	55	74	88
Income tax expenses	-18	-15	-9	-17	-24	-28
Tax rate	32%	31%	24%	32%	32%	32%
Net Income (adjusted)	37	33	29	37	50	60
Diluted adjusted Earnings per share (EUR)	1.03	0.99	0.92	1.29	1.75	2.09

Source : Deutsche Bank estimates, company data



Outlook

CANCOM envisages FY26E revenue/EBITDA/EBITA to increase 5%/17%/35% at the midpoint, with profitability supported by a flatter opex base following last year's restructuring measures. (DBE FY26 sales/EBITDA +6%/+22% yoy). On the Q1/26 call, CANCOM expressed confidence in its unchanged guidance, citing its current order backlog. Management stated that an improving business environment in Germany is expected to more than compensate for the current weakness in the International business segment. Despite the challenging IT market, CANCOM identifies opportunities by leveraging prevailing conditions such as supply bottlenecks, rising DRAM prices due to the shift towards AI-related memory technologies and increasing component costs across the industry. The company believes it is well-positioned to capitalize on these trends through its extensive network of 300 manufacturer partners, which enables it to effectively manage supply chain complexities. Additionally, CANCOM's broad and diversified customer base of over 40,000 clients limits its dependency on individual, large business partners. Management also anticipates benefiting from the ongoing AI boom (e.g., AWS, Anthropic), as CANCOM's customers require reliable partners to implement these new technologies. We continue to expect customer demand for infrastructure solutions, digitalization, AI transformation, and data sovereignty to positively influence the 2026 financial year, with demand foremost coming from the public sector. However, this will most likely be juxtaposed with anticipated significant price increases and uncertainties surrounding the availability of IT components. CANCOM should significantly benefit from the German stimulus package, although we admit that it should take until the end of FY26 at the earliest to see the company benefiting. CANCOM is also participating in several larger tenders with the public sector, so momentum is picking up further. But the company does not only see the public sector coming back again but also that the SMEs start with upgrades of both soft- as well as hardware.

Valuation

We use two equally-weighted valuation approaches: our standard three-stage DCF model and an IT service peer group comparison. Our DCF model uses WACC of 7.5%, based on a risk-free interest rate of 3.1%, a risk premium of 6%, beta of 0.9 and an 82% equity ratio, plus a TGR of 2.0%. This leads to an estimated value of EUR 31.87 per share. Our multiples-based valuation is the average of the median peer multiples for 2027E EV/EBIT, EV/EBITDA and EV/sales applied to our estimates for CANCOM. This leads to an estimated value of EUR 36.97 per share. We reiterate our Buy rating and keep our price target of EUR 34. Based on our FY27E forecasts, CANCOM currently trades at a 66% discount to its peer group's EV/EBITDA multiple. While this discount is largely attributable to several negative surprises in recent quarters, we hope to see it diminish over the next couple of months, as we expect CANCOM's performance to underscore the achievability of the FY26 guidance.

Risks

CANCOM derives the bulk of its revenue from Germany. Given that the IT market is largely correlated with general economic conditions, a macro slowdown could lead to cuts in IT spending. Another major downside risk is the potential entrance of a large IT vendor into the SME market.



Capgemini (Buy, EUR 125 TP)

Figure 36: Group half-yearly earnings estimates

FY end: Dec (EUR m)	1H24	2H24	1H25	2H25	1H26E	2H26E
Revenue	11,138	10,958	11,107	11,358	12,001	12,194
y/y growth (cc)	-2.6%	-1.4%	0.2%	7.1%	10.8%	6.7%
y/y growth (organic)	-3.0%	-1.8%	-0.2%	3.0%	4.3%	3.0%
Total cost of revenue	8,164	7,880	8,171	8,219	8,829	8,616
Gross profit (non-IFRS)	2,974	3,078	2,936	3,139	3,172	3,578
Gross margin %	26.7%	28.1%	26.4%	27.6%	26.4%	29.3%
Total operating expenses	1,590	1,528	1,559	1,533	1,683	1,751
as % of sales	14.3%	13.9%	14.0%	13.5%	14.0%	14.4%
non-IFRS Operating earnings (EBIT)	1,384	1,550	1,377	1,606	1,489	1,827
Operating margin %	12.4%	14.1%	12.4%	14.1%	12.4%	15.0%
non-IFRS EBITDA	1,723	1,894	1,727	1,954	1,860	2,204
EBITDA Margin %	15.5%	17.3%	15.5%	17.2%	15.5%	18.1%
Net finance expense	20	-7	16	-46	-66	-83
Earnings before taxes (PBT) - adjusted	1,404	1,543	1,393	1,560	1,423	1,744
Income tax expenses (non-IFRS)	-395	-463	-371	-384	-434	-532
Tax rate (non-IFRS)	28.1%	30.0%	26.6%	24.6%	30.5%	30.5%
Net Income (adjusted)	1,009	1,080	1,022	1,176	989	1,212
IFRS EPS, diluted (EUR)	5.88	6.36	6.00	6.95	5.86	7.18
Normalized EPS, diluted (EUR)	5.67	6.14	5.79	6.71	5.67	6.94

Source : Deutsche Bank estimates, company data



Figure 37: Group annual earnings estimates

FY end: Dec (EUR m)	2023	2024	2025	2026E	2027E	2028E
Revenue	22,522	22,096	22,465	24,195	26,049	27,873
<i>y/y growth (cc)</i>	4.5%	-2.0%	3.5%	8.8%	7.2%	7.0%
<i>y/y growth (organic)</i>	3.9%	-2.4%	1.0%	3.8%	5.2%	5.0%
Total cost of revenue	16,474	16,044	16,390	17,445	18,781	20,096
Gross profit (non-IFRS)	6,048	6,052	6,075	6,750	7,268	7,777
Gross margin %	26.9%	27.4%	27.0%	27.9%	27.9%	27.9%
Total operating expenses	3,057	3,118	3,092	3,434	3,655	3,874
as % of sales	13.6%	14.1%	13.8%	14.2%	14.0%	13.9%
non-IFRS Operating earnings (EBIT)	2,991	2,934	2,983	3,316	3,613	3,902
Operating margin %	13.3%	13.3%	13.3%	13.7%	13.9%	14.0%
non-IFRS EBITDA	3,691	3,617	3,681	4,065	4,394	4,738
EBITDA Margin %	16.4%	16.4%	16.4%	16.8%	16.9%	17.0%
Net finance expense	-42	13	-30	-149	-119	35
Earnings before taxes (PBT) - adjusted	2,949	2,947	2,953	3,167	3,494	3,937
Income tax expenses (non-IFRS)	-812	-858	-755	-966	-1,066	-1,201
Tax rate (non-IFRS)	28%	29%	26%	31%	31%	31%
Net Income (adjusted)	2,137	2,089	2,198	2,201	2,428	2,736
IFRS EPS, diluted (EUR)	12.44	12.24	12.94	13.05	14.39	16.21
Normalized EPS, diluted (EUR)	12.02	11.81	12.50	12.61	13.91	15.67

Source : Deutsche Bank estimates, company data



Outlook

Capgemini offers information technology services in several verticals including aerospace, automotive, life science, and telecom worldwide. The company became the leader in ER&D services in 2020 and one of the few among its peers with both an IT and OT proposition. The company has de-emphasized its exposure to on-prem and expanded its Digital and Cloud services to +65% of total revenues in 2020, way above most of its peers. Capgemini also deployed new measures for its workforce that are expected to expand its margins on the back of improvements in utilization rate. Our Buy rating is based on the recent derating, large valuation discount to best-in-class peer, and Cap's prime position in capitalizing the demand once the recovery started.

Valuation

We value Capgemini on a 50/50 blend of ~9x '27e P/E and 12x '27 EV/uFCF, broadly in line with peers. This reflects recent improvements in previously challenged geographies and sectors, while acknowledging ongoing market uncertainty and low visibility.

Risk

Risks include competitive share losses, especially the loss of large outsourcing contracts, and a macroeconomic and IT spending downturn. CAP may be less successful than we expect in renewing its services portfolio, resulting in slower growth and margin pressure. FX headwinds may be more extreme than we expect, impacting growth and margins.



Dassault Systemes (Hold, EUR 20 TP)

Figure 38: Group quarterly estimates

FY end: Dec (EUR m)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Revenue	1,573	1,523	1,461	1,682	1,510	1,551	1,502	1,740
q/q growth	-10.3%	-3.2%	-4.1%	15.1%	-10.2%	2.8%	-3.2%	15.9%
y/y growth (CCY %)	3.5%	5.6%	4.6%	1.2%	2.8%	4.1%	3.1%	3.8%
New licenses Revenue	198	276	189	358	200	266	244	284
Periodic licenses, maintenance & other Software	1,235	1,099	1,126	1,165	1,175	1,135	1,110	1,295
Services and other revenue	140	149	146	159	134	150	148	161
Total cost of revenue	255	251	238	252	240	266	240	242
Gross profit	1,318	1,272	1,223	1,430	1,270	1,285	1,261	1,498
Gross margin %	83.8%	83.5%	83.7%	85.0%	84.1%	82.8%	84.0%	86.1%
Research & Development	316	320	295	304	310	302	270	315
Sales and Marketing	422	408	392	403	411	421	405	464
General and Admin	94	99	97	102	91	99	93	108
Total operating expenses (non-IFRS)	832	826	784	809	813	822	769	887
as % of sales	52.9%	54.3%	53.6%	48.1%	53.8%	53.0%	51.2%	51.0%
Operating earnings (EBIT) , non-IFRS	486	446	440	622	457	463	493	611
Operating margin %	30.9%	29.3%	30.1%	37.0%	30.3%	29.9%	32.8%	35.1%
Depreciation and amortization (Ordinary)	50	48	50	51	52	47	50	52
EBITDA (non-GAAP)	537	495	490	672	509	510	542	664
EBITDA Margin %	34.1%	32.5%	33.5%	40.0%	33.7%	32.9%	36.1%	38.1%
Net financial income (expense), net (non-IFRS)	30.9	30.4	25.4	19.4	22.9	21.1	24.0	28.0
Earnings before taxes (PBT) - adjusted	517	477	465	641	480	484	517	639
Income tax expenses (non-IFRS)	97	86	78	105	83	86	92	115
Tax rate (non-IFRS)	19%	18%	17%	16%	17%	18%	18%	18%
Net Income (adjusted)	420	391	390	536	397	399	425	525
Earnings per share (IFRS) - diluted (EUR)	0.20	0.17	0.21	0.33	0.22	0.23	0.25	0.31
Diluted adjusted Earnings per share (EUR)	0.32	0.30	0.29	0.40	0.30	0.30	0.32	0.39

Source : Deutsche Bank estimates, company data



Figure 39: Group annual estimates

FY end: Dec (EUR m)	2023	2024	2025	2026E	2027E	2028E
Revenue	5,951	6,214	6,240	6,303	6,630	7,034
<i>y/y growth (CCY %)</i>	<i>8.3%</i>	<i>4.9%</i>	<i>3.6%</i>	<i>3.4%</i>	<i>5.1%</i>	<i>6.1%</i>
New licenses Revenue	1,088	1,125	1,021	994	1,054	1,119
Periodic licenses, maintenance & other Software	4,272	4,488	4,624	4,715	4,953	5,255
Services and other revenue	591	600	595	593	623	660
Total cost of revenue	954	1,000	996	989	1,055	1,118
Gross profit	4,997	5,214	5,244	5,314	5,575	5,915
Gross margin %	84.0%	83.9%	84.0%	84.3%	84.1%	84.1%
Research & Development	1,133	1,208	1,234	1,198	1,260	1,336
Sales and Marketing	1,550	1,623	1,625	1,702	1,757	1,864
General and Admin	388	399	392	391	411	436
Total operating expenses (non-IFRS)	3,071	3,230	3,250	3,290	3,428	3,636
as % of sales	51.6%	52.0%	52.1%	52.2%	51.7%	51.7%
Operating earnings (EBIT) , non-IFRS	1,926	1,984	1,994	2,024	2,148	2,279
Operating margin %	32.4%	31.9%	32.0%	32.1%	32.4%	32.4%
Depreciation and amortization	182	192	199	201	212	225
EBITDA (non-GAAP)	2,108	2,176	2,193	2,226	2,359	2,503
EBITDA Margin %	35.4%	35.0%	35.1%	35.3%	35.6%	35.6%
Net financial income (expense), net (non-IFRS)	88.3	121.6	106.1	96.0	75.9	106.4
Earnings before taxes (PBT) - adjusted	2,014	2,105	2,100	2,120	2,224	2,385
Income tax expenses (non-IFRS)	415	397	365	376	395	423
Tax rate (non-IFRS)	20.6%	18.8%	17.4%	17.8%	17.8%	17.8%
Net Income (adjusted)	1,598	1,705	1,737	1,746	1,831	1,964
Earnings per share (IFRS) - diluted (EUR)	0.79	0.90	0.90	1.01	1.07	1.16
Diluted adjusted Earnings per share (EUR)	1.20	1.28	1.31	1.31	1.39	1.51

Source : Deutsche Bank estimates, company data



Outlook

Dassault has a market-leading product offering and exhibits strong execution. In our view, the incremental upside from a fundamental standpoint is partly priced in, particularly with regard to 3DX penetration and a subscription shift in Solidworks, but also acknowledging a prospective Life Sciences growth slowdown. While Dassault is a leader in terms of performance and functionality in many respects, especially with its 3DXPERIENCE offering, we believe it will need to accelerate its Cloud strategy, get Industrial Innovation back to a double-digit growth rate and achieve a healthier conversion of Medidata customers to regain its appeal to investors. We rate the stock a Hold.

Valuation

We value Dassault on a 50/50 blend of FY26E P/E and EV/uFCF of ~15x and ~16x, discounts to its peers, to reflect short-term risks and risks to Life Sciences performance.

Risk

Upside risks include: 1) another large deal in automotive could surprise markets and provide a positive skew to total revenue for the year; 2) a faster rebound in clinical trial starts could mean more adoption of Medidata renewals; and 3) faster acceleration in subscription and 3DX penetration could offset weaker Life Sciences growth. Downside risks include: 1) global capex and R&D in important end markets that are weaker than we expect; 2) aggressive competitors gain share; 3) slowing penetration in 3DX, with the company unable to achieve the targeted increase in TCV; 4) Life Sciences decelerating due to a continued downward trend in clinical trial studies; and 5) CAD and PLM markets weakening on slower IT spending.



Hexagon (Hold, SEK 85 TP)

Figure 40: Quarterly P&L

	1Q26	2Q26E	3Q26E	4Q26E
Revenue	964	955	984	1,045
<i>q/q growth</i>	-32.6%	-1.0%	3.1%	6.2%
<i>y/y growth (organic)</i>	6.9%	6.1%	5.7%	4.3%
Cost of goods sold	358	354	364	385
Gross profit	606	601	620	660
Gross margin %	62.8%	62.9%	63.0%	63.2%
Total operating expenses (non-IFRS)	354	348	352	364
as % of sales	36.8%	36.4%	35.7%	34.8%
Operating earnings (EBIT) , non-IFRS	251	253	268	297
Operating margin %	26.1%	26.5%	27.3%	28.4%
Net financial income (expense), net (non-IFRS)	-24.4	-28.5	-20.9	-39.2
Earnings before taxes (PBT) - adjusted	224	224	247	258
Income tax expenses (non-IFRS)	-41	-45	-49	-55
Tax rate (non-IFRS)	19%	20%	20%	21%
Net Income (adjusted)	182	180	198	203
Earnings per share (non-IFRS), basic (EUR)	0.07	0.07	0.07	0.07
Diluted adjusted Earnings per share (EUR)	0.07	0.07	0.07	0.07

Source : Deutsche Bank estimates, company data



Figure 41: Annual P&L

FY end: Dec (EUR m)	2025	2026E	2027E	2028E
Revenue	4,001	3,948	4,157	4,392
<i>y/y growth (organic)</i>	<i>0.0%</i>	<i>5.7%</i>	<i>5.3%</i>	<i>5.5%</i>
Cost of goods sold	1,489	1,461	1,538	1,625
Gross profit	2,510	2,487	2,619	2,767
Gross margin %	62.7%	63.0%	63.0%	63.0%
Total operating expenses (non-IFRS)	1,438	1,418	1,457	1,504
as % of sales	35.9%	35.9%	35.1%	34.2%
Operating earnings (EBIT) , non-IFRS	1,072	1,069	1,162	1,263
Operating margin %	26.8%	27.1%	27.9%	28.8%
Net financial income (expense), net (non-IFRS)	-133	-113	-75	-66
Earnings before taxes (PBT) - adjusted	940	953	1,087	1,197
Income tax expenses (non-IFRS)	-166	-191	-217	-239
Tax rate (non-IFRS)	17.7%	20.0%	20.0%	20.0%
Net Income (adjusted)	774	762	870	958
Earnings per share (non-IFRS), basic (EUR)	0.28	0.28	0.32	0.35
Diluted adjusted Earnings per share (EUR)	0.28	0.28	0.32	0.35

Source : Deutsche Bank estimates, company data



Outlook

We have a broadly positive view of Hexagon's strategy and product set while we see new management off to a good start, taking the right actions to return the business back to better growth. However, given a challenging macro backdrop and slow development in some of Hexagon's key end markets, we see cyclical headwinds persisting for now, impairing growth potential. Following the spin-off of Octave, we view the business as fairly valued here and rate Hexagon Hold.

Valuation

We value Hexagon using a SOTP valuation. We apply a FY27e EV/EBIT multiple of ~18x to Hexagon and ~18x for the recent acquisition in non-destructive testing space, which is broadly in-line with European Industrial peers. Hexagon's stake in a US EDA player is valued at market prices. FY27 proforma net debt is adjusted for the recent acquisition in non-destructive testing space.

Risk

Key upside risks include: 1) more pronounced recovery in key end markets, i.e., Manufacturing & Construction or Geosystems in China; 2) greater-than-expected revenue & cost synergies from acquisitions; and 3) successful new product launches. Key downside risks include: 1) competitive share losses; 2) slower-than-expected recovery in Manufacturing and Construction and a sustained downturn in Geosystems; and 3) Hexagon may experience less margin benefit from the introduction of new products than we expect.



Mensch und Maschine (Buy, EUR 46 TP)

Figure 42: Quarterly P&L

FY end: Dec (EUR m)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Revenue	66	55	56	61	72	59	61	65
q/q growth	18.4%	-16.9%	2.5%	9.3%	16.4%	-17.2%	3.0%	7.2%
y/y growth	-34.6%	-27.0%	-40.2%	10.2%	8.4%	8.1%	8.5%	6.4%
Total cost of revenue	17	11	14	15	20	14	16	17
Gross profit	49	44	42	46	52	46	45	49
q/q growth	25.0%	-11.3%	-3.4%	9.0%	11.7%	-11.3%	-53.3%	7.3%
y/y growth	-1.5%	1.2%	2.1%	16.8%	4.3%	4.3%	7.3%	5.6%
Gross margin %	74.9%	80.0%	75.4%	75.1%	72.1%	77.2%	74.5%	74.5%
Personnel expenses	28	27	27	29	29	28	28	29
Other operating expenses	6	6	5	5	5	6	5	5
Other operating income	3	2	2	3	4	2	2	2
Total operating expenses	31	31	29	31	30	32	31	32
as % of sales	46.5%	55.8%	52.2%	50.1%	42.0%	53.3%	51.1%	49.5%
Operating earnings (EBIT)	16	11	10	12	18	12	11	13
Operating margin %	24.4%	19.4%	18.5%	19.4%	25.6%	19.8%	18.2%	20.2%
Depreciation and amortization	3	3	3	3	3	2	3	3
EBITDA	19	13	13	15	22	14	14	16
EBITDA Margin %	28.4%	24.2%	23.2%	25.0%	30.1%	23.9%	23.4%	25.0%
Net financial expenses	0.4	0.4	0.6	0.7	0.2	0.3	0.2	0.2
Earnings before taxes (EBT)	16	10	10	11	18	11	11	13
Income tax expense	4	3	3	3	5	3	3	3
Tax rate %	27%	27%	27%	24%	26%	26%	26%	26%
Net Income	12	8	7	9	13	8	8	10
Earnings per share - basic (EUR)	0.62	0.43	0.39	0.47	0.73	0.43	0.43	0.52
Earnings per share - diluted (EUR)	0.62	0.43	0.39	0.47	0.73	0.43	0.43	0.52

Source: Deutsche Bank estimates, company data



Figure 43: Annual P&L

FY end: Dec (EUR m)	2023	2024	2025	2026E	2027E	2028E
Revenue	322	326	239	257	275	296
<i>y/y growth</i>	<i>0.6%</i>	<i>1.1%</i>	<i>-26.8%</i>	<i>7.8%</i>	<i>7.0%</i>	<i>7.5%</i>
Total cost of revenue	154	151	57	66	69	74
Gross profit	169	175	182	192	206	222
<i>y/y growth</i>	<i>4.6%</i>	<i>3.6%</i>	<i>4.2%</i>	<i>5.3%</i>	<i>7.5%</i>	<i>7.9%</i>
Gross margin %	52.3%	53.6%	76.2%	74.4%	74.8%	75.1%
Personnel expenses	99	105	110	113	119	125
Other operating expenses	19	22	21	21	22	23
Other operating income	7	9	10	9	8	6
Total operating expenses	112	118	121	125	133	141
as % of sales	34.7%	36.2%	50.9%	48.6%	48.2%	47.8%
Operating earnings (EBIT)	47	46	49	54	60	67
Operating margin %	14.5%	14.3%	20.6%	21.1%	21.9%	22.7%
Depreciation and amortization	10	10	11	12	13	14
EBITDA	57	57	60	66	73	81
EBITDA Margin %	17.6%	17.4%	25.3%	25.8%	26.6%	27.4%
Net financial expenses	1.6	0.9	2.0	1.0	1.1	1.1
Earnings before taxes (EBT)	45	46	47	53	59	66
Income tax expense	13	12	12	14	15	17
Tax rate %	29.4%	26.6%	25.8%	26.0%	26.0%	26.0%
Net Income	32	33	35	39	44	49
Earnings per share - basic (EUR)	1.72	1.80	1.91	2.11	2.41	2.76
Earnings per share - diluted (EUR)	1.72	1.80	1.91	2.11	2.41	2.76

Source : Deutsche Bank estimates, company data



Outlook

Mensch und Maschine (MuM) is a leading European Autodesk partner providing software and digitization services for the architecture, engineering and construction (AEC) and manufacturing industries. A change in the accounting treatment of its Autodesk business as a result of the shift in Autodesk's go-to-market motion temporarily distorts MuM's FY25 financials, we believe masking the underlying strength of the company. We see this transition year as an attractive entry point, with MuM trading at a significant discount to its 10-year EV/EBIT multiple. We believe shares can re-rate to historical valuation levels once MuM resumes its normal trajectory of robust EPS growth in '26/'27, driven by reaccelerating growth and margin expansion. Buy.

Valuation

MuM combines a Software segment that can be compared to engineering software companies, while the reseller business exhibits characteristics of IT services and consulting. We, hence, use a SOTP approach when valuing MuM, as we believe the VAR business should be valued differently from its faster-growing, higher-margin Software business. We value the Software segment at ~17x EV/EBIT, at a 25% discount to the median of comparable engineering software companies. This discount reflects a slightly less dominant market position and the smaller TAM of MuM's software brands, as well as a discount, given our estimates being slightly below consensus. The Digitization segment is valued at ~12x EV/EBIT, the median of a broad group of IT services and VAR peers. We adjust for minorities (fully consolidated in the Software segment), valued at ~19x P/E, a 25% discount to the median P/E of our engineering software peer group. Combined, we derive our target price, which assumes a 21x FY26 P/E versus MuM's key peer trading on 25x when adj. for SBC. Hence, although our estimates for outer years are below consensus, we view valuation levels as compelling. Buy.

Risk

Key downside risks to our view include, but are not limited to: 1) MuM's dependence on Autodesk, 2) risks associated with changes in Autodesk's pricing model, 3) intensified competition and consolidation trends in the Autodesk partner channel, 4) MuM's exposure to cyclical end markets, 5) risks associated with innovation and technological advancements, 6) potentially value-destructive M&A activity in the future, and 7) risks associated with MuM's shareholder structure.



Nemetschek (Buy, EUR 75 TP)

Figure 44: Group quarterly estimates

FYE: December	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Revenue	283	290	293	325	313	330	390	426
y/y growth	26.3%	27.4%	15.8%	11.8%	10.7%	13.9%	33.0%	30.9%
y/y growth	26.3%	27.4%	15.8%	11.8%	10.7%	13.9%	33.0%	30.9%
Gross profit	275	284	284	317	309	322	380	415
Gross margin %	97.1%	97.9%	96.9%	97.3%	98.5%	97.4%	97.4%	97.4%
Personnel expenses	-118	-117	-116	-114	-123	-131	-149	-162
Other operating expenses	-76	-78	-73	-95	-87	-88	-106	-112
Operating expenses	-194	-195	-189	-210	-210	-219	-255	-274
EBITDA	81	88	95	107	98	103	125	141
EBITDA Margin	28.5%	30.5%	32.5%	32.9%	31.4%	31.2%	31.9%	33.0%
Total D&A	-18	-18	-18	-19	-19	-20	-24	-24
Interest result	-5	-3	-4	-3	-1	-2	-6	-7
Earnings before taxes	57	68	73	85	78	80	95	109
Income taxes	-12	-14	-17	-19	-17	-18	-21	-24
Net income	45	53	56	66	61	63	74	85
Net income of the parent	45	52	55	65	60	62	64	71
Non-controlling interests	0	1	1	1	1	1	10	14
Earnings per share (undiluted) in euros	0.39	0.46	0.49	0.57	0.53	0.54	0.64	0.74
Adjusted EPS (undiluted) in euros	0.46	0.53	0.55	0.63	0.60	0.60	0.62	0.68

Source : Deutsche Bank estimates, company data



Figure 45: Group annual estimates

FYE: December	2023	2024	2025	2026E	2027E	2028E
Sales	852	996	1191	1459	1801	2056
yoy	6.2%	16.9%	19.7%	22.5%	23.5%	14.1%
yoy (cc)	8.0%	17.2%	22.6%	24.2%	22.9%	14.1%
yoy (org)	6.2%	13.7%	19.7%	13.0%	15.5%	14.1%
yoy (org, cc)	8.0%	14.0%	22.6%	14.7%	15.0%	14.1%
Gross profit	827	967	1159	1424	1756	2002
Gross margin %	97.1%	97.1%	97.3%	97.6%	97.5%	97.4%
Personnel expenses	-361	-406	-465	-565	-687	-764
Other operating expenses	-208	-260	-323	-393	-462	-517
Operating expenses	-569	-666	-788	-958	-1149	-1281
EBITDA	258	301	371	466	607	721
EBITDA Margin	30.3%	30.2%	31.2%	32.0%	33.7%	35.1%
Total D&A	-58	-67	-73	-87	-96	-96
Interest result	5	-6	-15	-16	-15	7
Earnings before taxes	204	228	283	362	496	632
Income taxes	-41	-49	-62	-80	-109	-137
Net income	164	179	221	283	387	495
Net income of the parent	162	174	217	256	321	405
Non-controlling interests	2	5	4	26	66	89
EPS (undiluted) in euros	1.40	1.50	1.88	2.22	2.78	3.51
Adj. EPS (undiluted) in euros	1.59	1.74	2.15	2.50	3.08	3.81

Source : Deutsche Bank estimates, company data



Outlook

We believe that Nemetschek is well positioned to benefit from secular growth in construction as one of the leading suppliers of BIM software, outperforming the global AEC/O market with its strong multi-brand suite of products. The company is the only player addressing each specific AEC/O niche market from the design of a building to its management – thus offering a gapless value chain and the ability to foster strong and diversified future growth. In addition, we expect inorganic effects from frequent earnings-accretive acquisitions in the global BIM stage. While we expect the recent acquisition to be only earnings accretive beyond FY27 and therefore believe more patience is required, we do see significant long-term value in the recent acquisition. Near-term, we believe especially Bluebeam remains the main driver of growth rates above peers, driven by Bluebeam's international expansion, upselling to Bluebeam Max and cross-selling with GoCanvas. Combined with what we believe to be more limited GenAI risk, we expect a re-rating in shares to levels above peers (as Nemetschek has traded on historically) and rate shares Buy.

Valuation

Our target price is based on a FY27 P/E of 24x. This represents a premium to the SBC-adjusted P/E multiples of key peers, which we view as justified given above-peer growth rates, higher margin potential from what we view as a better-shielded end market, and the expected benefits from the recent acquisition beyond 2027.

Risk

Key risks include: 1) a weaker macro backdrop, 2) weaker launches of new products and technologies, 3) weaker acquisition integration, 4) risks associated with the transition of customers to subscription-based pricing models, including churn and faster or slower progress than expected, 5) downside risks associated with Nemetschek's internationalization and expansion into foreign markets, 6) adverse developments in BIM regulation, and 7) increased competition, including from AI.



NetCompany (Hold, DKK 350 TP)

Figure 46: Group quarterly estimates

FY end: Dec (DKK m)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Revenue	1,744	1,715	2,168	2,265	2,414	2,308	2,329	2,394
<i>q/q growth</i>	3.9%	-1.7%	26.4%	4.5%	6.6%	-4.4%	0.9%	2.8%
<i>y/y org growth in cc</i>	9.0%	3.9%	8.2%	9.5%	12.8%	7.2%	7.4%	5.7%
Total cost of revenue	1,229	1,272	1,578	1,594	1,827	1,687	1,647	1,527
Gross profit (non-IFRS)	515	443	590	671	587	621	682	867
Gross margin %	29.5%	25.8%	27.2%	29.6%	24.3%	26.9%	29.3%	36.2%
Sales & Marketing costs	13	18	13	16	16	16	10	29
Sales and marketing expense	244	256	276	329	293	359	328	343
Total operating expenses (non-IFRS)	286	303	329	384	347	421	379	411
as % of sales	16.4%	17.7%	15.2%	17.0%	14.4%	18.3%	16.3%	17.2%
Operating earnings (EBIT) , non-IFRS	229	140	262	286	241	199	304	456
Operating margin %	13.1%	8.2%	12.1%	12.6%	10.0%	8.6%	13.0%	19.1%
Depreciation, amortisation and impairment	78	81	171	99	100	126	111	112
EBITDA (non-IFRS)	307	221	432	385	341	325	414	568
EBITDA Margin %	17.6%	12.9%	19.9%	17.0%	14.1%	14.1%	17.8%	23.7%
Net financial income (expense), net	-35	-41	-45	-48	-37	-46	-41	-41
Earnings before taxes (PBT) - adjusted	218	123	253	274	237	200	303	455
Income tax expenses (non-IFRS)	-50	-18	-56	-67	-64	-33	-69	-107
Tax rate (non-IFRS)	23%	15%	22%	24%	27%	17%	23%	23%
Net Income (adjusted)	168	105	197	207	173	167	234	348
Non-IFRS EPS, basic (DKK)	3.57	2.23	4.20	4.49	3.79	3.71	5.27	7.95
Non-IFRS EPS, diluted (DKK)	3.53	2.20	4.14	4.43	3.74	3.66	5.20	7.74

Source : Deutsche Bank estimates, company data



Figure 47: Group annual estimates

FY end: Dec (DKK m)	2023	2024	2025	2026E	2027E	2028E
Revenue	6,078	6,541	7,892	9,446	10,194	10,884
<i>y/y org growth in cc</i>	<i>10.7%</i>	<i>7.4%</i>	<i>7.7%</i>	<i>8.4%</i>	<i>7.9%</i>	<i>6.8%</i>
Total cost of revenue	4,376	4,634	5,673	6,687	7,177	7,575
Gross profit (non-IFRS)	1,703	1,906	2,219	2,758	3,017	3,309
Gross margin %	28.0%	29.1%	28.1%	29.2%	29.6%	30.4%
Sales & Marketing costs	55	53	61	71	82	86
Sales and marketing expense	936	944	1,104	1,323	1,379	1,472
Total operating expenses (non-IFRS)	1,125	1,113	1,302	1,558	1,639	1,748
as % of sales	18.5%	17.0%	16.5%	16.5%	16.1%	16.1%
Operating earnings (EBIT) , non-IFRS	579	794	917	1,200	1,379	1,560
Operating margin %	9.5%	12.1%	11.6%	12.7%	13.5%	14.3%
Depreciation and amortization	323	304	429	448	483	516
EBITDA (non-IFRS)	901	1,098	1,346	1,648	1,862	2,077
EBITDA Margin %	14.8%	16.8%	17.0%	17.4%	18.3%	19.1%
Net financial income (expense), net	-138	-145	-169	-165	-197	-182
Earnings before taxes (PBT) - adjusted	567	748	868	1,200	1,359	1,568
Income tax expenses (non-IFRS)	-158	-182	-191	-273	-310	-361
Tax rate (non-IFRS)	28%	24%	22%	23%	23%	23%
Net Income (adjusted)	409	567	677	927	1,049	1,208
Non-IFRS EPS, basic (DKK)	8.25	11.72	13.93	20.74	23.94	27.57
Non-IFRS EPS, diluted (DKK)	8.20	11.60	13.79	20.39	23.30	26.84

Source : Deutsche Bank estimates, company data



Outlook

Netcompany is a digitally-focused IT Services business with a strong growth track record. We see Netcompany expanding into adjacent Northern European markets with a focus on multiyear public sector digital projects. We view the company's hiring strategy as a differentiator. While we are optimistic on its prospects and management, we see Netcompany as a more defensive name in the sector, less geared to a pending post-Covid recovery. Hold.

Valuation

We value Netcompany on a 50/50 blend of ~15x '27e P/E and ~18x '27e EV/uFCF at a modest premium to European digital transformation and public sector IT peers, reflecting its attractive end-market positioning in mission-critical public sector systems and relatively strong quality profile within the sector.

Risk

Key risks include: high exposure to the public sector and reputational risks, a worsening macro, slower RRF conversion rates, talent acquisition, wage inflation and execution risk from an acquired company on the downside; and growth, margin expansion, faster progression in the UK, Norway and Greece as well as faster integration of the acquired company ahead of forecasts on the upside.



Ocado (Buy, GBp 310 TP)

Figure 48: Group quarterly estimates

FY end: Nov (GBP m)	1H24	2H24	1H25	2H25	1H26E	2H26E
Technology Solutions	241	255	277	284	233	268
Logistics	354	364	397	404	424	432
Total Revenue, incl Kroger and Sobeys closure fees	595	619	674	688	973	736
% yoy growth	11.7%	11.8%	13.2%	11.0%	44.3%	7.1%
Technology Solutions adj. EBITDA	35	46	73	68	58	95
Logistics adj. EBITDA	17	14	19	19	20	14
Total Adjusted EBITDA, incl Krogers and Sobeys closures fees	52	60	92	86	393	146
Technology Solutions adj. EBITDA margin	14.4%	18.1%	26.3%	23.8%	24.8%	35.5%
Logistics adj. EBITDA margin	4.9%	3.8%	4.8%	4.6%	4.7%	3.3%
Total Adjusted EBITDA Margin, pre Kroger and Sobeys closure fees	8.7%	9.7%	13.6%	12.5%	11.8%	15.7%
Share of results of JV/Assocs	(13)	(11)	(8)	(5)	0	6
Depreciation and Amortisation	(186)	(228)	(174)	(237)	(190)	(200)
Adjusted EBIT, incl Kroger and Sobeys Fees	(147)	(180)	(91)	(156)	203	(49)
Adjusting items	8	4	238	518	(30)	(20)
Reported EBIT, with Kroger and Sobeys fees	(138)	(175)	148	362	173	(69)
Finance income	26	24	22	23	20	20
Finance costs	(42)	(56)	(66)	(81)	(74)	(74)
Other finance gains and losses	11	(1)	(3)	(3)	0	0
Adjusted PBT, incl Kroger and Sobeys closure fees	-153	-213	-137	-216	149	-103
Reported PBT, post Kroger and Sobeys closure fees	(144)	(209)	101	302	119	(123)
Tax	1	(0)	(2)	(12)	2	3
Adjusted net income, post Kroger and Sobeys closure fees	-152	-213	-140	-228	151	-100
Reported net income	(144)	(209)	99	290	121	(120)
Basic adjusted EPS, incl Kroger and Sobeys closure fees	(18.6)	(26.0)	(16.9)	(27.4)	18.1	(12.0)
Fully diluted adjusted EPS, incl Kroger and Sobeys closure fees	(18.6)	(26.0)	(15.6)	(25.3)	16.7	(11.1)

Source : Deutsche Bank estimates, company data



Figure 49: Group annual estimates

FY end: Nov (GBP m)	FY24	FY25	FY26E	FY27E	FY'28E
Technology Solutions	497	561	502	566	645
Logistics	718	800	856	916	971
Total Revenue, incl Kroger and Sobeys closure fees	1,215	1,362	1,709	1,487	1,621
% yoy growth	11.6%	12.1%	25.5%	-13.0%	9.0%
Technology Solutions adj. EBITDA	81	140	153	242	293
Logistics adj. EBITDA	31	38	34	40	41
Total Adjusted EBITDA, incl Krogers and Sobeys closures fees	112	178	539	287	339
Technology Solutions adj. EBITDA margin	16.3%	25.0%	30.5%	42.8%	45.4%
Logistics adj. EBITDA margin	4.3%	4.7%	4.0%	4.3%	4.2%
Total Adjusted EBITDA Margin, pre Kroger and Sobeys closure fees	9.2%	13.1%	13.8%	19.0%	20.7%
Share of results of JV/Assocs	(24)	(14)	6	26	47
Depreciation and Amortisation	(414)	(411)	(390)	(375)	(355)
Adjusted EBIT, incl Kroger and Sobeys Fees	(326)	(247)	154	(63)	31
Adjusting items	13	756	(50)	0	0
Reported EBIT, with Kroger and Sobeys fees	(314)	509	104	(63)	31
Finance income	50	46	40	38	34
Finance costs	(99)	(147)	(149)	(147)	(141)
Other finance gains and losses	10	(5)	0	0	0
Adjusted PBT, incl Kroger and Sobeys closure fees	-365	-353	46	-172	-76
Reported PBT, post Kroger and Sobeys closure fees	(353)	403	(4)	(172)	(76)
Tax	0	(15)	5	0	0
Adjusted net income, post Kroger and Sobeys closure fees	-365	-368	51	-172	-76
Reported net income	(353)	388	1	(172)	(76)
Basic adjusted EPS, incl Kroger and Sobeys closure fees	(44.5)	(44.3)	6.1	(20.5)	(9.0)
Fully diluted adjusted EPS, incl Kroger and Sobeys closure fees	(44.5)	(40.9)	5.6	(18.9)	(8.4)

Source : Deutsche Bank estimates, company data



Outlook

Ocado continues to target reaching cash break-even during FY26. This is clearly an important milestone for the group. For equity holders, the slower rollout of the group's technology to its key grocery partners, including a recalibration of one key relationship have impacted confidence. The growth Ocado can achieve in Tech Solutions remains the key driver of equity value. We believe the ongoing shift of grocery to online, the significant productivity gains from the group's technology, the pressure grocery partners face in terms of labour shortage and cost will drive take up of modules ultimately leading to a highly profitable, cash-generative business. Importantly, Ocado's technology has evolved to include new fulfilment products that bring its technology to a wider range of applications, including Store Based Automation. This should allow its technology to be used by grocers/retailers wherever they are in their online journey. We expect Ocado to remain volatile but have a positive stance and a Buy rating.

Valuation

We value the group on a sum-of-the-parts basis. Each division is valued on a DCF (11.5% WACC with 12.5% cost of equity and 10.5% cost of debt) and terminal growth of 3%. We value Ocado's 50% stake in ORL at c.£700m, Tech Solutions at c.£1.5bn and Logistics at c. £230m. We make further adjustments for OIA, net debt, other financial assets and tax loss carried forward.

Risk

Key downside risks include: 1) channel shift of grocery to online is slower than anticipated 2) grocery partners find it difficult to adopt the group's technology in the way that hastens rollouts, its foray into non-grocery do not progress in the way envisaged, competition intensifies whether in terms of direct competitors or indirect solutions 3) cash flows aren't realised in time or in such a way that means more capital is required that is more expensive or dilutive



PTC (Buy, USD 180 TP)

Figure 50: Group quarterly estimates

FY end: Sep (USD m)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Revenue	565	636	644	894	686	774	607	652
q/q growth	-9.8%	12.6%	1.2%	38.8%	-23.3%	12.9%	-21.6%	7.3%
y/y growth	2.7%	5.5%	24.2%	42.7%	21.4%	21.7%	-5.7%	-27.1%
Total recurring software	524	602	614	861	657	743	579	620
Perpetual license	9	6	8	8	6	7	7	8
Professional services	31	29	23	24	23	24	20	23
Total cost of revenue	98	93	97	103	104	99	92	117
Gross profit	468	544	547	791	582	676	515	534
Gross margin %	82.7%	85.4%	85.0%	88.5%	84.9%	87.3%	84.8%	82.0%
Sales and marketing expense	139	111	127	127	126	120	124	127
Research and development	99	97	99	98	104	106	97	92
General and admin expenses	37	36	37	40	43	39	36	26
Total operating expenses	276	244	262	265	272	265	258	246
as % of sales	48.9%	38.4%	40.7%	29.6%	39.7%	34.2%	42.5%	37.8%
Operating earnings (EBIT) , non-GAAP	191	299	285	526	310	411	257	288
Operating margin %	33.9%	47.0%	44.3%	58.9%	45.1%	53.0%	42.3%	44.2%
Net financial income (expense), net (GAAP)	-22	-18	-16	4	-18	451	-19	-18
Earnings before taxes (PBT) - adjusted	169	281	269	517	292	397	239	270
Income tax expenses (non-GAAP)	-36	-64	-72	-99	-62	-78	-54	-77
Tax rate (non-GAAP)	21%	23%	27%	19%	21%	20%	23%	28%
Net Income (adjusted)	133	217	197	418	231	319	185	194
non-GAAP Basic adjusted EPS (USD)	1.11	1.80	1.65	3.49	1.93	2.70	1.59	1.68
non-GAAP Diluted adjusted EPS (USD)	1.10	1.79	1.64	3.47	1.92	2.69	1.60	1.69

Source : Deutsche Bank estimates, company data



Figure 51: Group annual estimates

FY end: Sep (USD m)	2023	2024	2025	2026E	2027E	2028E
ARR	2,044	2,266	2,479	2,514	2,738	2,993
<i>cc y/y growth</i>	22.1%	10.8%	9.4%	8.4%	8.9%	9.3%
Revenue	2,097	2,298	2,739	2,719	2,897	3,148
<i>y/y growth</i>	8.5%	9.6%	19.2%	-0.8%	6.6%	8.7%
Total recurring software	1,908	2,134	2,601	2,600	2,781	3,032
Perpetual license	39	32	31	28	27	27
Professional services	150	132	107	90	89	89
Total cost of revenue	384	385	389	412	439	461
Gross profit	1,713	1,914	2,350	2,307	2,458	2,687
Gross margin %	81.7%	83.3%	85.8%	84.8%	84.9%	85.4%
Sales and marketing expense	474	490	505	498	530	567
Research and development	335	373	393	400	429	456
General and admin expenses	145	156	150	144	154	173
Total operating expenses	954	1,019	1,048	1,041	1,112	1,196
as % of sales	45.5%	44.3%	38.2%	38.3%	38.4%	38.0%
Operating earnings (EBIT) , non-GAAP	759	894	1,302	1,265	1,346	1,491
Operating margin %	36.2%	38.9%	47.5%	46.5%	46.5%	47.4%
Net financial income (expense), net (GAAP)	-126	-119	-53	396	-72	-72
Earnings before taxes (PBT) - adjusted	638	777	1,236	1,198	1,274	1,419
Income tax expenses (non-GAAP)	-121	-164	-270	-270	-287	-319
Tax rate (non-GAAP)	19%	21%	22%	23%	23%	23%
Net Income (adjusted)	518	613	966	928	987	1,100
non-GAAP Basic adjusted EPS (USD)	4.37	5.12	8.05	7.92	8.83	10.01
non-GAAP Diluted adjusted EPS (USD)	4.33	5.08	8.00	7.92	8.73	9.79

Source : Deutsche Bank estimates, company data



Outlook

We see PTC as well positioned to benefit from the theme of Digital Production, notably around CAD and PLM as well as AI where the company has shown a promising roadmap. Its strategic partnerships with industry leaders in their respective fields address gaps in PTC's portfolio and distribution capabilities, and are set to drive incremental revenue growth while the exit of the IoT business, where PTC had limited success in the past, should further improve group performance. Buy.

Valuation

We value PTC based on a ~19x CY27E EV/uFCF multiple, in-line with Engineering Software peers, reflecting improving execution and a relatively high share of recurring revenues, especially compared to direct competitors.

Risk

Key downside risks include: (a) a macroeconomic downturn, particularly in key manufacturing end markets for PTC; (b) competitive share losses; (c) failure to execute as successfully as we expect on the shift to subscriptions; (d) faster-than-expected technological change causing disruption to PTC; and (e) M&A that is viewed unfavorably by investors or poorly executed.



Reply (Buy, EUR 130TP)

Figure 52: Group quarterly estimates

FY end: Dec (EUR m)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Revenue	608	614	599	664	645	641	635	714
q/q growth (%)	-4.3%	1.0%	-2.5%	10.9%	-2.8%	-0.5%	-1.0%	12.5%
y/y growth (%)	9.5%	9.4%	8.1%	4.6%	6.2%	4.5%	6.1%	7.6%
Total operating expenses	521	548	505	554	550	545	536	601
as % of sales	85.7%	89.3%	84.4%	83.4%	85.3%	85.0%	84.4%	84.1%
Adjusted EBITDA	105	118	112	132	112	113	116	130
Adj. EBITDA Margin %	17.3%	19.3%	18.7%	19.9%	17.4%	17.6%	18.2%	18.2%
Adjusted EBITA	93	106	99	119	99	100	103	117
Adj. EBITA Margin %	15.3%	17.3%	16.5%	17.9%	15.3%	15.6%	16.2%	16.4%
EBIT (stated)	89	100	93	111	95	96	99	113
EBIT margin (stated) %	14.6%	16.2%	15.5%	16.7%	14.7%	15.0%	15.6%	15.9%
Net financial income/(expenses)	-2	-7	-4	0	5	2	3	3
Earnings before taxes (PBT) - adjusted	91	99	95	119	104	102	105	120

Source : Deutsche Bank estimates, company data



Figure 53: Group annual estimates

FY end: Dec (EUR m)	2023	2024	2025	2026E	2027E	2028E
Revenue	2,118	2,304	2,484	2,636	2,777	2,929
y/y growth (%)	12.0%	8.8%	7.8%	6.1%	5.4%	5.4%
Total operating expenses	1,840	1,948	2,127	2,232	2,354	2,481
as % of sales	86.9%	84.5%	85.7%	84.7%	84.8%	84.7%
Adjusted EBITDA	352	411	468	471	495	522
Adj. EBITDA Margin %	16.6%	17.8%	18.8%	17.9%	17.8%	17.8%
Adjusted EBITA	304	359	416	419	440	464
Adj. EBITA Margin %	14.4%	15.6%	16.7%	15.9%	15.8%	15.9%
EBIT (stated)	293	330	392	403	423	447
EBIT margin (stated) %	13.8%	14.3%	15.8%	15.3%	15.2%	15.3%
Net financial income/(expenses)	-7	3	-14	12	12	17
Earnings before taxes (PBT) - adjusted	297	362	402	431	452	482
Income tax expenses - adjusted	91	115	127	137	143	153
Tax rate %	31%	32%	32%	32%	32%	32%
Net Income (adjusted)	206	247	275	294	308	329
Basic EPS (EUR)	5.01	5.64	6.71	7.64	8.01	8.55
Basic adjusted EPS (EUR)	5.53	6.61	7.34	7.97	8.35	8.91

Source : Deutsche Bank estimates, company data



Outlook

Over the past decade, revenue has achieved a CAGR of 13% to €2,484m in FY25, and Reply has delivered a 17% CAGR in earnings per share to €7.4 in FY24. While growth has slowed from peak (MSD in FY25 from >10%), Reply's current organic growth rate is notably stronger than IT services peers. We believe this reflects: Reply's long-standing relationships within its customer base (no customer >10% sales); high levels of specialism within the boutique network of companies; the value it delivers through focus on innovative technologies; strong execution; and a strong focus on up-sell and cross-sell through incentivisation structures. We believe this should enable Reply to continue to drive growth. Buy.

Valuation

Our target price is based on a 9x CY26E EV/EBITDA target multiple. This is c.20% above the average of the peer set (7x CY26E EV/EBITDA based on the Bloomberg consensus), which we see as reflecting Reply's standout combination of growth and profitability amid a downturn in the IT services sector. This is also in line with our DCF result (WACC of 10.4%: 10.7% cost of equity, using a 3.5% risk-free rate, market risk premium of 6% and beta of 1.2; 6% interest on debt and 28% tax rate).

Risk

Key risks to the downside include: a further downturn in the environment for IT services spend; exposure to tariff-impacted end market risks associated with a high proportion of fixed-price contracts; risks associated with ongoing integration of acquired businesses; control of the network structure; and exposure to cyclical end markets.



Sage (Hold, GBp 900 TP)

Figure 54: Group half-yearly estimates

FY end: Sep (GBP m)	1H25	2H25	1H26	2H26E	1H27E	2H27E
Revenue	1,242	1,271	1,363	1,396	1,497	1,544
<i>H/H growth</i>	5.3%	2.3%	7.2%	2.4%	7.3%	3.1%
<i>y/y growth (organic)</i>	9.0%	9.3%	9.5%	9.7%	10.0%	10.7%
Cost of sales	90	93	103	98	109	113
Gross profit	1,152	1,178	1,260	1,297	1,388	1,431
Gross Margin %	92.8%	92.7%	92.4%	92.9%	92.7%	92.7%
Total operating expenses (non-IFRS)	864	866	934	946	1,020	1,027
as % of sales	69.6%	68.1%	68.5%	67.7%	68.1%	66.5%
Operating Profit (underlying)	288	312	326	352	368	404
Operating margin %	23.2%	24.5%	23.9%	25.2%	24.6%	26.2%
Depreciation and amortization (Ordinary)	23	67	46	53	51	58
EBITDA (organic)	311	379	372	404	419	462
EBITDA Margin %	25.0%	29.8%	27.3%	29.0%	28.0%	30.0%
Net financial income/(expenses)	-19	-27	-31	-23	-28	-27
Earnings before taxes (PBT) - adjusted	270	285	295	329	340	377
Income tax expenses (non-IFRS)	-64	-68	-71	-77	-81	-90
Tax rate (non-IFRS)	24%	24%	24%	23%	24%	24%
Net Income (adjusted)	206	217	224	252	259	288
Basic EPS (GBp)	20.75	22.53	23.68	27.43	28.24	31.34
Diluted adjusted Earnings per share (GBp)	20.42	22.21	23.38	27.07	27.88	30.94

Source : Deutsche Bank estimates, company data



Figure 55: Group annual estimates

FY end: Sep (GBP m)	2023	2024	2025	2026E	2027E	2028E
Revenue	2,184	2,332	2,513	2,759	3,041	3,338
<i>y/y growth (organic)</i>	<i>10.0%</i>	<i>9.0%</i>	<i>9.1%</i>	<i>9.6%</i>	<i>10.4%</i>	<i>9.8%</i>
Cost of sales	156	168	183	201	222	244
Gross profit	2,028	2,164	2,330	2,557	2,819	3,095
Gross Margin %	92.9%	92.8%	92.7%	92.7%	92.7%	92.7%
Total operating expenses (non-IFRS)	1,572	1,635	1,730	1,880	2,047	2,240
as % of sales	72.0%	70.1%	68.8%	68.1%	67.3%	67.1%
Operating Profit (underlying)	456	529	600	678	772	855
Operating margin %	20.9%	22.7%	23.9%	24.6%	25.4%	25.6%
Depreciation and amortization	51	44	90	99	109	120
EBITDA (organic)	507	573	690	776	881	974
EBITDA Margin %	23.2%	24.6%	27.5%	28.1%	29.0%	29.2%
Net financial income/(expenses)	-33	-26	-46	-54	-55	-48
Earnings before taxes (PBT) - adjusted	424	502	555	624	717	807
Income tax expenses (non-IFRS)	-95	-120	-132	-148	-170	-192
Tax rate (non-IFRS)	22%	24%	24%	24%	24%	24%
Net Income (adjusted)	329	382	423	476	547	615
Basic EPS (GBp)	32.25	37.93	43.25	51.05	59.58	66.99
Diluted adjusted Earnings per share (GBp)	31.76	37.27	42.60	50.40	58.81	66.13

Source : Deutsche Bank estimates, company data



Outlook

Sage is a major global accounting software vendor with a focus on SMEs. The company has gone through a significant investment phase in order to ensure it remains competitive. While operating margin is trending upwards again and pricing is increasing above historical averages, group growth has not delivered upside and remains below peers (~10%+), raising questions about expansion and new customer acquisition growth, in our view. Hence, we believe the stock warrants a discount to the global Software sector and see limited upside; Hold.

Valuation

We are applying a 50/50 blend of 1) a ~16x CY27e P/E multiple; and 2) a ~13x CY27e EV/uFCF multiple, both representing a discount to peers to account for Sage's slower growth and/or still lower margins. We fully adjust our valuation metrics and Sage's peer group for share-based compensation (treating this as cost in P&L and CF metrics).

Risk

Key upside/downside risks include: 1) Sage may make acquisitions that are value enhancing or destructive, 2) Sage may be more/less successful than we expect in migrating its installed base to subscription at premium rates, 3) Sage may be more/less successful than we expect in developing a Cloud-native successor product to its core product offerings, 4) Sage may find more/less cost savings than we expect to drive margin expansion, and 5) Sage may be more/less successful in acquiring new customers than we forecast.



SAP (Buy, EUR 200 TP)

Figure 56: Quarterly P&L

FY end: Dec (EUR m)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Revenue	9,013	9,027	9,076	9,685	9,554	9,845	10,256	10,548
q/q growth	-3.9%	0.2%	0.5%	6.7%	-1.4%	3.0%	4.2%	2.9%
y/y growth - ccy	10.9%	12.2%	11.1%	8.6%	12.0%	10.9%	11.7%	7.6%
Software licenses	183	194	161	452	116	136	109	299
Cloud subscription and support	4,993	5,130	5,290	5,610	5,962	6,242	6,684	6,787
Support revenues	2,761	2,642	2,565	2,557	2,469	2,406	2,406	2,380
Services	1,076	1,061	1,060	1,066	1,007	1,061	1,057	1,082
Total cost of revenue	2,381	2,384	2,381	2,510	2,541	2,610	2,713	2,775
Gross profit	6,632	6,643	6,695	7,175	7,013	7,236	7,542	7,773
Gross margin %	73.6%	73.6%	73.8%	74.1%	73.4%	73.5%	73.5%	73.7%
Cloud gross margin %	75.0%	75.2%	75.1%	74.6%	75.2%	75.2%	75.2%	75.2%
Cloud and Software gross margin %	80.6%	80.1%	79.8%	80.1%	79.3%	79.3%	79.1%	79.2%
Software license & support gross margin %	90.1%	89.0%	88.8%	90.4%	88.9%	89.5%	89.5%	89.5%
Research and development	1,536	1,426	1,487	1,497	1,577	1,547	1,538	1,851
Sales and marketing expense	1,989	1,908	1,971	2,010	1,993	2,141	2,154	2,175
General and admin expenses	318	315	332	310	340	345	338	304
Total operating expenses	4,177	4,075	4,129	4,346	4,146	4,377	4,389	4,698
as % of sales	46.3%	45.1%	45.5%	44.9%	43.4%	44.5%	42.8%	44.5%
Operating earnings (EBIT) , non-IFRS	2,455	2,568	2,566	2,829	2,867	2,858	3,153	3,075
Operating margin %	27.2%	28.4%	28.3%	29.2%	30.0%	29.0%	30.7%	29.2%
Depreciation, amortisation and impairment	349	319	318	325	305	374	359	369
EBITDA (non-IFRS)	2,804	2,887	2,884	3,154	3,172	3,232	3,512	3,444
EBITDA Margin %	31.1%	32.0%	31.8%	32.6%	33.2%	32.8%	34.2%	32.7%
Earnings before taxes (PBT) - adjusted	2,382	2,523	2,569	2,834	2,833	2,801	3,088	3,015
Income tax expenses (non-IFRS)	-701	-776	-717	-937	-830	-812	-896	-866
Tax rate (non-IFRS)	-24%	-26%	-23%	-26%	-31%	-30%	-27%	-29%
Net Income (adjusted)	1,681	1,747	1,852	1,897	2,003	1,989	2,193	2,149
Non-IFRS EPS, basic (EUR)	1.44	1.50	1.59	1.62	1.72	1.72	1.90	1.88
Non-IFRS EPS, diluted (EUR)	1.43	1.49	1.58	1.61	1.71	1.71	1.90	1.87

Source : Deutsche Bank estimates, company data



Figure 57: Annual P&L

FY end: Dec (EUR m)	2023	2024	2025	2026E	2027E	2028E
Revenue	31,207	34,176	36,801	40,203	45,188	50,922
<i>y/y growth - ccy</i>	8.5%	9.9%	10.6%	10.5%	12.0%	12.7%
Software licenses	1,768	1,400	990	660	497	323
Cloud subscription and support	13,665	17,140	21,023	25,676	31,788	38,782
Support revenues	11,496	11,290	10,525	9,660	8,642	7,514
Services	4,278	4,346	4,263	4,206	4,261	4,304
Total cost of revenue	8,102	9,166	9,656	10,639	11,971	13,509
Gross profit	23,105	25,010	27,145	29,564	33,217	37,413
Gross margin %	74.0%	73.2%	73.8%	73.5%	73.5%	73.5%
Cloud gross margin %	72.6%	73.3%	75.0%	75.2%	75.4%	75.6%
Cloud and Software gross margin %	81.2%	80.4%	80.1%	79.3%	78.5%	77.9%
Software license & support gross margin %	90.0%	90.0%	89.6%	89.5%	89.5%	89.5%
Research and development	5,611	5,712	5,946	6,513	7,185	7,638
Sales and marketing expense	7,583	7,647	7,878	8,463	9,264	9,421
General and admin expenses	1,174	1,185	1,275	1,327	1,401	1,630
Total operating expenses	16,604	16,858	16,727	17,611	19,639	21,336
as % of sales	53.2%	49.3%	45.5%	43.8%	43.5%	41.9%
Operating earnings (EBIT) , non-IFRS	6,501	8,152	10,418	11,953	13,578	16,077
Operating margin %	20.8%	23.9%	28.3%	29.7%	30.0%	31.6%
Depreciation and amortization	1,373	1,280	1,311	1,407	1,536	1,680
EBITDA (non-IFRS)	7,874	9,432	11,729	13,360	15,115	17,757
EBITDA Margin %	25.2%	27.6%	31.9%	33.2%	33.4%	34.9%
Earnings before taxes (PBT) - adjusted	6,935	7,791	10,308	11,738	13,595	16,029
Income tax expenses (non-IFRS)	-2,048	-2,513	-3,131	-3,404	-4,079	-4,809
Tax rate (non-IFRS)	30%	32%	30%	29%	30%	30%
Net Income (adjusted)	4,887	5,278	7,177	8,334	9,517	11,220
Non-IFRS EPS, basic (EUR)	4.21	4.53	6.15	7.22	8.41	9.99
Non-IFRS EPS, diluted (EUR)	4.17	4.49	6.10	7.19	8.37	9.94

Source : Deutsche Bank estimates, company data



Outlook

SAP has a strong franchise as a leader in core application software with a unique set of data and business context it can leverage with AI models. Just like in 2020, we believe CEO Christian Klein can once again successfully transform SAP in the emerging AI Software world by 1) increasing customer proximity via FDEs for AI development and adoption, 2) shifting revenue models for AI use cases from seat-to consumption-based and 3) M&A to bolster SAP's AI technology stack and position in business data. Having said that, we do not expect smooth sailing through the upcoming transformation phase (just like in 2020-22) but believe current share price levels and potential volatility to come offer compelling entry points for patient investors into what we believe will remain an attractive growth story longer-term. We rate SAP Buy.

Valuation

We value SAP at ~20x FY27e EV/uFCF, a slight premium to a broad global Software peer group, considering SAP'S above peer growth and rapidly evolving AI strategy.

Risk

Key risks to our thesis include: 1) emerging competition from new AI market entrants and/or model companies; 2) market share loss in ERP and other areas as SAP transitions its clients to the Cloud and new AI solutions; 3) failure to develop differentiated industry solutions for the Cloud and areas like AI, IoT or industry 4.0 through its expanding partner network; 4) (geo)political/macro shocks impacting the IT investment environment; 5) FX; and 6) potentially value-destructive M&A.



SoftwareOne (Hold, CHF 8.50 TP)

Figure 58: Half-Yearly P&L

FY end: Dec (CHF m)	1H24	2H24	1H25	2H25	1H26E	2H26E
Revenue	529	486	487	757	816	819
<i>h/h growth</i>	5.0%	-8.1%	0.1%	55.6%	7.8%	0.4%
<i>y/y growth (CC) - lfl</i>	-2.4%	-1.5%	-2.4%	-3.0%	-3.4%	0.3%
Total operating expenses	447	452	402	634	645	666
as % of revenue	84.5%	93.0%	82.5%	83.8%	79.0%	81.3%
Operating earnings (EBIT) , non-IFRS	85	64	73	97	136	101
Operating margin (% of Revenue)	16.0%	13.2%	15.1%	12.8%	16.6%	12.3%
Adj. EBITDA	121	101	114	162	197	179
EBITDA Margin %	22.9%	20.7%	23.3%	21.4%	24.1%	21.8%
Net finance costs	4.3	-15.6	-11.7	-42.7	-30.6	-30.6
Net Income (adjusted)	41.0	30.5	28.4	60.1	82.2	57.3
Non-IFRS Earnings per share, basic (CHF)	0.27	0.20	0.19	0.28	0.38	0.27
Non-IFRS Earnings per share, diluted (CHF)	0.27	0.20	0.19	0.28	0.38	0.26

Source : Deutsche Bank estimates, company data



Figure 59: Annual P&L

FY end: Dec (CHF m)	2023	2024	2025	2026E	2027E	2028E
Revenue	1,011	1,015	1,243	1,635	1,785	1,907
<i>y/y growth (CC) - Iff</i>	<i>8.0%</i>	<i>2.9%</i>	<i>1.4%</i>	<i>9.4%</i>	<i>8.6%</i>	<i>6.8%</i>
Total operating expenses	850	899	1,036	1,310	1,428	1,516
as % of revenue	84.0%	88.6%	83.3%	80.2%	80.0%	79.5%
Operating earnings (EBIT) , non-IFRS	179	151	171	237	312	339
Operating margin (% of Revenue)	17.7%	14.8%	13.8%	14.5%	17.5%	17.8%
Adj. EBITDA	245	223	277	376	419	453
EBITDA Margin %	24.2%	22.0%	22.3%	23.0%	23.5%	23.8%
Net finance costs	-33.3	-11.4	-54.4	-61.3	-85.8	-81.0
Net Income (adjusted)	109.4	73.0	89.6	139.5	179.8	192.5
Non-IFRS Earnings per share, basic (CHF)	0.71	0.48	0.49	0.65	0.84	0.90
Non-IFRS Earnings per share, diluted (CHF)	0.70	0.48	0.48	0.64	0.83	0.88

Source : Deutsche Bank estimates, company data



Outlook

SoftwareONE, an IT Services company and Software/Cloud reseller, is aligned to key secular Software & IT Services trends among its clients as they drive digital transformation. These secular trends are expected to drive expansion in the company's IT Services TAM and growth in Software and Cloud product sales. However, the company's focus on bolt-on acquisitions to support the top-line growth is expected to act as a headwind for margins in the medium term. We remain cautious on the name. Hold.

Valuation

We have updated our model and now value SoftwareOne at 10.5x '27e P/E, representing a discount to avg of peers at 13x. The discount reflects the remaining questions regarding the quality and durability of growth, ongoing execution risks (especially with the enlarged goodwill and intangible asset base), and uncertainties around normalized adjustments, and FX headwinds.

Risk

Downside risks include: dependence on a single major supplier, longer-than-anticipated timeline to positive impact of GTM strategy, potential requirement to ramp onshore headcount as professional services business expand, negatively impacting margins, and lower synergies from the recent acquisition. **Upside risks:** faster-than-expected growth and margin expansion, higher synergies from the recent acquisition.



TeamViewer (Hold, EUR 6.50 TP)

Figure 60: TeamViewer Quarterly P&L

FY end: Dec (EUR m)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Revenue	178.8	185.6	189.5	192.9	183.2	187.9	191.1	199.3
q/q growth	1.0%	3.8%	2.1%	1.8%	-5.0%	2.6%	1.7%	4.3%
Cost of revenue	24.5	24.7	25.1	26.9	24.4	26.7	25.8	26.8
Gross Profit	154.2	160.9	164.4	166.0	158.8	161.3	165.4	172.6
Gross Margin	86.3%	86.7%	86.8%	86.1%	86.7%	85.8%	86.5%	86.6%
Research and Development	23.2	24.7	23.5	24.9	25.5	25.6	25.8	26.8
Sales expenses	33.0	34.1	31.4	32.3	34.8	35.2	38.7	40.2
Marketing expenses	27.3	32.1	25.5	23.2	18.9	27.7	27.4	27.9
General and Admin expenses	18.2	13.0	14.1	13.1	12.9	13.9	14.0	13.4
Total operating expenses (non-IFRS)	109.9	113.2	109.4	113.0	105.6	114.1	116.7	119.9
as % of sales	61.5%	61.0%	57.8%	58.6%	57.6%	60.7%	61.1%	60.1%
Operating earnings (EBIT) , non-IFRS	68.9	72.4	80.0	79.9	77.6	73.8	74.4	79.5
Adj. Operating margin %	38.5%	39.0%	42.2%	41.4%	42.4%	39.3%	38.9%	39.9%
Depreciation and amortization	13.4	14.0	13.4	13.1	13.2	13.2	13.4	13.5
EBITDA (non-IFRS)	76.2	79.0	85.2	85.3	83.0	79.5	80.3	85.5
Adj. EBITDA Margin %	42.6%	42.5%	45.0%	44.2%	45.3%	42.3%	42.0%	42.9%
Net financial expenses	-9.2	-27.4	-26.9	-8.2	-11.7	-10.6	-9.9	-9.8
Earnings before taxes (PBT) - adjusted	61.2	61.0	67.4	70.4	65.4	63.3	64.5	69.7
Income tax expenses	-14.4	-13.9	-10.6	-23.8	-15.9	-16.9	-17.3	-20.7
Tax rate	32.7%	38.1%	26.9%	38.9%	31.8%	35.0%	35.0%	38.0%
Net Income (adjusted)	42.6	40.6	50.9	48.9	45.3	41.1	41.9	43.2
Basic EPS (EUR)	0.27	0.26	0.32	0.31	0.29	0.26	0.27	0.27
Diluted adjusted Earnings per share (EUR)	0.27	0.26	0.32	0.31	0.29	0.26	0.27	0.27

Source : Company Data, Deutsche Bank estimates



Figure 61: TeamViewer Annual P&L

FY end: Dec (EUR m)	2023	2024	2025	2026E	2027E	2028E
Revenue	626.7	671.4	746.8	761.6	788.4	834.1
<i>y/y growth</i>	<i>10.7%</i>	<i>7.1%</i>	<i>11.2%</i>	<i>2.0%</i>	<i>3.5%</i>	<i>5.8%</i>
Cost of revenue	81.7	80.8	101.2	103.6	110.4	118.2
Gross Profit	544.9	590.6	645.6	658.0	677.9	715.9
Gross Margin	87.0%	88.0%	86.4%	86.4%	86.0%	85.8%
Research and Development	80.1	80.0	96.4	103.7	109.6	113.6
Sales expenses	106.7	113.8	130.8	148.8	159.2	171.4
Marketing expenses	138.7	119.6	108.2	101.9	105.0	112.7
General and Admin expenses	49.4	50.9	58.5	54.1	57.3	60.8
Total operating expenses (non-IFRS)	391.7	402.3	445.6	456.3	478.8	510.7
as % of sales	62.5%	59.9%	59.7%	59.9%	60.7%	61.2%
Operating earnings (EBIT) , non-IFRS	235.0	269.1	301.2	305.3	309.5	323.4
Adj. Operating margin %	37.5%	40.1%	40.3%	40.1%	39.3%	38.8%
Depreciation and amortization	55.4	46.2	53.8	53.3	55.2	58.4
EBITDA (non-IFRS)	311.8	325.0	325.6	328.3	334.7	351.8
Adj. EBITDA Margin %	49.8%	48.4%	43.6%	43.1%	42.5%	42.2%
Net financial expense	-19.1	-21.9	-71.7	-42.0	-37.9	-40.2
Earnings before taxes (PBT) - adjusted	215.9	247.1	260.0	263.2	271.6	283.2
Income tax expenses	-33.4	-61.4	-62.7	-70.8	-71.5	-74.1
Tax rate	22.7%	33.3%	34.6%	35.0%	35.0%	35.0%
Net Income (adjusted)	151.4	167.8	183.0	171.1	176.5	184.1
Basic EPS (EUR)	0.88	1.05	1.17	1.08	1.12	1.17
Diluted adjusted Earnings per share (EUR)	0.88	1.04	1.16	1.08	1.12	1.17

Source : Company Data, Deutsche Bank estimates



Outlook

TeamViewer is an established player in the remote control software market, a large market that industry analysts expect to post a ~15% CAGR in the medium term, driven by digitization as well as vertical alignments with secular megatrends in the Industry 4.0 sphere. We believe TeamViewer is differentiated from its competitors in some technical aspects but is currently facing stronger price competition on its user base and is realizing slower progress on its Enterprise sales efforts, partially due to lackluster execution. Slow progress on diversifying its SME-heavy customer base into stickier and larger Enterprise deals, combined with increasing competitive pressure from the lower-end, significantly reduce visibility on the company's outlook and we rate the stock Hold.

Valuation

We value TeamViewer on a 50/50 blend of FY27E P/E and EV/EBITDA of ~6x and ~8x, respectively, significant discounts to the broader software sector. The valuation reflects still a show-me story, lack of confidence in the company's enterprise pipeline conversion, and potential risks from a recessionary shock to its core SME customers, who currently still represent a material portion of overall billings.

Risk

Key downside risks include: 1) increasing competition on the free user base; 2) sequentially lower NRR than the current run rate; 3) possible revision of targets as the demand environment deteriorates as well as potentially lower margins from a higher cost base given the volatile billings mix. Key upside risks include: 1) potential consolidation candidate, given M&A interest in the sector; 2) continued cost containment measures offsetting increases in FTEs and salary inflation; and 3) an improving demand environment for enterprise as well as a material ramp up in IoT/AR contribution to billings.



Temenos (Hold, CHF 77 TP)

Figure 62: Group quarterly estimates

FY end: Dec (USD m)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Revenue	232.2	285.5	258.5	314.6	253.0	300.7	271.5	336.0
q/q growth	-27.2%	22.9%	-9.4%	21.7%	-19.6%	18.9%	-9.7%	23.8%
y/y growth	1.0%	14.9%	4.7%	-1.3%	8.9%	5.3%	5.0%	6.8%
Subscription and SaaS	80.2	127.0	99.2	151.7	87.2	132.3	104.3	172.3
Maintenance	120.9	125.2	125.5	131.3	131.8	134.6	132.9	133.4
Services	31.2	33.3	33.8	31.6	33.9	33.9	34.3	30.3
Sales and Marketing	69.6	81.1	72.4	94.4	73.5	85.7	77.4	94.4
Service cost	32.1	31.9	32.8	29.9	31.9	32.2	32.6	29.1
Software development & Maintenance	65.6	70.5	70.4	73.1	67.6	73.7	69.0	84.7
General and admin. Expenses	24.8	23.7	22.8	47.7	23.3	25.6	26.1	36.6
Total operating expenses (non-IFRS)	156.4	169.8	174.0	208.3	170.3	188.8	179.4	215.3
as % of sales	67.4%	59.5%	67.3%	66.2%	67.3%	62.8%	66.1%	64.1%
Operating earnings (EBIT) , non-IFRS	75.8	115.7	84.6	106.4	82.7	111.9	92.1	120.7
Operating margin %	32.6%	40.5%	32.7%	33.8%	32.7%	37.2%	33.9%	35.9%
Depreciation and amortization (Ordinary)	29.3	31.0	30.2	33.9	28.0	34.3	30.9	39.1
EBITDA (non-IFRS)	94.1	134.7	103.3	128.7	100.9	135.7	113.5	148.7
EBITDA Margin %	40.5%	47.2%	40.0%	40.9%	39.9%	45.1%	41.8%	44.2%
Net financial expense	-2.6	123.3	-3.1	-29.5	-3.7	-4.4	-4.4	-8.8
Earnings before taxes (PBT) - adjusted	73.2	111.7	81.5	100.8	78.9	107.5	87.7	111.9
Income tax expenses (non-IFRS)	-14.8	-21.8	-17.4	-10.0	-17.8	-21.0	-17.5	-20.9
Tax rate (non-IFRS)	20.3%	19.5%	21.3%	10.0%	22.6%	19.5%	20.0%	18.6%
Net Income (adjusted)	58.4	90.0	64.1	90.7	61.1	86.5	70.1	91.0
Basic EPS (USD)	0.41	2.34	0.65	0.63	0.59	0.97	0.77	1.08
Diluted adjusted Earnings per share (USD)	0.81	1.27	0.93	1.33	0.90	1.27	1.03	1.33

Source : Deutsche Bank estimates, company data



Figure 63: Group annual estimates

FY end: Dec (USD m)	2023	2024	2025	2026E	2027E	2028E
Revenue	1,000.2	1,044.1	1,090.8	1,161.2	1,251.0	1,335.9
<i>y/y growth</i>	5.3%	4.4%	4.5%	6.5%	7.7%	6.8%
Subscription and SaaS	443.6	450.5	458.1	496.1	551.9	605.4
Maintenance	423.7	464.3	502.8	532.8	564.4	593.7
Services	132.9	129.3	129.9	132.3	134.7	136.7
Sales and Marketing	291.9	291.3	317.4	331.0	356.5	380.7
Service cost	136.6	127.1	126.7	125.7	127.3	128.5
Software development & Maintenance	277.9	286.4	279.6	295.0	319.0	340.7
General and admin. Expenses	94.3	108.1	119.0	111.5	120.1	128.2
Total operating expenses (non-IFRS)	687.3	689.5	708.5	753.9	805.2	852.5
as % of sales	68.7%	66.0%	64.9%	64.9%	64.4%	63.8%
Operating earnings (EBIT) , non-IFRS	313.0	354.6	382.4	407.4	445.8	483.4
Operating margin %	31.3%	34.0%	35.1%	35.1%	35.6%	36.2%
Depreciation and amortization (Ordinary)	131.2	130.4	124.3	132.3	142.6	149.6
EBITDA (non-IFRS)	398.8	441.4	460.8	498.8	544.6	586.3
EBITDA Margin %	39.9%	42.3%	42.2%	43.0%	43.5%	43.9%
Net financial expense	-26.5	-21.6	88.2	-21.4	-29.0	-25.5
Earnings before taxes (PBT) - adjusted	291.4	342.3	367.2	386.0	416.7	457.9
Income tax expenses (non-IFRS)	-59.7	-56.5	-64.0	-77.2	-83.3	-91.6
Tax rate (non-IFRS)	20.5%	16.5%	17.4%	20.0%	20.0%	20.0%
Net Income (adjusted)	231.7	285.8	303.2	308.8	333.4	366.3
Basic EPS (USD)	1.87	2.46	4.04	3.41	3.68	4.09
Diluted adjusted Earnings per share (USD)	3.19	3.93	4.32	4.53	4.89	5.37

Source : Deutsche Bank estimates, company data;



Outlook

Temenos is a leader in the core banking software market, a large market that industry analysts expect to grow at an ~8% CAGR over the medium term, driven by digitization, regulation, and a switch from in-house to third-party software as banks look to reduce total cost of ownership. We believe that Temenos is differentiated from its competitors by its sustained high level of product development investment and strong ecosystem partnerships. However, we believe the Covid-19 pandemic resulted in a more challenging end-market environment among banks for some time and that core banking initiatives may drop down the IT agenda as a result. We rate the stock a Hold.

Valuation

We value Temenos on a simple average of 19x '27e P/E and 18x '27 EV/uFCF. Our multiples are at a slight premium to peers reflecting company's recurring revenue mix, improved execution while still allowing for usual delivery risks inherent in a multi-year transition story.

Risk

Key upside risks include: 1) a less-severe downturn in the banking industry than we expect, 2) a mega-deal signing boosting license revenue, 3) more traction in expansion markets than we expect, and 4) subscription and SaaS revenue ramping up faster than anticipated. **Key downside risks** include: 1) a more severe downturn in the banking industry than we expect, 2) execution misses on implementation, 3) share loss to competition, and 4) execution misses on SaaS and subscription that leads to medium-term targets being revisited.



Appendix 1

Important Disclosures

*Other information available upon request

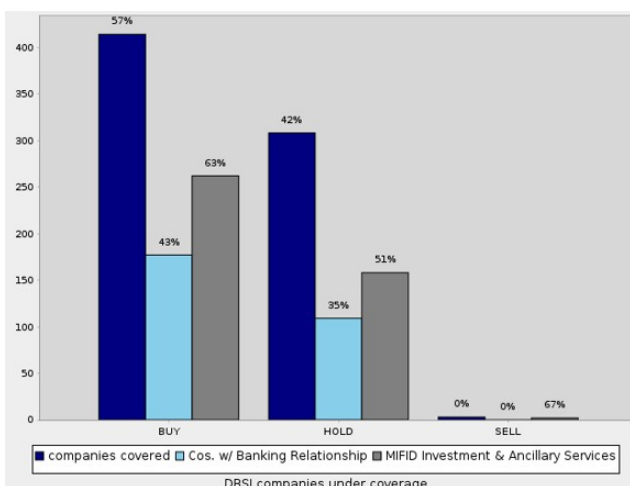
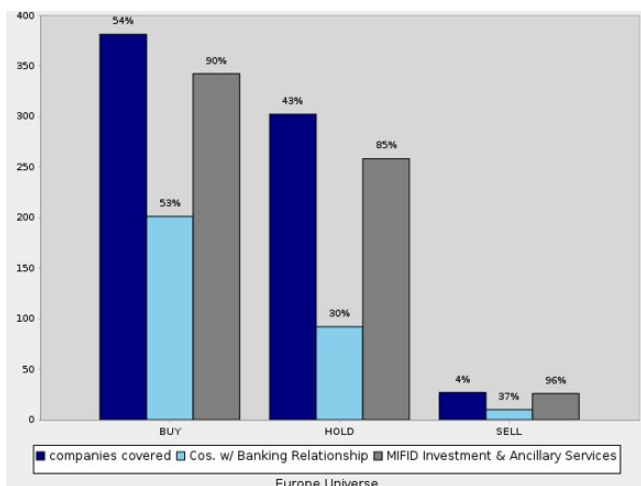
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Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the "buy" / "Companies Covered" bar means that 50% of DB's equity research covered companies over the past 12 months have a "buy" rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold" recommendations where Deutsche Bank and/or Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the "Cos. w/ MIFID Investment and Ancillary Services" bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

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Buy: Based on a current 12-month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.



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